



THE REPUBLIC OF KENYA

OFFICE OF THE CONTROLLER OF BUDGET

**NATIONAL GOVERNMENT
BUDGET IMPLEMENTATION REVIEW REPORT**

**THIRD QUARTER
FY 2016/17**



MAY, 2017



OFFICE OF THE CONTROLLER OF BUDGET

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FOREWORD

I am pleased to present the third quarter Budget Implementation Report (BIRR) for FY 2016/17. The report has been prepared in line with Article 228 (6) of the Constitution of Kenya 2010 and the Controller of Budget Act, 2016, which require the Office of the Controller of Budget (OCOB) to submit to each house of parliament a report on the implementation of the budgets of National and County government every four months.

This report focuses on budget implementation by the National Government Ministries, Departments and Agencies (MDAs). It provides overall revenue performance and expenditure performance by programmes in the first nine months of the FY 2016/17, covering the period July 2016 to March 2017. The detailed analysis presented in this report on is based on OCOB records on exchequer issues, expenditure reports from the Integrated Financial Management Information System (IFMIS) and financial reports from the MDAs.

Through the publication and release of this report, the Office aims at providing information to members of the public on the status of budget implementation by national government entities in line with Section 39 (8) of the PFM Act, 2012, which requires the Controller of Budget to ensure that the public has access to information on budget implementation. The Office is committed to continuously publish and publicize reports on budget implementation regularly.

I urge readers of this report to use the information contained in the report to inform their participation in the budget formulation, implementation and monitoring and evaluation of the programs undertaken in the first nine months of FY 2016/17. By actively getting involved in the budget cycle, the general public will be able to guarantee transparency and accountability in the use of public resources, and hence ensure that the government fulfils its promises to the citizenry.



Mrs. Agnes Odhiambo, CBS
CONTROLLER OF BUDGET

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LIST OF ABBREVIATIONS AND ACRONYMS

A-I-A	Appropriations-in-Aid
AIDS	Acquired Immune Deficiency Syndrome
AMISOM	Africa Union Mission in Somali
AR & UD	Agricultural Rural and Urban Development
ASAL	Arid and Semi-arid Land
Bn	Billion
BIRR	Budget Implementation Review Report
CFS	Consolidated Fund Services
COB	Controller of Budget
CRA	Commission on Revenue Allocation
EACC	Ethics and Anti-Corruption Commission
EI & ICT	Energy Infrastructure and Information Communication Technology
EWNR	Environment Protection, Water and Natural Resources
FY	Financial Year
GDP	Gross Domestic Product
GECA	General Economic and Commercial Affairs
GJLOS	Governance, Justice, Law and Order Sector
IEBC	Independent Electoral and Boundaries Commission
IFMIS	Integrated Financial Management Information System
IPOA	Independent Policing Oversight Authority
JSC	Judicial Service Commission
KEMRI	Kenya Medical Research Institute
KEMSA	Kenya Medical Supplies Agency
KMTC	Kenya Medical Training College
KNCHR	Kenya National Commission on Human Rights
KNH	Kenyatta National Hospital
Kshs.	Kenya Shillings
MDA(s)	Ministries Departments and Agencies
MoLPP	Ministry of Lands and Physical Planning
NACC	National Aids Control Council
NGEC	National Gender and Equality Commission
NHIF	National Hospital Insurance Fund
NIS	National Intelligence Service
NLC	National Land Commission
NPSC	National Police Service Commission
NT	National Treasury
NYS	National Youth Service
OCOB	Office of the Controller of Budget

O&M	Operations and Maintenance
PAIR	Public Administration and International Relations
PFM Act	Public Finance Management Act
SAGAs	Semi-Autonomous Government Agencies
TSC	Teachers Service Commission
WPA	Witness Protection Agency

EXECUTIVE SUMMARY

This is the third quarter National Government Budget Implementation Review Report for FY 2016/17 and covers the period July 2016 to March 2017. The report is prepared in accordance with Article 228(6) of the Constitution of Kenya, 2010 and Section 9 of the Controller of Budget Act, 2016, which require the Controller of Budget to submit to Parliament quarterly reports on budget implementation by the National and County Governments every four months.

The report presents the progress made in executing the FY 2016/17 budget and also identifies the challenges that predisposed spending. Receipts into the consolidated fund and expenditure are broken down and analysed against targets based on the Approved Budget Estimates for FY 2016/17 and compared to a similar period in the previous year, FY 2015/16. The report also shows trends in budgetary allocation towards the various sectors with an aim to inform policy makers on resource allocation with focus on the government development agenda in the Medium Term Expenditure Framework (MTEF) and Kenya Vision 2030.

In the period under review, receipts into the exchequer account amounted to Kshs.1,339 billion, representing 65.2 per cent of the revised annual target (Kshs.2.05 trillion). This translates to 8.1 per cent growth compared to Kshs.1,239 billion received into the exchequer account in a similar period of FY 2015/16.

Total exchequer issues to MDAs, Consolidated Funds Service (CFS) and County Governments amounted to Kshs.1,254.8 billion, representing 61.1 per cent of the revised annual net estimates. The exchequer issues comprised of Kshs.532 billion for MDAs' recurrent expenditure, Kshs.222 billion for development expenditure, Kshs.315.6 billion towards CFS and Kshs.185.2 billion to the County Governments.

The total expenditure for the MDAs amounted to Kshs.1,002.5 billion, representing 55.5 per cent of the revised gross estimates. Analysis of recurrent expenditure by MDAs shows that Kshs.602.4 billion was spent on recurrent programmes representing 65.6 per cent of the revised gross estimates, a 25.6 per cent growth from Ksh.479.8 billion (61.2 per cent absorption rate) recorded in the same period of FY 2015/16. Analysis of recurrent expenditure shows that, a total of Kshs.274.3 billion was spent on personnel emoluments.

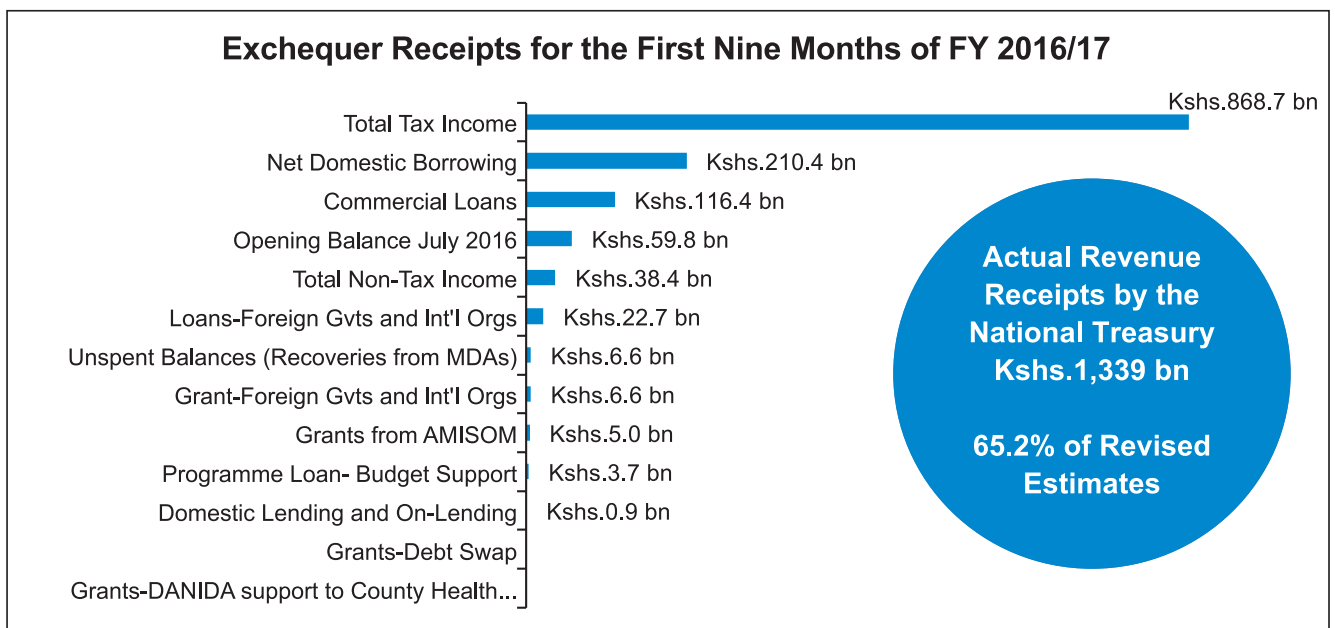
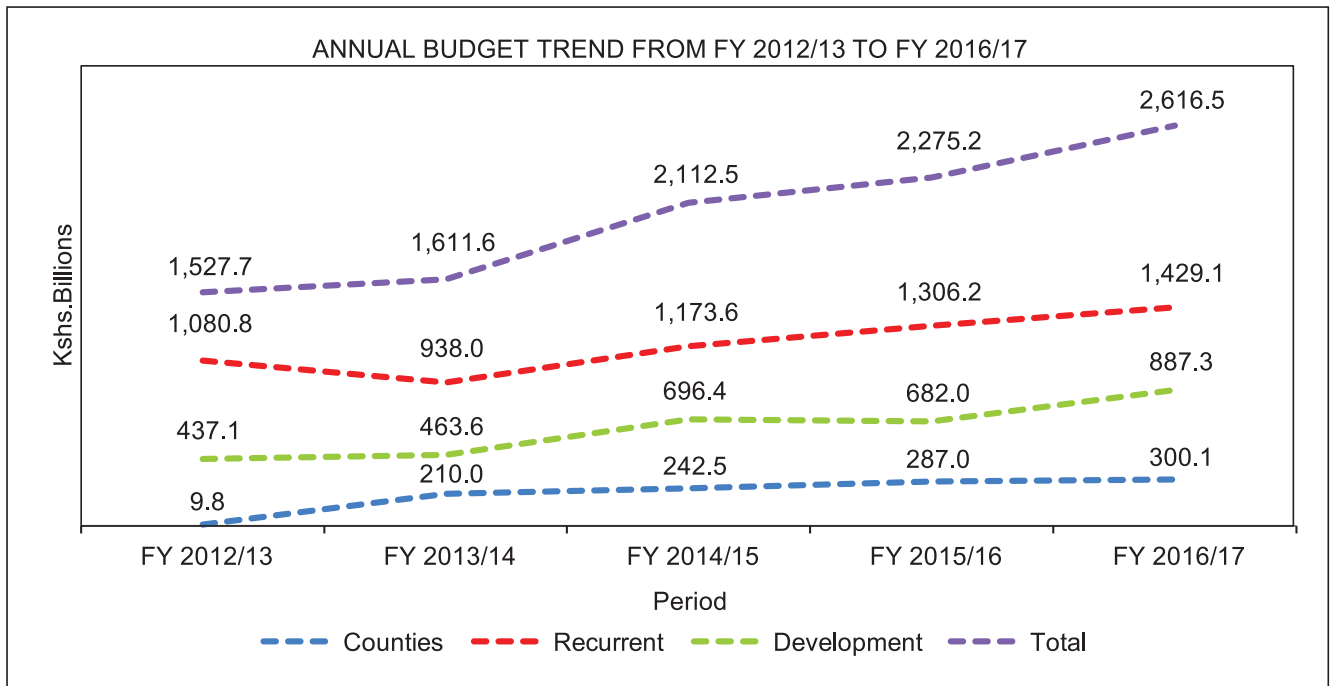
Further analysis of the recurrent expenditure shows that the Teachers Service Commission (TSC) had the highest expenditure on Personnel Emoluments (PE) at Kshs.142.5 billion, which translated to 52 per cent of the total PE expenditure by the MDAs. This could be explained by the fact that the bulk of the TSC's budget is for teachers' salaries. The second highest expenditure item was current transfers to Semi-Autonomous Government Agencies (SAGAs) at Kshs.237.2 billion, or 39.4 per cent of the total recurrent expenditure. The domestic and foreign travels category recorded the third highest expenditure in this economic item, with domestic and foreign travel registering Kshs.6.9 billion and Kshs.4.6 billion respectively.

The gross development expenditure was Kshs.400.1 billion, representing an absorption rate of 45.1 per cent, an increase from 34.3 per cent achieved in the same period the previous financial year. Under the development

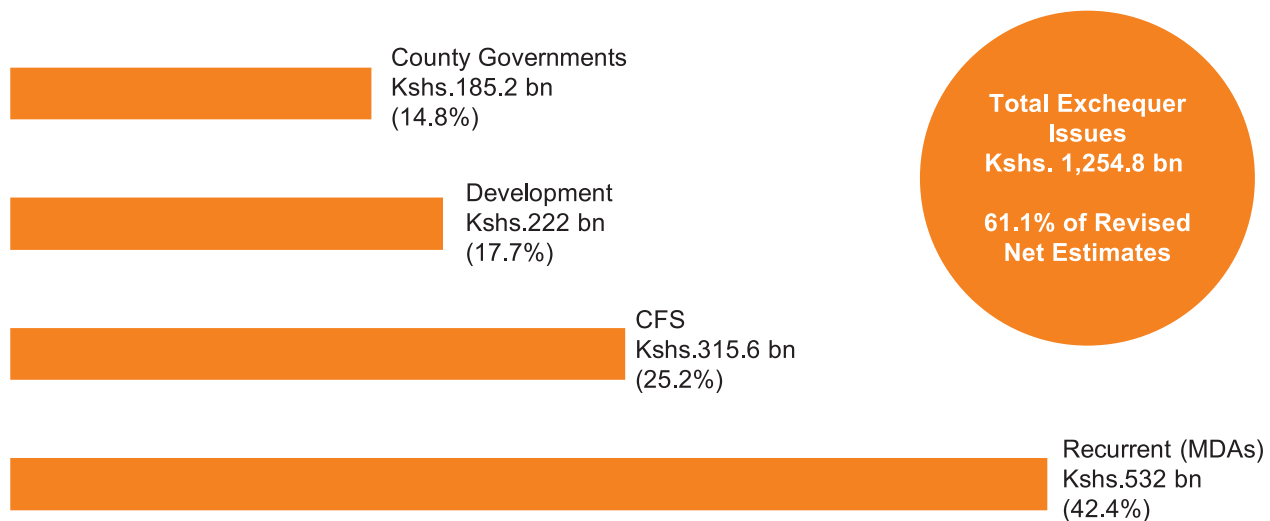
expenditure, Capital Transfers to SAGAs recorded the highest spending category at Kshs.203.3 billion, followed by refurbishment of buildings at Kshs.98.7 billion, representing 50.8 per cent and 24.7 per cent of the gross development expenditure respectively.

During the first nine months of FY 2016/17, a number of challenges were faced in the implementation of the budget. These included; delays in uploading of procurement plans and budgets onto IFMIS, which interrupted implementation of MDAs' planned activities as work plans could not be executed, challenges in accounting for expenditure on capital and current transfers by MDAs and delays in submission of financial reports by some MDAs, which affected the timely reporting on budget implementation.

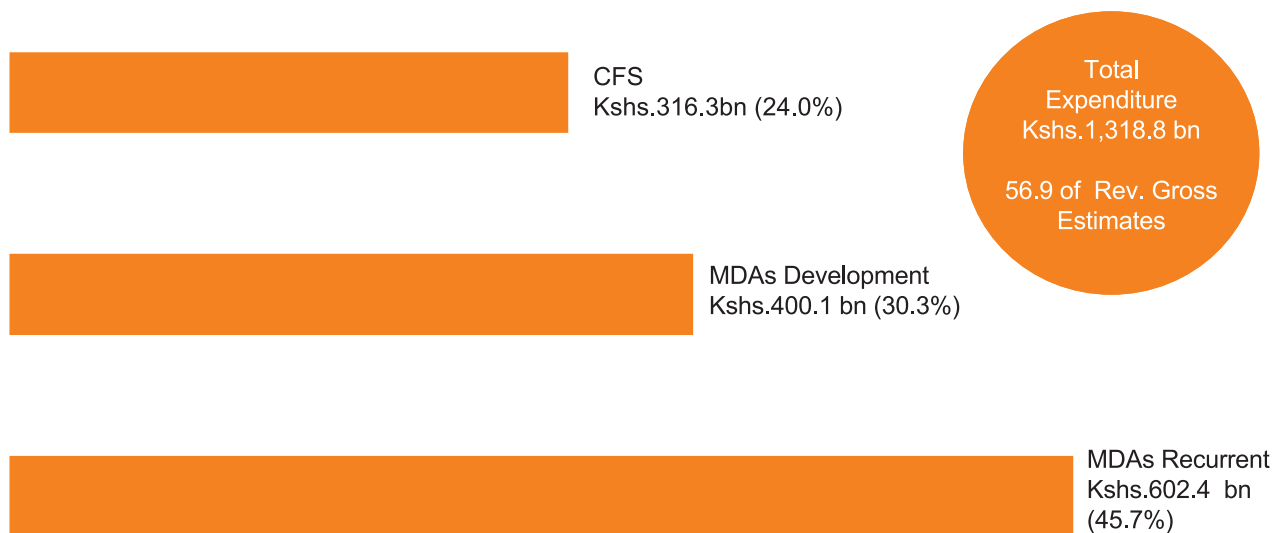
KEY HIGHLIGHTS

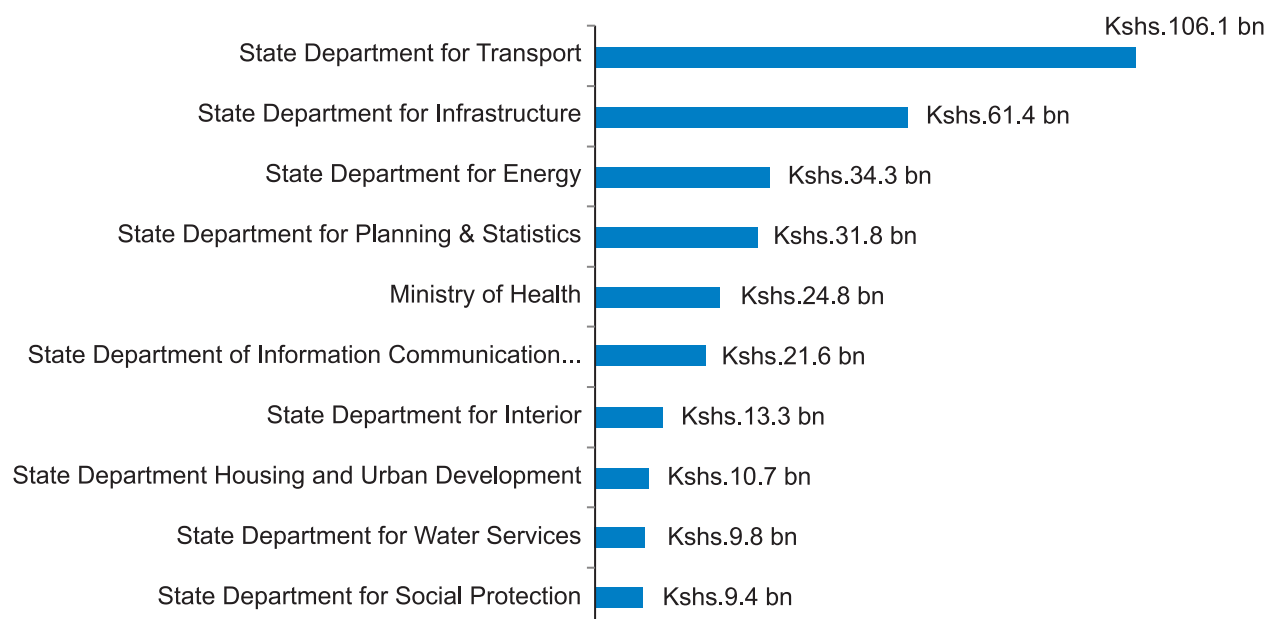
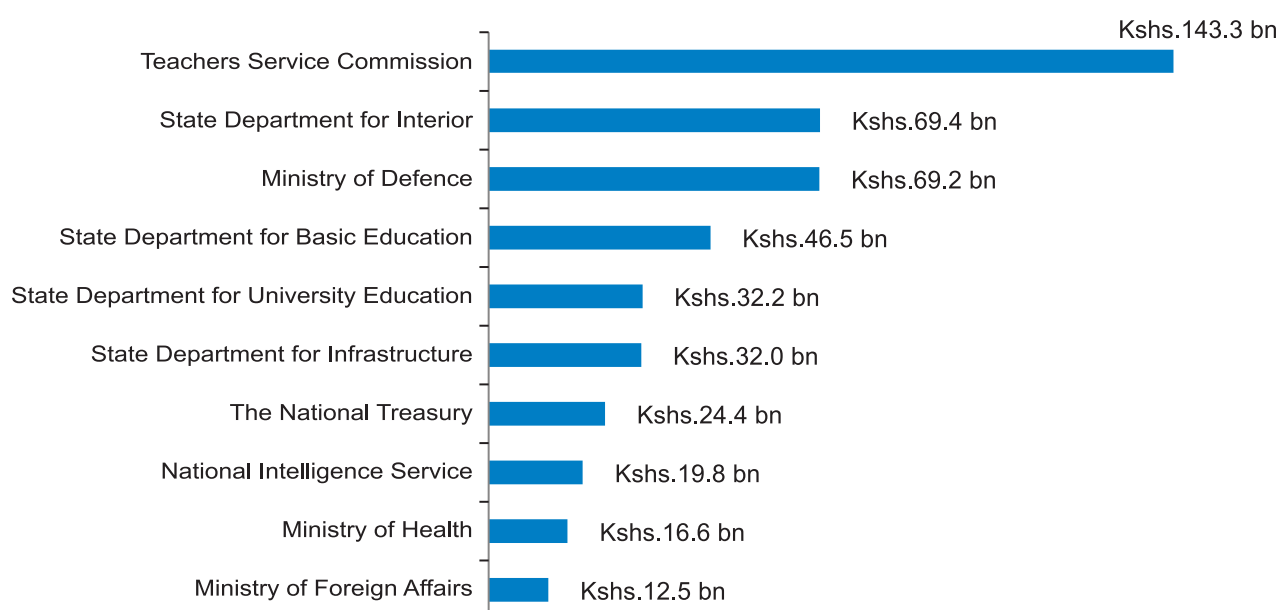


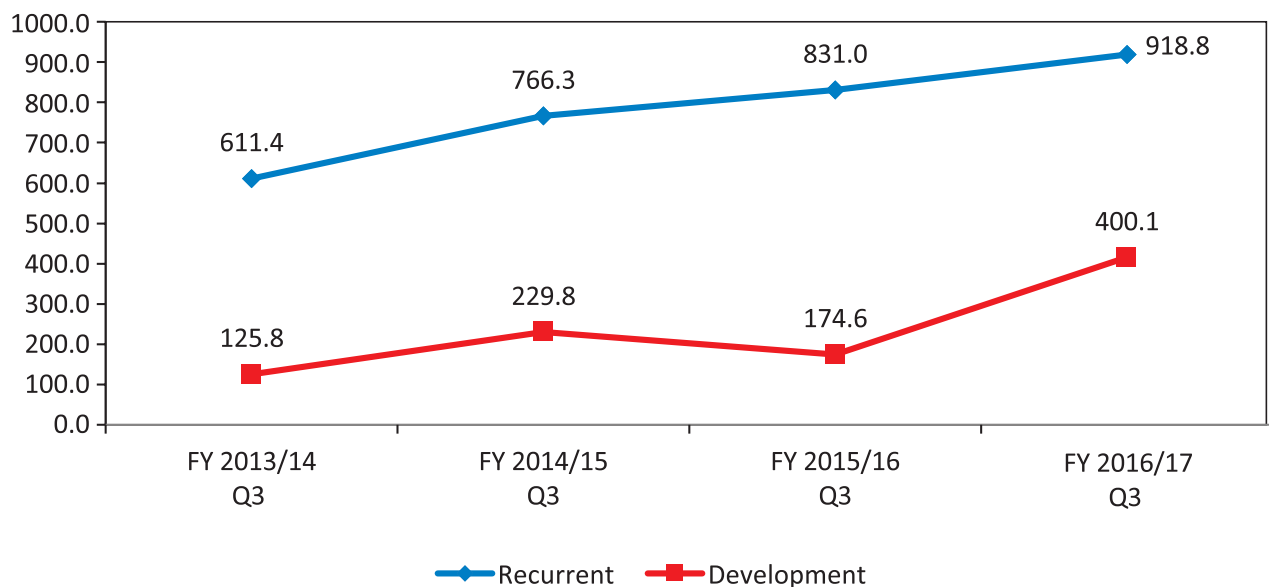
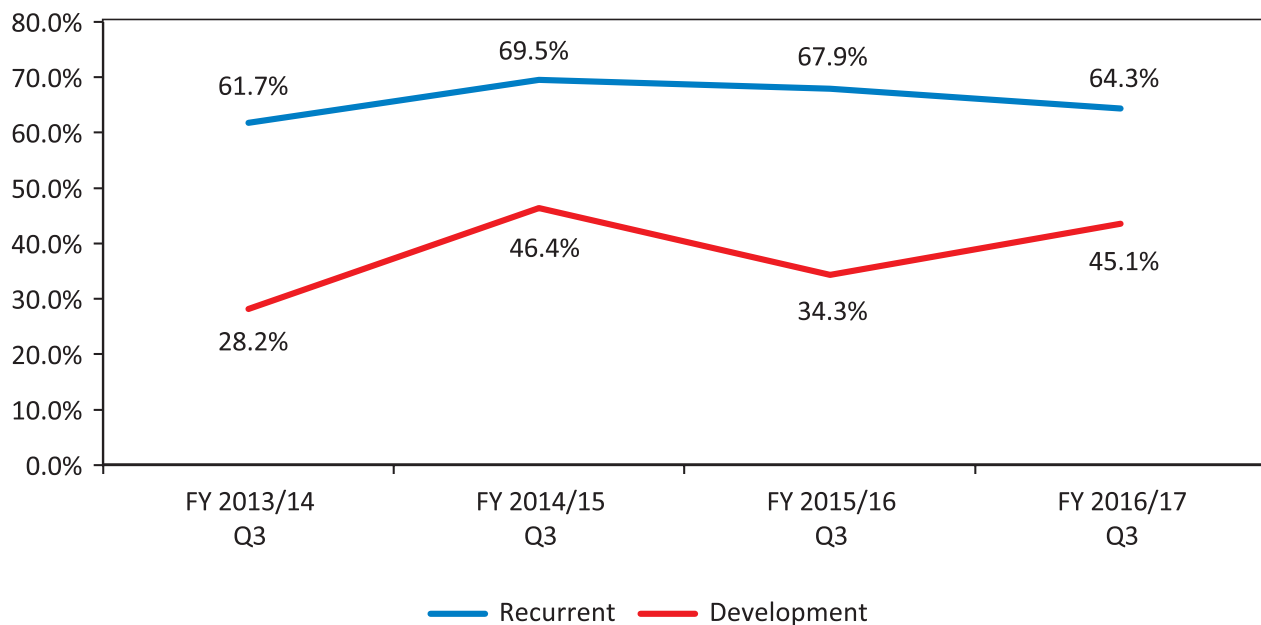
EXCHEQUER ISSUES IN THE FIRST NINE MONTHS OF FY 2016/17



TOTAL EXPENDITURE IN THE FIRST NINE MONTHS OF FY 2016/17



Top 10 Spending MDAs - Development Expenditure in the First Nine Months of the FY 2016/17**Top 10 Spending MDAs - Recurrent Expenditure in the First Nine Months of the FY 2016/17**

TREND IN DEVELOPMENT AND RECURRENT EXPENDITURE FY 2013/14 TO FY 2016/17**QUARTERLY TREND IN RECURRENT AND DEVELOPMENT EXPENDITURE ABSORPTION RATES IN THE FIRST NINE MONTHS FY 2013/14 TO FY 2016/17**

The Office of the Controller of Budget is established by Article 228 of the Constitution of Kenya, 2010 and is mandated to oversee budget implementation of both the National and County Governments by authorizing withdrawals from public funds and to report on budget implementation to each House of Parliament every four months.

The third quarter National Government Budget Implementation Review Report (BIRR) for the FY 2016/17 covers the period July 2016 to March 2017. The report provides cumulative information on budget implementation highlighting receipts into the consolidated fund and an analysis of the exchequer issues and expenditure by the spending units. The report also identifies the various challenges that affected budget implementation during the period under review and suggests ways of addressing the challenges in order to improve budget execution.

The report is spread into seven chapters; Chapter two provides analysis of receipts into the consolidated fund and exchequer issues. Exchequer issues are clustered into sectors whose current year performance is compared against last financial year (FY 2015/16) performance. Chapter three provides a review on the performance of the national government budget performance. It also presents performance of the Consolidated Funds Services which includes public debt, pensions and gratuities, salaries and allowances to constitutional office holders and guaranteed debts to Parastatals. It also provides a breakdown of recurrent and development expenditure per economic item in the period under review.

Further, the report presents an analysis of the highest spending economic items for both recurrent and development. Recurrent expenditure is disaggregated by the major economic items which includes Personnel Emoluments, Domestic and Foreign travel, Hospitality and Training among others. Development expenditure is classified into the major economic items which include; Capital transfers to Semi-Autonomous Government Agencies (SAGAs), Refurbishment of buildings and infrastructure, Construction and other civil works among others.

Chapter four presents detailed analysis of development and recurrent expenditure by sectors while chapter five presents detailed budget performance by programme for each of the MDAs. Budget performance is expressed as a percentage by comparing the current expenditure to the revised gross estimates. Chapter six highlights issues that affected budget implementation in the period under review and suggests recommendations to overcome them. Chapter seven provides the conclusion of the report.



2 ANALYSIS OF RECEIPTS AND EXCHEQUER ISSUES

2.1 Introduction

This chapter provides a summary of budget financing in the first nine months of the FY 2016/17. It also provides a breakdown of how the received funds are released to the MDAs for both development and recurrent expenditure through their respective sectors. This is in fulfilment of Article 228 (4) of the Constitution that provides that, the Controller of Budget shall oversee the implementation of the budgets of the national and county governments by authorizing withdrawals from public funds provided for under Articles 204, 206 and 207 of the Constitution of Kenya, 2010.

2.2 Analysis of Revenue Estimates and Receipts into the Consolidated Fund

This section provides an overview of the revised revenue estimates and actual receipts into the Consolidated Fund for the first nine months of FY 2016/17.

2.2.1 FY 2016/17 Revenue Estimates

The revised revenue estimates for FY 2016/17 was Kshs.2.05 trillion. The National Treasury projected to finance the budget through ordinary revenue, grants, and loans from both internal and external sources. To finance the revised budget, from the following revenue categories; Tax income (Kshs.1.3 trillion), Non-tax income (Kshs.104.3 billion), Net Domestic borrowing (Kshs.423.6 billion), Commercial Loan (Kshs.186 billion), Loans from Foreign Governments and International Organisations (Kshs.40.5 billion) and Grants from Foreign Governments and International Organisations (Kshs.15 billion).

Other sources of exchequer revenue for the period include; Grants from AMISOM (6.4 billion) Domestic lending and on-lending (Kshs.2.6 billion) and Kshs.8.4 billion which comprise of Kshs.7.4 billion, Kshs.0.4 billion and Kshs.0.5 billion from Programme loan-budget support, Grants from DANIDA and Debt swap respectively.

2.2.2 Receipts into the Consolidated Fund

The receipts into the Consolidated Fund in the first nine months of FY 2016/17 amounts to Kshs.1,339 billion and comprises of balance brought forward from the previous financial year, tax and non-tax income, net domestic borrowing, loans and grants from foreign governments and international organisations, programme loan for budget support, domestic lending and on-lending, grants from AMISOM, commercial loans and unspent balances from the previous financial year, FY 2015/16.

Table 2.1 presents a statement of receipts into the Consolidated Fund for the period July 2016 to March 2017.

Table 2.1 Statement of Receipts into the Consolidated Fund in the First Nine Months of FY 2016/17 (Kshs. Billions)

RECEIPTS	Revised Estimates FY 2016/17	Actual Receipts as at 31st March 2017	Performance Against Annual Target (%)	Contribution by Category (%)	Actual Receipts March 2016	Increase/ Decrease in receipts over March 2016
Opening Balance 01.07.2016	-	59.8	-	4.5	0.2	59.6
Total Tax Income	1,267.20	868.7	68.6	64.9	775.9	92.8
Total Non-Tax Income	104.3	38.4	36.8	2.9	29.0	9.4
Net Domestic Borrowing	423.6	210.4	49.7	15.7	319.0	(108.6)
Loans-Foreign Governments and International Organisations	40.5	22.7	56.0	1.7	19.4	3.3
Programme Loan- Budget Support	7.4	3.7	50.0	0.3	6.5	(2.8)
Domestic Lending and On-Lending	2.6	0.9	34.6	0.1	1.6	(0.7)
Grant-Foreign Governments and International Organisations	15.0	6.6	44.0	0.5	8.3	(1.7)
Grants-DANIDA support to County Health Facilities	0.4	-	-	-	0.1	0.1
Grants-Debt Swap	0.5	-	-	-	-	-
Grants from AMISOM	6.4	5.0	78.1	0.4	4.3	0.7
Commercial Loans	186.0	116.4	62.6	8.7	74.3	42.1
Unspent Balances	-	6.6	-	0.5	0.4	6.2
Total Receipts	2,054.10	1,339.0	65.2	100	1,239.0	100.0

Source: National Treasury

2.3 FY 2016/17 Overall Budget

The revised budget estimates for FY 2016/17 amounted to Kshs.2, 616.5 billion an increase by Kshs.111.4 billion or 4.4 per cent of the original budget. The budget comprises of Kshs.1,429.1 billion for recurrent expenditure, Kshs.887.3 billion for development expenditure and Kshs.300.1 billion as equitable share to County Governments.

2.4 Exchequer Issues to the MDAs and County Governments

During the period under review, total exchequer issues amounted to Kshs.1,254.8 billion representing 61.1 per cent of the revised net estimates. Table 2.2 presents a summary of the exchequer issues for the period July 2016 to March 2017 against the revised annual net estimates.

Table 2.2: Summary of Exchequer Issues for the Period July 2016 to March 2017 (Kshs. Billions)

Vote	Revised Gross Estimates	Revised Net Estimates	Exchequer Issues	% of Exch. Issues to revised Net Estimates	% of Exchequer issues to total Issues
Recurrent	1,429.1	1,341.6	847.6	63.2	67.5
: (MDAs)	918.3	830.9	532.0	64.0	42.4
: CFS	510.7	510.7	315.6	61.8	25.2
Development (MDAs)	887.3	427.7	222.0	51.9	17.7
County Governments	300.1	284.7	185.2	65.1	14.8
Total	2,616.5	2,054.1	1,254.8	61.1	100.0

Source: National Treasury & OCOB

From the analysis, County Governments received the highest proportion of exchequer issues to revised net estimates at 65.1 per cent whereas the development vote received the lowest proportion at 51.9 per cent. From the total exchequer issues, recurrent expenditure vote received the highest proportion of the total exchequer issues at 67.5 per cent whereas the County Governments received the least proportion at 14.8 per cent.

Table 2.3 shows a summary of exchequer issues by sector for the period July 2016 to March 2017 compared with the similar period of FY 2015/16.

Table 2.3: Annual Estimates and Exchequer Issues by Sector for the Period July 2016 to March 2017 (Kshs. Billions)

Name of the Sector	Third Quarter, FY 2016/17				Third Quarter, FY 2015/16			
	Revised Gross Estimates	Revised Net Estimates	Exchequer Issues	% of Exch. To Net Estimates	Gross Estimates	Net Estimates	Exchequer Issues	% of Exchequer To Net Estimates
Agriculture, Rural & Urban Development	48.3	37.2	23.1	62.0	79.7	66.6	35.66	53.5
Education	346.4	320.9	225.3	70.2	336.3	313.2	214.35	68.4
Energy, Infrastructure and Information Communications Technology (EI & ICT)	613.8	200.6	96.5	48.1	404.7	109.6	65.73	60.0
Environmental Protection, Water and Natural Resources	94.3	43.6	25.2	57.8	63	34.9	14.62	41.9
General Economic & Commercial Affairs (GECA)	24.4	19.7	13.5	68.5	21.3	20.8	9.64	46.3
Governance, Justice, Law and Order (GJLOS)	205.4	203.1	119.3	58.8	154	152.9	101.67	66.5
Health	73.6	59.2	35.1	59.3	59.2	44.2	30.59	69.2

Public Administration and International Relations	216.8	194.6	111.7	57.4	243.4	220.1	113.91	51.7
Social Protection, Culture and Recreation	53.7	50.7	26.5	52.3	31.5	31.2	13.38	42.8
National Security	129.0	129.0	77.7	60.2	112.5	112.5	75.66	67.3
Sub -Total for MDAs	1,805.7	1,258.6	754.0	59.9	1,505.50	1,106.10	675.21	61.0
Consolidated Fund Services (CFS)	510.7	510.7	315.6	61.8	441.5	441.5	352.3	79.5
County Governments	300.1	284.7	185.2	65.1	287	264.2	161.60	61.2
Grand Total	2,616.5	2,054.0	1,254.8	61.1	2,234.00	1,811.80	1,189.02	65.6

Source: National Treasury & OCOB

Exchequer issued in the first nine months of FY 2016/17 recorded a growth of Kshs.65.8 billion compared to the amount issued in a similar period of FY 2015/16 (Kshs.1,189 billion). The Education sector received the highest proportion of exchequer issues to revised net estimates at 70.2 per cent, while the Energy, Infrastructure and Information Communications Technology sector (EI & ICT) received the lowest proportion to its revised net estimates at 48.1 per cent.

2.4.1 Recurrent Exchequer Issues by Sector

During the period under review, the total exchequer issues to MDAs for recurrent expenditure amounted to Kshs.532.0 billion, representing 64.0 per cent of the revised net recurrent estimates, a decrease compared to 69.8 per cent (Kshs.500.5 billion) recorded in the same period of FY 2015/16.

Table 2.4 shows sectoral recurrent estimates and exchequer issues for the period July 2016 to March 2017.

Table 2.4: Sectoral Recurrent Estimates and Exchequer issues, July 2016 to March 2017
(Kshs. Billions)

Name of the Sector	Third Quarter, FY 2016/17				Third Quarter, FY 2015/16			
	Revised Gross Estimates	Revised Net Estimates	Exchequer Issues	% of Exch. To Net Estimates	Gross Estimates	Net Estimates	Exchequer Issues	% of Exchequer To Net Estimates
Agriculture, Rural & Urban Development	18.5	18.5	11.2	60.9	16.7	16.2	9.4	58.0
Education	317.9	299.6	213.7	71.3	299.6	280.6	210.7	75.1
Energy, Infrastructure and Information Communications Technology (EI & ICT)	65.5	12.7	6.8	53.4	40.8	7.9	5.3	66.8
Environmental Protection, Water and Natural Resources	23.0	13.3	8.3	62.5	17.8	9.4	6.8	72.6

General Economic and Commercial Affairs (GECA)	13.3	12.3	9.0	73.0	7.1	7.0	5.1	72.6
Governance, Justice, Law and Order (GJLOS)	171.1	170.3	105.4	61.9	133.5	132.7	92.0	69.3
Health	34.1	30.2	15.5	51.5	28.5	24.5	19.3	78.7
Public Administration and International Relations (PAIR)	120.7	119.9	72.3	60.3	115.5	114.1	69.3	60.7
Social Protection, Culture and Recreation	25.1	25.1	11.9	47.4	12.3	12.1	7.0	57.6
National Security	129.0	129.0	77.7	60.2	112.5	112.5	75.7	67.3
Total	918.4	830.9	532.0	64.0	784.2	717.0	500.5	69.8

Source: National Treasury & OCOB

Analysis of the approved withdrawals to MDAs recurrent activities shows that, the General Economic and Commercial Affairs (GECA) sector received the highest percentage of exchequer releases to revised net estimates at 73 per cent while Social Protection, Culture and Recreation sector recorded the lowest proportion at 47.4 per cent, a decline compared to 57.6 per cent recorded in a similar period of FY 2015/16.

2.4.2 Exchequer Issues to Consolidated Fund Services in the First Nine Months of FY 2016/17

In FY 2016/17, Consolidated Fund Services allocation in the revised budget amounted to Kshs.510.7 billion from the original budget of Kshs.527.3 billion. Table 2.5 shows the annual allocation and exchequer issues for CFS in the period July 2016 to March 2017.

Table 2.5: CFS Estimates and Exchequer Issues for the period July 2016 to March 2017 (Kshs. Millions)

Consolidated Fund Services (CFS)	Revised Net Estimates	Exchequer Issues	% to the Net Estimates
Public Debt	449,437.7	273,643.7	60.9
Pensions and Gratuities	55,691.1	39,155.6	70.3
Salaries, Allowances & Miscellaneous	5,615.8	2,755.6	49.1
Subscriptions to International Organizations	0.5	-	-
Total	510,745.1	315,555.0	61.8

Source: National Treasury and OCOB

In the period under review, the total exchequer issues for CFS amounted to Kshs.315.6 billion, representing 61.8 per cent of the revised net estimates. Pensions and Gratuities received the highest proportion of exchequer issues to net estimates at 70.3 per cent while Salaries, Allowances and Miscellaneous had the lowest at 49.1 per cent. Subscriptions to International Organizations expenditure did not receive exchequer issues in the period

under review.

2.4.3 Development Exchequer Issues by Sector

The total exchequer issues released to MDAs for development activities in the reporting period amounted to Kshs.222 billion, representing 51.9 per cent of the revised net development estimates, an increase compared to 44.9 per cent (Kshs.174.6 billion) recorded in a similar period of FY 2015/16. Table 2.6 shows Sectoral development estimates and exchequer issues for the period July 2016 to March 2017.

Table 2.6: Sectoral Development Estimates and Exchequer Issues for the Period July 2016 to March 2017 (Kshs. Billions)

Name of the Sector	Third Quarter, FY 2016/17				Third Quarter, FY 2015/16			
	Revised Gross Estimates	Revised Net Estimates	Exchequer Issues	% of Exch. To Net Estimates	Gross Estimates	Net Estimates	Exchequer Issues	% of Exchequer To Net Estimates
Agriculture, Rural & Urban Development	29.8	18.8	11.8	63.0	63.0	50.4	26.3	52.1
Education	28.5	21.3	11.6	54.5	36.7	32.6	3.7	11.3
Energy, Infrastructure and Information Communications Technology (EI & ICT)	548.2	188.0	89.6	47.7	363.8	101.7	60.5	59.4
Environmental Protection, Water and Natural Resources	71.3	30.3	16.9	55.7	45.2	25.5	7.8	30.5
General Economic and Commercial Affairs (GECA)	11.1	7.3	4.5	60.9	14.2	13.8	4.5	32.8
Governance, Justice, Law and Order (GJLOS)	34.3	32.8	14.0	42.5	20.6	20.2	9.7	48.0
Health	39.4	29.0	19.6	67.5	30.7	19.6	11.3	57.4
Public Administration and International Relations (PAIR)	96.1	74.7	39.4	52.8	127.9	106.1	44.6	42.1
Social Protection, Culture and Recreation	28.5	25.6	14.6	57.1	19.2	19.1	6.4	33.5
Total	887.3	427.7	222.0	51.9	721.3	389.1	174.6	44.9

Source: National Treasury & OCOB

The Health Sector received the highest development exchequer issues to revised net estimates at 67.5 per cent while Governance, Justice, Law and Order (GJLOS) Sector received the lowest at 42.5 per cent, a decline from 48.0 per cent recorded in a similar period of FY 2015/16.

3 NATIONAL GOVERNMENT OVERALL EXPENDITURE ANALYSIS

3.1 Introduction

This chapter presents expenditure analysis for the first nine months of FY 2016/17 for both development and recurrent expenditure by MDAs and the Consolidated Fund Services (CFS). CFS is discussed under recurrent expenditure and it highlights the performance of the public debt, pensions and gratuity, salaries and allowances to constitutional offices and the guaranteed loans by the government. The chapter also presents expenditure by economic items by MDAs for both development and recurrent votes.

3.2 Overall Government Budget Performance

In the FY 2016/17, the revised aggregate budget for the government was Kshs.2.6 trillion, as presented in table 3.1. This includes the budget estimates for the national government entities and the county governments and presented in a summarised form and compared to the previous financial year, FY 2015/16.

Table 3.1: Overall Government Budget Performance for the First Nine Months of FY 2016/17 in Comparison to FY 2015/16 (Kshs. Billion)

VOTE	FY 2016/17						FY 2015/16					
	Revised Gross Estimates	Revised Net Estimates	Cumulative Exchequer Issues	Cumulative Expenditure	% of Exchequer to revised Net Estimates	Absorption Rate (%)	Gross Estimates	Net Estimates	Exchequer Issues	Expenditure	% Exchequer to Net Estimates	Absorption rate (%)
Recurrent	1,429.1	1,341.6	847.6	918.8	63.2	64.3	1,225.7	1,158.5	852.8	831.1	73.6	67.9
:MDAs	918.3	830.9	532.0	602.4	64.0	65.6	784.2	717.0	500.5	479.8	69.8	61.2
:CFS	510.7	510.7	315.6	316.3	61.8	61.9	441.5	441.5	352.3	351.2	79.5	72.7
Development	887.3	427.7	222.0	400.1	51.9	45.1	721.3	389.1	174.6	247.4	44.9	34.3
County Governments	300.1	284.7 *	185.2	210.4**	65.1	70.1	287.0	264.2	161.6*	183.8	61.2	63.9
Total	2,616.5	2,054.0	1,254.8	1,529.3	61.1	58.4	2,234.0	1,811.8	1,189.0	1,262.2	65.6	56.5

Source: NT, OCOB, MDAs & County Treasuries

* Refers to shareable revenue exchequer issues.

** The difference between the exchequer issues of Kshs.185.2 billion and expenditure of Kshs.210.4 billion was financed by revenue from local sources and opening cash balance.

The total exchequer issues in the first nine months of FY 2016/17 amounted to Kshs.1,254.8 billion, representing 61.1 per cent of the revised net estimates, (a decline from 65.6 per cent issued in a similar period in FY 2015/16). The exchequer issues comprised of Kshs.847.6 billion for recurrent expenditure, Kshs.222 billion for development expenditure, and Kshs.185.2 billion for the County governments. Overall expenditure for both the National and County Governments was Kshs.1.5 trillion (Kshs.918.8 billion on recurrent, Kshs.400.1 billion on development,

and Kshs.210.4 billion by County Governments), representing an overall absorption rate of 58.4 per cent, an increase compared to 56.5 per cent recorded in a similar period of FY 2015/16.

Figure 3.1 and 3.2 shows comparison of sectors annual budget allocations and total expenditure in the First Nine Months of FY 2016/17.

Figure 3.1: Comparison of FY 2016/17 Annual Budget and Expenditure by Sector for the First Nine Months of FY 2016/17.

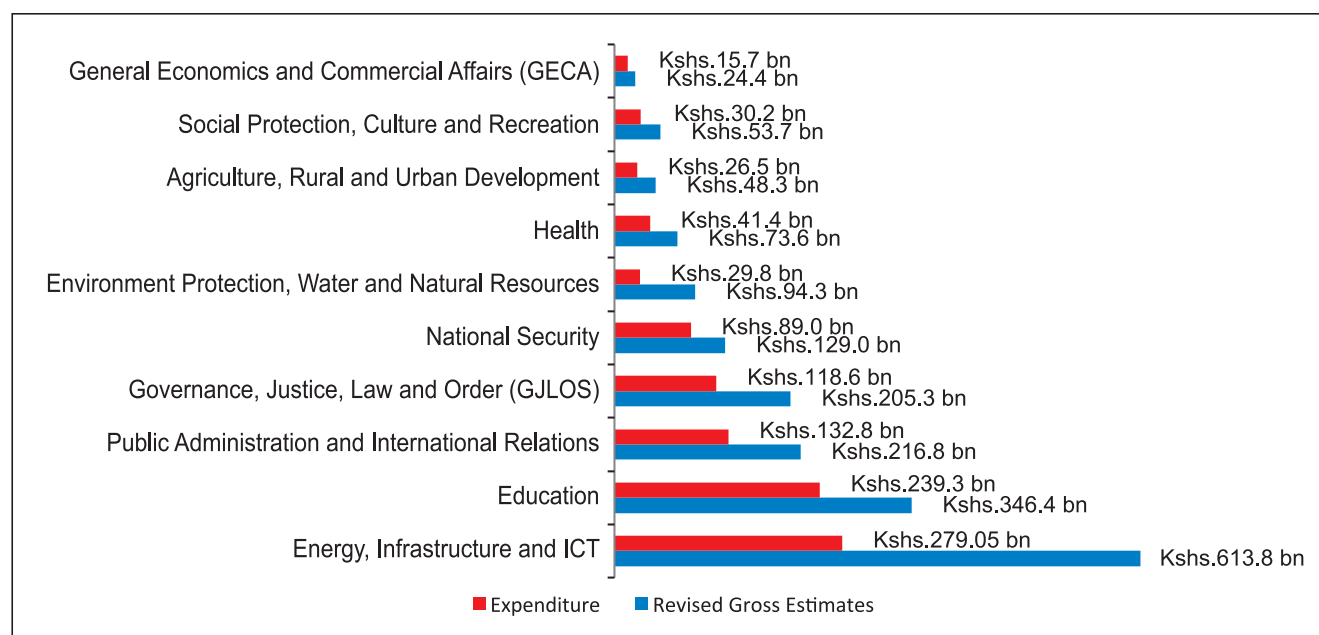
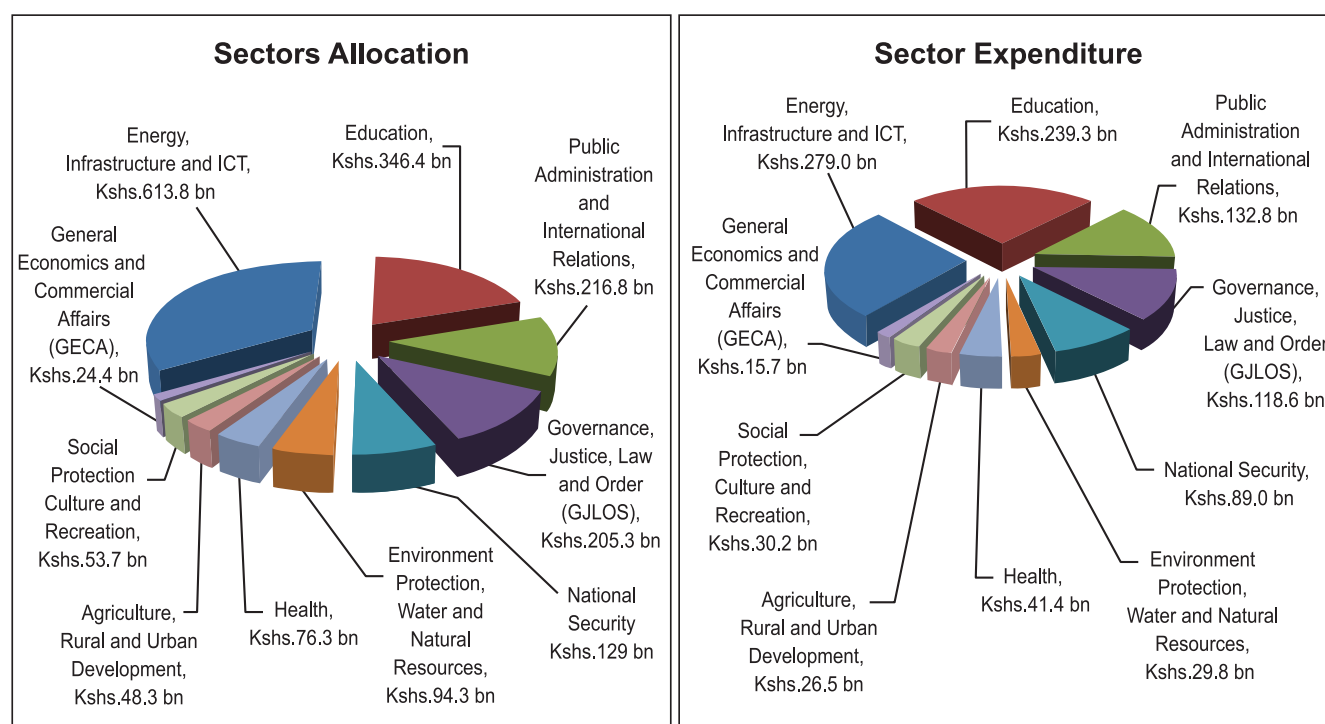


Figure 3.2: FY 2016/17 Annual Budget and Expenditure by Sector for the First Nine Months of FY 2016/17



Source: MDAs & National Treasury

3.3 Consolidated Fund Services (CFS)

The CFS comprises of funds allocated towards: (i) Repayment of public debt (domestic and foreign debt, and government guaranteed loans to parastatals), (ii) Pensions and gratuities, (iii) Salaries and allowances to Constitutional Office holders, and (iv) Subscriptions to International Organizations.

Table 3.2 presents a summary on CFS exchequer issues and expenditure performance in the first nine months of FY 2016/17.

Table 3.2: FY 2016/17 Annual Budget for CFS and Cumulative Expenditure for the First Nine Months of FY 2016/17 (Kshs. Millions)

Consolidated Fund Services (CFS)	Printed Estimates	Revised Estimates	Exchequer Releases	Nine Months Expenditure	Expenditure as a % of revised gross Estimates
Public Debt	466,514.0	449,437.7	273,643.7	274,346.2	61.0
Pensions and Gratuities	55,691.1	55,691.1	39,155.6	39,155.6	70.3
Salaries & Allowances	3,956.0	4,271.4	1,605	1,784.5	41.8
Subscriptions to International Organizations	0.5	0.5	-	-	-
Miscellaneous Services	128.0	128.0	-	-	-
Guaranteed Debt	1,017.2	1,216.4	1,150.6	1,061.0	87.2
Total	527,306.8	510,745.1	315,555.0	316,347.3	61.9

Source: National Treasury & OCOB

In the period under review, the total exchequer releases to CFS amounted to Kshs.315.6 billion, representing 61.9 percent of the revised estimates. The overall CFS expenditure amounted to Kshs.316.3 billion, a decline of 10 per cent from Kshs.351.2 billion spent in a similar period of FY 2015/16.

3.3.1 Public Debt

The revised allocation towards settlement of public debt in the FY 2016/17 amounted to Kshs.449.4 billion. The total exchequer issues for the first nine months amounted to Kshs.273.6 billion representing 60.9 per cent of the revised estimates. Actual expenditure during the period was Kshs.274.3 billion, representing 61 per cent of the revised annual estimates.

3.3.2 Guaranteed Debt to State Parastatals

The revised allocation towards the repayment of guaranteed loans to state agencies in the FY 2016/17 was Kshs.1.2 billion. Guaranteed loans received Kshs.1.1 billion as exchequer issues in the period under review with a total expenditure of Kshs.1.1 billion, representing 87.2 per cent of the revised annual estimates.

3.3.3 Salaries and Allowances for Constitutional Office Holders

The revised budget for payment of salaries and allowances for Constitutional Office holders in the FY 2016/17

was Kshs.4.3 billion. The total exchequer issues released in the period under review amounted to Kshs.1.6 billion representing 37.6 per cent of the revised annual estimates. Actual expenditure in the period under review was Kshs.1.8 billion representing 41.8 per cent of the revised annual estimates.

3.3.4 Pensions and Gratuities

The annual budget for pensions and gratuities in FY 2016/17 was Kshs.55.7 billion, which was a 7.7 per cent increase from Kshs.51.7 billion allocated in the FY 2015/16. The exchequer issues for the period under review amounted to Kshs.39.2 billion, representing 70.3 per cent of the annual net estimates, while expenditure was Kshs.39.2 billion an increase from Kshs.32.3 billion spent in a similar period of FY 2015/16.

3.4 MDAs Expenditure Analysis

This section presents analysis of MDAs expenditure for both development and recurrent votes and the Appropriations-In-Aid (A~I~A) received in the first nine months of FY 2016/17. Recurrent expenditure is analysed based on major economic items namely; Personnel Emoluments (PE), Domestic and Foreign Travel, Printing and advertising, Rentals and rates for non-residential, Training, Hospitality, Maintenance expenses for motor vehicles and other assets, Current transfers to Semi-Autonomous Government Agencies (SAGAs) and other expenses.

Development expenditure is analysed by the main economic items, which include; Maintenance of motor vehicles and other assets for programmes/projects, Capital transfers to SAGAs, Civil works and construction of residential buildings, Refurbishment of buildings, Purchase of specialized plant, equipment and machinery, Pre-feasibility studies and other development expenditure.

3.4.1 MDAs Recurrent Expenditure Analysis

In the FY 2016/17, the revised allocation for MDAs recurrent expenditure amounted to Kshs.918.4 billion. In the first nine months of the financial year, the gross recurrent expenditure by MDAs amounted to Kshs.602.4 billion representing 65.6 per cent of the revised gross recurrent budget. The breakdown of the MDAs total recurrent expenditure for the period under review is presented in table 3.3.

Table 3.3 Breakdown of Recurrent Expenditure by MDAs for the Period July 2016 to March 2017 (Kshs. Millions)

MINISTRY/STATE DEPARTMENT	Personnel Emoluments	Domestic Travel	Foreign Travel	Printing and Advertising	Rentals and Rates- Non Residential	Training	Hospitality	Maintenance Expenses- Motor Vehicles	Maintenance Expenses- Other Assets	Current Transfers	Other Expenses	Gross Expenditure	AIA	Net Expenditure
The Presidency	1,014.0	436.9	180.2	14.9	17.8	32.7	714.8	145.7	32.9	204.7	2,461.3	5,256.0	13.6	5,242.3
State Department for Interior	66,822.8	629.1	30.3	2.6	563.2	456.9	52.1	199.2	59.4	540.6	-	69,356.2	-	69,356.2
State Department for Correctional Services	9,021.0	127.6	11.6	0.3	66.9	77.8	36.1	33.8	2.0	-	3,151.2	12,528.3	-	12,528.3
State Department for Devolution	119.9	14.2	1.5	1.7	20.6	3.7	13.7	3.3	1.1	296.3	23.4	499.5	-	499.5
State Department for Special Programmes	71.4	13.5	2.8	0.5	30.4	7.8	9.9	2.8	1.4	602.7	2,649.0	3,392.2	-	3,392.2
State Department for Planning & Statistics	335.0	39.6	23.9	9.4	22.9	62.2	66.7	13.0	3.6	4,218.0	586.2	5,380.5	-	5,380.5
Ministry of Defence	582.0	30.4	11.6	0.4	-	20.9	7.5	6.2	3.8	68,473.0	68.6	69,204.4	-	69,204.4
Ministry of Foreign Affairs and International Trade	5,342.5	-	1,210.7	18.5	852.6	20.1	346.8	84.4	125.8	2,137.1	2,404.1	12,542.8	306.5	12,236.3
State Department for Basic Education	1,635.7	52.9	16.5	5.7	14.3	29.1	24.8	7.6	19.7	15,326.8	29,316.9	46,450.1	1,327.0	45,123.1
State Department for Vocational and Technical Training	-	11.2	4.9	1.3	0.2	0.8	5.1	2.9	1.0	1,609.8	12.2	1,649.5	-	1,649.5
State Department for University Education	256.7	11.3	3.4	1.1	42.1	6.0	3.8	0.9	1.8	31,777.9	104.5	32,209.4	3,121.2	29,088.2
The National Treasury	3,152.3	18.3	25.5	0.9	7.2	37.1	152.0	2.4	5.8	14,802.3	6,176.9	24,380.5	-	24,380.5
Ministry of Health	3,058.5	39.5	3.4	76.0	-	167.3	21.4	14.5	34.0	12,263.7	911.2	16,589.3	6.1	16,583.2
State Department for Infrastructure	648.9	20.4	3.4	1.3	-	4.8	16.5	6.0	15.2	31,154.8	82.7	31,953.9	31,173.4	780.5
State Department for Transport	136.7	5.8	1.3	-	0.8	3.1	2.4	3.0	62.9	4,431.9	38.3	4,686.3	3,602.1	1,084.2
State Department for Maritime Affairs	17.4	11.9	2.8	0.6	-	3.5	6.3	0.5	1.4	30.0	82.5	157.0	-	157.0
State Department for Housing & Urban Development	395.3	25.4	7.6	3.4	70.9	14.1	15.8	6.7	5.9	410.0	1,138.4	2,093.4	-	2,093.4
State Department for Public Works	403.0	15.1	1.4	0.5	65.9	3.6	7.1	1.2	8.1	36.5	-	542.3	0.2	542.1
State Department for Water Services	462.9	19.4	5.0	1.8	0.1	7.3	2.4	3.2	7.2	2,122.8	-	2,632.2	-	2,632.2
State Department for Irrigation	40.5	6.5	4.2	0.9	-	4.7	2.5	0.6	0.4	230.9	8.7	299.8	143.6	156.2
State Department for Environment	714.2	61.5	43.4	0.5	56.6	9.9	38.8	2.2	3.1	551.6	337.6	1,819.5	10.8	1,808.7
State Department for Natural Resources	55.6	13.8	18.7	0.7	45.7	2.7	4.1	1.2	1.0	3,522.5	592.6	4,258.6	-	4,258.6
Ministry of Lands and Physical Planning	1,428.0	7.9	2.1	1.0	0.6	4.4	3.1	2.5	4.0	-	75.8	1,529.3	-	1,529.3

MINISTRY/STATE DEPARTMENT	Personnel Emoluments	Domestic Travel	Foreign Travel	Printing and Advertising	Rentals and Rates- Non Residential	Training	Hospitality	Maintenance Expenses- Motor Vehicles	Maintenance Expenses- Other Assets	Current Transfers	Other Expenses	Gross Expenditure	AIA	Net Expenditure
State Department of Information Communications & Technology & Innovation	69.3	17.0	8.4	2.5	24.4	3.9	12.0	2.9	1.0	565.7	74.8	782.1	-	782.1
State Department for Broadcasting & Telecommunications	251.0	28.9	11.8	468.9	44.3	10.6	22.5	5.5	1.0	444.2	-	1,288.5	-	1,288.5
State Department for Sports Development	249.2	112.5	612.7	0.7	36.2	-	374.1	4.4	1.2	1,365.7	87.5	2,844.2	-	2,844.2
State Department for Arts and Culture	41.0	21.6	8.7	8.0	22.8	42.8	18.5	5.5	5.4	1,997.7	120.6	2,292.4	-	2,292.4
State Department Energy	320.8	22.8	0.8	0.3	-	29.4	15.0	3.8	1.7	1,145.7	201.2	1,741.5	641.4	1,100.1
State Department of Petroleum	26.2	10.6	2.0	0.7	3.8	1.6	-	-	0.2	-	0.8	46.1	7.9	38.2
State Department for Agriculture	548.4	23.1	6.8	4.5	15.2	9.2	3.2	5.2	2.4	3,480.2	1,758.1	5,856.2	-	5,856.2
State Department for Livestock	1,579.7	19.3	1.0	0.2	28.2	4.7	3.8	1.7	0.8	2,002.9	-	3,642.2	5.2	3,637.0
State department for Fisheries and the Blue Economy	29.1	10.8	3.2	0.6	-	9.4	7.0	1.0	0.8	-	1,125.2	1,187.1	-	1,187.1
State Department of Investment and Industry	644.3	24.3	17.5	2.5	84.0	20.1	12.5	3.4	5.2	1,415.0	243.3	2,472.1	0.1	2,472.1
State Department for Cooperatives	-	4.0	1.2	1.0	-	2.5	1.9	0.5	-	138.2	2,786.3	2,935.6	3.7	2,931.9
State Department for Trade	129.8	126.4	78.4	107.9	228.9	2.6	251.3	2.3	1.2	1,135.9	777.1	2,841.7	3.6	2,838.2
State Department for East African Integration	255.2	17.2	55.0	4.0	39.2	9.3	26.6	2.4	0.7	877.1	-	1,286.7	-	1,286.7
State Department for Labour	388.5	23.7	16.7	3.1	168.1	10.8	15.8	1.3	1.4	235.6	37.2	902.0	10.2	891.8
State Department for Social Protection	1,410.8	85.7	2.4	3.3	1.7	9.0	70.7	19.8	19.4	2,443.0	-	4,065.7	8.4	4,057.3
Ministry of Mining	216.1	16.7	8.9	4.6	4.1	19.1	4.7	4.5	4.0	-	178.4	461.0	-	461.0
Ministry of Tourism	285.5	2.6	4.0	0.2	45.6	2.6	4.7	0.8	0.4	669.3	-	1,015.7	-	1,015.7
State Department for Public Service and Youth Affairs	8,306.3	71.1	15.8	9.0	106.7	348.2	71.9	7.9	20.2	495.4	-	9,452.6	-	9,452.6
State Department for Gender	58.7	14.6	6.5	-	10.3	6.6	4.8	1.5	0.1	292.6	58.4	454.0	-	454.0
State Law Office and Department of Justice	646.6	34.1	32.8	1.1	62.8	25.1	14.3	2.2	0.5	1,158.7	12.8	1,991.1	-	1,991.1
The Judiciary	4,713.6	216.0	41.7	38.1	14.6	15.2	90.0	133.6	18.3	228.2	2,360.6	7,869.8	-	7,869.8
Ethics & Anti-Corruption Commission	-	-	-	-	-	-	-	-	-	2,383.7	-	2,383.7	-	2,383.7
National Intelligence Service	-	-	-	-	-	-	-	-	-	19,771.1	-	19,771.1	18.5	19,752.6
Office of the Director of Public Prosecutions	866.5	73.9	7.0	5.4	95.8	27.9	34.4	12.4	5.1	-	194.1	1,322.5	-	1,322.5

MINISTRY/STATE DEPARTMENT	Personnel Emoluments	Domestic Travel	Foreign Travel	Printing and Advertising	Rentals and Rates- Non Residential	Training	Hospitality	Maintenance Expenses- Motor Vehicles	Maintenance Expenses- Other Assets	Current Transfers	Other Expenses	Gross Expenditure	AIA	Net Expenditure
Office of the Registrar of Political Parties	166.5	11.6	0.4	2.3	12.3	11.8	4.5	0.8	0.2	212.6	-	423.0	13.0	410.0
Witness Protection Agency	125.6	4.0	1.1	0.8	9.7	4.3	8.1	4.5	0.8	-	125.1	283.9	-	283.9
Kenya National Human Rights & Equality Commission	162.8	22.4	8.2	5.1	35.0	5.1	6.0	4.7	0.2	35.1	41.0	325.6	-	325.6
National Lands Commission	524.7	61.9	19.4	27.4	19.7	16.9	177.6	5.9	2.7	-	134.4	990.8	-	990.8
Independent Electoral and Boundaries Commission	2,780.4	504.9	47.8	-	-	169.6	160.0	51.4	5.0	-	2,164.7	5,883.8	-	5,883.8
Parliamentary Service Commission	2,500.7	774.5	751.3	91.3	-	259.6	205.8	32.1	50.6	5.0	1,682.2	6,353.2	-	6,353.2
National Assembly	5,437.1	2,315.5	1,130.2	36.6	-	115.5	196.7	23.9	15.2	-	1,076.8	10,347.5	-	10,347.5
Judicial Service Commission	-	39.5	20.6	8.8	7.0	82.2	70.9	0.2	0.3	-	14.7	244.1	-	244.1
The Commission on Revenue Allocation	114.8	8.6	0.2	2.7	33.4	5.8	7.3	2.3	0.4	-	35.1	210.5	-	210.5
Public Service Commission	422.5	49.5	11.3	21.6	6.0	24.8	47.2	3.6	4.6	-	330.2	921.5	0.7	920.7
Salaries & Remuneration Commission	165.2	10.3	1.3	4.1	14.8	3.4	53.1	1.9	2.3	-	41.0	297.5	-	297.5
Teachers Service Commission	142,493.4	70.8	5.9	7.0	13.0	60.8	20.8	22.6	39.8	-	543.4	143,277.5	-	143,277.5
National Police Service Commission	151.5	33.8	-	2.0	41.3	3.4	25.7	13.2	1.2	-	56.8	328.8	-	328.8
Auditor General	1,868.6	307.6	32.9	9.4	105.4	54.2	18.9	14.1	5.8	-	589.8	3,006.6	119.9	2,886.7
Controller of Budget	199.3	9.1	2.7	29.0	0.3	8.0	9.0	2.0	0.4	-	34.4	294.2	-	294.2
The Commission on Administrative Justice	157.8	8.0	4.7	3.5	33.4	8.5	4.3	1.7	2.0	-	95.2	319.0	-	319.0
National Gender & Equality Commission	105.1	18.8	5.1	3.4	40.5	18.1	4.9	4.2	0.5	-	91.7	292.2	-	292.2
Independent Police Oversight Authority	165.2	22.2	1.5	2.9	25.2	2.6	20.9	2.0	1.2	-	75.0	318.8	-	318.8
Total	274,291.9	6,861.8	4,603.9	1,068.7	3,312.6	2,445.7	3,655.1	957.5	625.7	237,242.5	67,370.0	602,434.9	40,537.1	561,897.8

Source: MDAs and National Treasury (IFMIS Directorate)

Note: Based on expenditure reports from IFMIS and financial reports from the MDAs, some MDAs generated and utilised Appropriations-in-Aid (A-I-A). Expenditure on PE does not include figures for the National Intelligence Service, Ethics and Anti-Corruption Commission and partially for the Ministry of Defence.

Analysis of recurrent expenditure by MDAs in the first nine months of the FY 2016/17 shows that, the highest spending category was Personnel Emoluments (PE) at Kshs.274.3. billion representing 45.5 per cent of the gross recurrent expenditure. Current transfers to Semi-Autonomous Government Agencies (SAGAs) amounted to Kshs.237.2 billion or 39.4 per cent of gross recurrent expenditure. Other economic items with high expenditures includes; Kshs.6.9 billion and Kshs.4.6 billion spent on domestic travel and on foreign travel respectively, Kshs.3.7 billion on hospitality, Kshs.3.3 billion on rentals and rates for non-residential, and Kshs.2.4 billion on training.

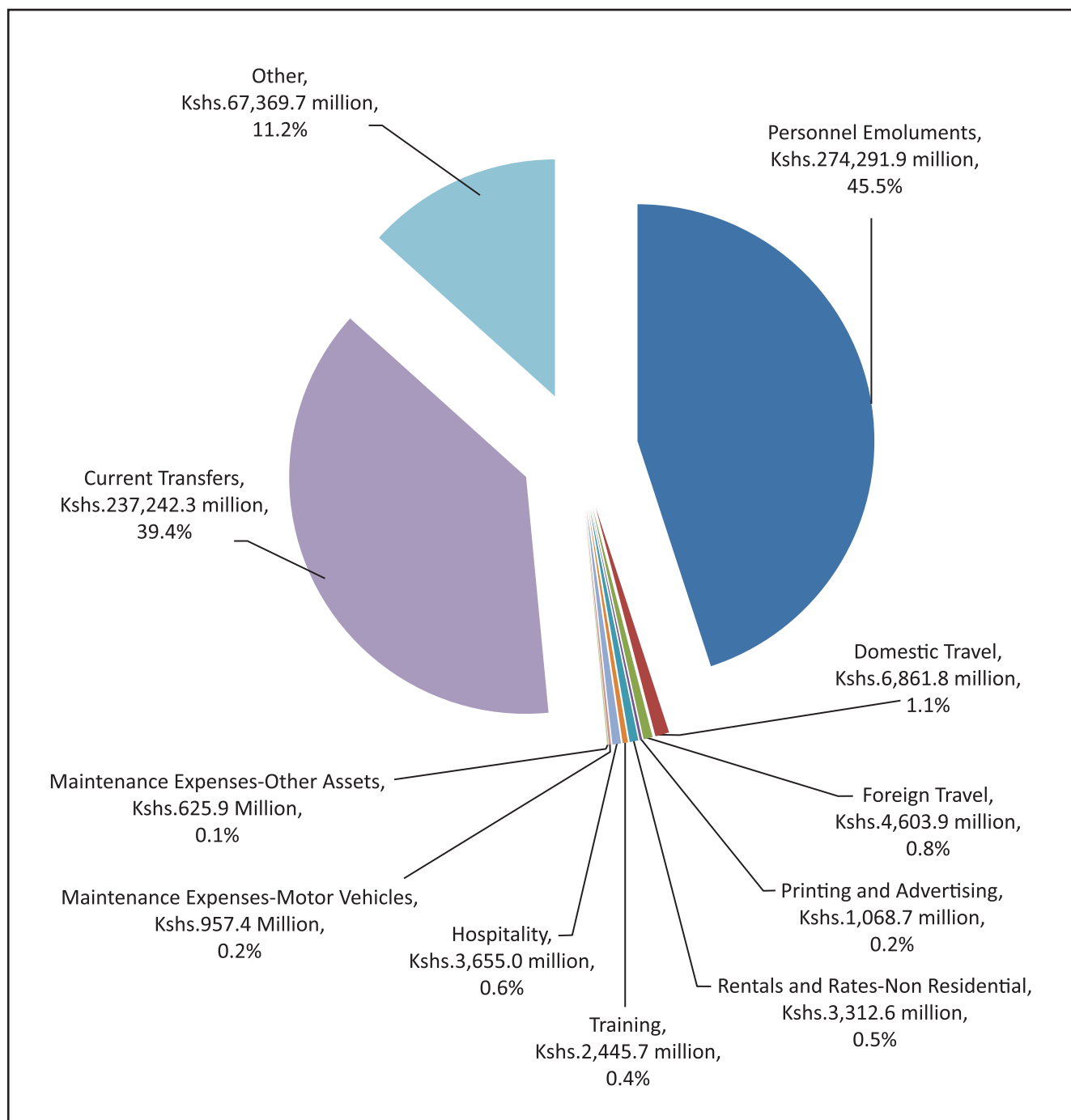
The highest expenditure on PE was incurred by Teachers Service Commission at Kshs.142.5 billion, which was 52 per cent of the total PE expenditure by MDAs while the highest transfers to SAGAs was in the Ministry of Defence at Kshs.68.3 billion.

The highest expenditure by MDAs in other categories included Kshs.2.3 billion on domestic travel by the National Assembly, Kshs.1.2 billion and Kshs.1.1 billion by the Ministry of Foreign Affairs and International Trade and the National Assembly respectively on foreign travel, and Kshs.788.6 million on hospitality by the Office of the President.

Other Operations and Maintenance (O&M) expenditure amounted to Kshs.67.4 billion, accounting for 11.2 per cent of gross recurrent expenditure.

Figure 3.3 shows the composition of MDAs recurrent expenditure for the First Nine Months FY 2016/17.

Figure 3.3: Summary Analysis of MDAs' Recurrent Expenditure in the First Nine Months of FY 2016/17



Source: MDAs and National Treasury

3.4.2 MDAs Development Expenditure Analysis

In the FY 2016/17, the revised allocation to MDAs development expenditure amounted to Kshs.887.3 billion. In the first nine months of the FY 2016/17, gross development expenditure amounted to Kshs.400.1 billion translating to an absorption rate of 45.1 per cent, an increase from 34.3 per cent reported in a similar period last financial year, FY 2015/16.

Table 3.4 shows breakdown of development expenditure by MDAs for the period July 2016 to March 2017.

Table 3.4: Breakdown of Development Expenditure by MDAs for the Period July 2016 to March 2017 (Kshs. Millions)

MINISTRY/STATE DEPARTMENT	Mof Motor Vehicles (Projects & Programs)	Maintenance of other Assets	Capital Transfers	Construction of Building	Refurbishment of Buildings/ Infrastructure	Residential (Including Hostels)	Construction and Civil Works	Purchase of Specialised Plant, Equipment and Machinery	Pre-Feasibility and Appraisal Studies	Other Expenses	Gross Expenditure	(A-I-A)	Net Expenditure
The Presidency	-	-	150.9	-	26.6	-	54.5	-	-	-	232.0	-	232.0
State Department for Interior	-	17.3	22.7	429.5	1.5	-	5.6	8,612.2	-	4,222.5	13,311.4	-	13,311.4
State Department for Correctional Services	-	-	-	-	-	-	-	100.3	-	11.0	111.3	-	111.3
State Department for Devolution	-	-	77.8	-	-	-	-	-	-	209.9	287.7	-	287.7
State Department for Special Programmes	-	-	-	-	-	-	-	-	-	2,866.8	2,866.8	-	2,866.8
State Department for Planning & Statistics	-	0.1	31,286.1	-	8.2	-	140.3	-	92.7	271.3	31,798.7	15.3	31,783.4
Ministry of Defence	-	-	-	-	-	-	-	-	-	35.0	35.0	-	35.0
Ministry of Foreign Affairs	-	-	61.7	-	-	-	1,800.0	-	-	392.5	2,254.2	-	2,254.2
State Department for Basic Education	-	-	8,783.4	-	-	-	-	-	-	0.1	8,783.6	-	8,783.6
State Department for Vocational and Technical Training	-	-	1,352.2	45.0	-	-	-	442.2	7.7	5.7	1,852.8	-	1,852.8
State Department for University Education	0.4	-	3,883.4	938.3	-	-	-	-	-	279.1	5,101.1	1,176.1	3,925.1
The National Treasury	0.1	-	6,778.0	-	-	-	-	192.4	204.0	1,528.4	8,703.0	277.7	8,425.3
Ministry of Health	-	-	14,421.7	71.7	-	-	-	-	-	10,314.7	24,808.0	50.8	24,757.3
State Department for Infrastructure	-	219.7	60,186.8	53.0	132.1	-	50.0	1.9	86.9	701.1	61,431.5	14,337.2	47,094.4
State Department for Transport	-	-	8,749.7	-	97,288.8	-	-	-	103.7	-	106,142.2	31,231.0	74,911.3
State Department Housing and Urban Development	-	-	37.8	199.2	86.9	-	9,853.4	-	32.4	448.3	10,658.0	1,949.0	8,709.1
State Department of Public Works	-	-	-	604.3	-	-	57.9	-	4.3	-	666.6	-	666.6
State Department for Water Services	7.0	-	2,741.3	1,311.3	-	-	-	-	11.3	5,692.8	9,763.5	-	9,763.5
State Department for Irrigation	-	-	5,966.7	-	-	-	311.0	-	-	685.6	6,963.3	-	6,963.3
State Department for Environment	-	3.1	325.0	-	113.0	-	-	526.8	27.4	210.7	1,206.0	-	1,206.0
State Department for Natural Resources	-	-	1,294.0	-	-	-	-	-	-	2.4	1,296.5	175.1	1,121.3
Ministry of Lands and Physical Planning	-	6.3	3.4	-	14.0	-	-	50.4	559.6	1,445.2	2,078.9	-	2,078.9
State Department of Information Communications & Technology & Innovation	-	-	21,648.9	-	-	-	-	-	-	-	21,648.9	2,947.6	18,701.3

MINISTRY/STATE DEPARTMENT	Mof Motor Vehicles (Projects & Programs)	Maintenance of other Assets	Capital Transfers	Construction of Building	Refurbishment of Buildings/ Infrastructure	Residential (Including Hostels,)	Construction and Civil Works	Purchase of Specialised Plant, Equipment and Machinery	Pre-Feasibility and Appraisal Studies	Other Expenses	Gross Expenditure	(A-I-A)	Net Expenditure
State Department of Broadcasting and Telecommunications	-	-	305.5	-	-	-	-	-	-	-	305.5	-	305.5
State Department for Sports Development	-	-	923.2	-	-	-	-	-	-	-	923.2	-	923.2
State Department for Arts and Culture	-	-	387.7	6.5	24.0	-	-	22.7	-	-	440.8	-	440.8
State Department for Energy	-	-	15,790.8	-	12.8	-	15,880.1	5.8	302.7	-2,262.0	34,254.2	18,556.7	15,697.5
State Department of Petroleum	-	-	20.3	-	-	1.2	-	71.2	87.9	390.2	570.7	-	570.7
State Department for Agriculture	-	-	1,955.1	-	-	-	18.6	10.4	8.1	5,891.8	7,884.0	306.8	7,577.2
State Department for Livestock	-	-	1,396.1	10.0	50.9	-	-	-	-	65.4	1,522.4	587.1	935.3
State department for Fisheries and Blue Economy	-	-	945.0	-	315.6	-	-	-	-	481.0	1,741.6	-	1,741.6
State Department for Investment and Industry	-	-	2,444.0	-	-	-	-	-	-	56.2	2,500.2	-	2,500.2
State Department for Cooperatives	-	-	500.0	-	-	-	-	-	-	-	500.0	-	500.0
State Department for Trade	-	-	50.0	-	-	-	-	-	3.5	-	53.5	-	53.5
State Department for East African Integration	-	-	-	-	-	-	-	-	-	-	-	-	-
State Department for Labour	-	-	49.6	30.0	-	-	-	6.2	54.9	53.7	194.4	-	194.4
State Department for Social Protection	8.7	3.4	6,265.3	-	-	-	-	-	85.9	3,081.8	9,445.1	-	9,445.1
Ministry of Mining	-	18.4	-	6.0	-	-	18.0	416.8	209.6	463.8	1,132.6	-	1,132.6
Ministry of Tourism	-	-	1,565.8	-	-	-	-	-	491.7	-	2,057.5	-	2,057.5
State Department for Public Service and Youth Affairs	-	220.9	305.3	341.4	163.3	-	118.1	848.6	-	6,622.4	8,620.0	-	8,620.0
State Department for Gender	-	-	2,572.5	-	-	-	-	-	-	-	2,572.5	-	2,572.5
State Law Office and Department of Justice	-	-	-	-	-	-	-	-	-	2.9	2.9	-	2.9
The Judiciary	-	-	11.4	176.7	36.2	-	-	2.8	-	1,359.7	1,586.8	-	1,586.8
Ethics & Anti-Corruption Commission	-	-	-	-	-	-	-	-	-	-	-	-	-
Office of the Directorate of Public Prosecution	-	-	-	7.5	8.8	-	-	-	-	2.6	18.9	-	18.9
National Land Commission	-	-	-	-	-	-	-	21.3	82.0	-	103.3	-	103.3
Independent Electoral and Boundaries Commission	-	-	-	-	-	-	-	-	-	-	-	-	-
Parliamentary Service Commission	-	-	-	1,202.9	339.2	-	-	-	-	-	1,542.2	-	1,542.2

MINISTRY/STATE DEPARTMENT	Mof Motor Vehicles (Projects & Programs)	Maintenance of other Assets	Capital Transfers	Construction of Building	Refurbishment of Buildings/ Infrastructure	Residential (Including Hostels,)	Construction and Civil Works	Purchase of Specialised Plant, Equipment and Machinery	Pre- Feasibility and Appraisal Studies	Other Expenses	Gross Expenditure	(A-I-A)	Net Expenditure
Public Service Commission	-	-	-	22.0	56.9	-	-	-	-	-53.9	25.0	-	25.0
Teachers Service Commission	-	-	-	-	-	-	-	-	-	-	-	-	-
Auditor General	-	-	-	-	0.1	-	-	-	0.1	62.4	62.6	-	62.6
Total	16.2	489.3	203,258.8	5,455.3	98,679.2	1.2	28,307.5	11,332.1	2,456.5	50,065.0	400,060.9	71,610.2	328,450.7

source: MDAs and National Treasury (IFMIS Directorate)

Analysis of MDAs development expenditure by economic item in the first nine months of FY 2016/17 shows that, Capital Transfers to Semi-Autonomous Government Agencies (SAGAs) had the highest expenditure at Kshs.203.3 billion, an equivalent of 50.8 per cent of the gross development expenditure by the MDAs. The second highest spending category was refurbishment of buildings/infrastructure at Kshs.98.7 billion representing 24.5 per cent of the gross development expenditure. Other categories with notable expenditures include; Construction and civil works at Kshs.28.3 billion and purchase of specialised plant, equipment and machinery at Kshs.11.3 billion.

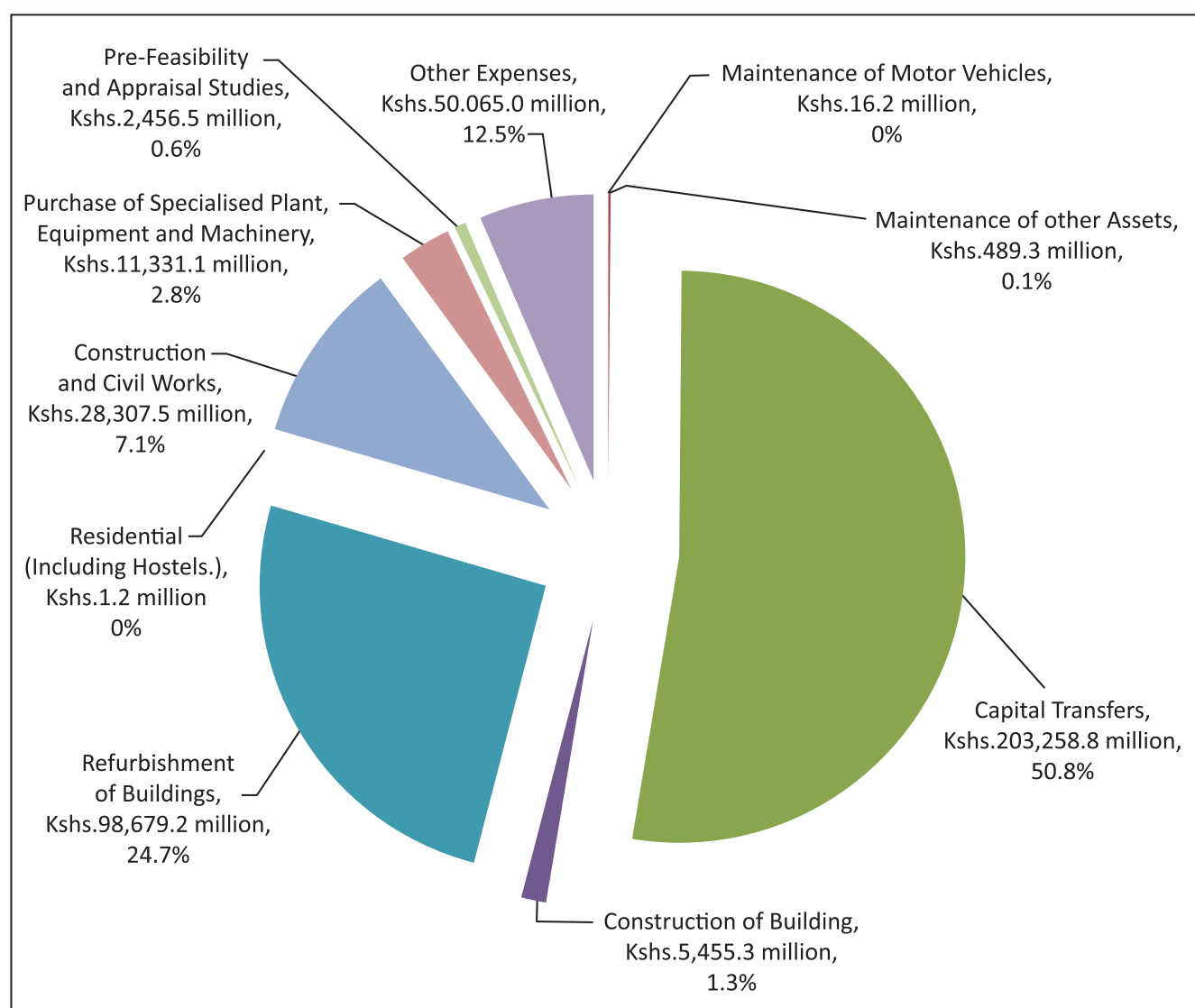
A review of the development expenditure by the MDAs during the period under review shows that the State Department for Infrastructure had the highest capital transfers to its SAGAs at Kshs.60.2 billion representing 29.6 per cent of the total capital transfers seconded by the State Department for Planning and Statistics at Kshs.31.3 billion representing 15.4 per cent of the total capital transfers by the MDAs.

In the same period, State Department for Energy reported the highest expenditure on construction and civil works at Kshs.15.9 billion translating to 56.1 per cent of the total MDA expenditure under this category. This was followed by State Department for Housing and Urban Development which spent Kshs.9.8 billion representing 34.8 per cent of the cumulative MDA expenditure on construction and civil works.

During the July 2016 to March 2017 period, MDAs reported Kshs.71.6 billion as A-I-A while Kshs.50.1 billion was spent on other development activities as shown in table 3.4

Figure 3.4 shows the composition of MDAs development expenditure for the first nine months, FY 2016/17.

Figure 3.4: Summary Analysis of MDAs' Development Expenditure for the First Nine Months of FY 2016/17 (Kshs. Million)



Source; MDAs and National Treasury

4 DEVELOPMENT AND RECURRENT EXPENDITURE ANALYSIS BY SECTOR, FIRST NINE MONTHS, FY 2016/17

4.1 Introduction

This chapter presents analysis of performance by Sector for both development and recurrent expenditure in the first nine months of FY 2016/17. The Sectors are discussed in alphabetical order as follows; Agriculture, Rural and Urban Development (ARUD); Education, Energy, Infrastructure and Information Communications Technology (EI & ICT); Environmental Protection, Water and Natural Resources (EWNRR); Governance, Justice, Law and Order (GJLO); Health, Public Administration and International Relations (PAIR); National Security, and Social Protection, Culture and Recreation Sector.

4.2 Agriculture, Rural and Urban Development (AR&UD) Sector

The Agriculture Rural and Urban Development (AR&UD) Sector consists of five MDAs namely: the Ministry of Lands and Physical Planning (MoLPP); the State Department for Agriculture; State Department for Livestock; the State Department for Fisheries and the Blue Economy and the National Land Commission (NLC). The Sector has twenty six Semi-Autonomous Government Agencies (SAGAs) and nine training institutions.

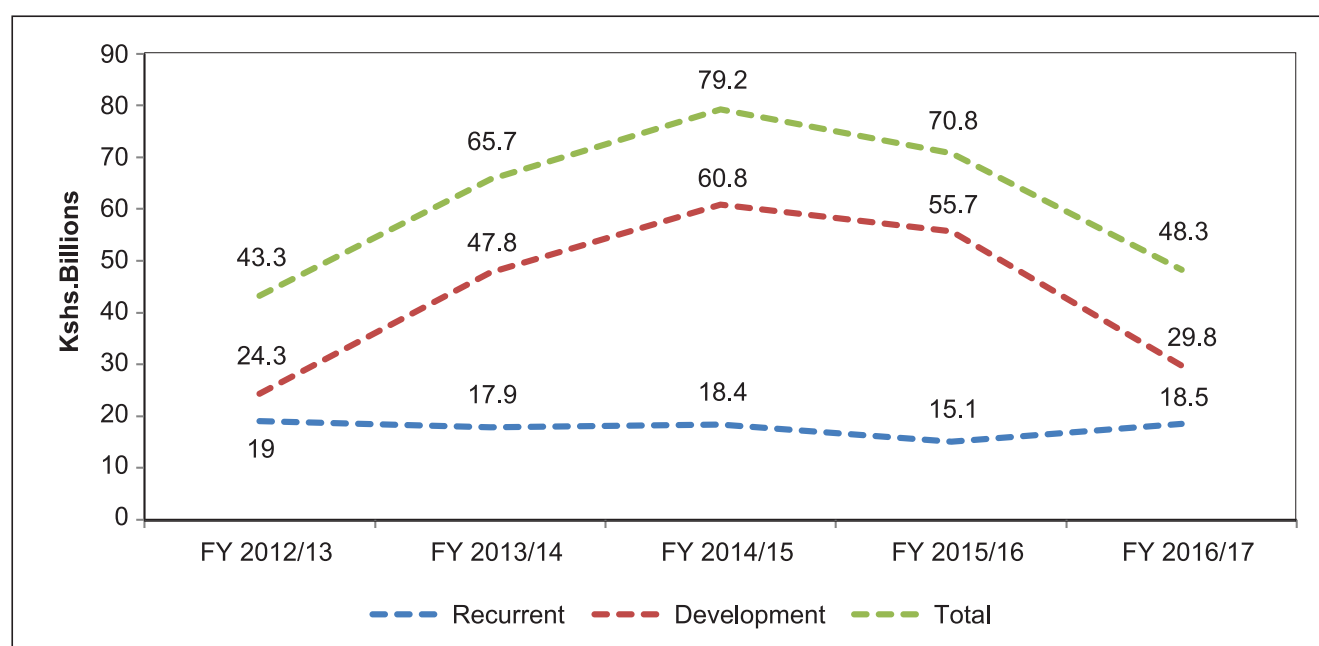
The Sector contributes significantly to the economy through the provision of raw materials for agro-based industries, agricultural exports as well as ensuring there is adequate food to the Kenyan population. The goal of this Sector is to attain national food security and sustainable management of land, and the blue economy. Some of the objectives of the Sector include: improve market access and trade; strengthen institutional capacity for improved service delivery; enhance the role of youth and women in the Sector; enhance accessibility, equity and sustainable management of the land resource; and improve storage, access and retrieval of land resource data and information.

The revised annual budgetary allocation to the Sector in the FY 2016/17 was Kshs.48.3 billion representing 1.8 per cent of gross national budget, a significant decrease from Kshs.79.9 billion allocated in FY 2015/16. This decline is attributed to the government re-organization that led to moving of the State Department for Housing & Urban Development from AR & UD Sector to Energy, Infrastructure and Information Communication Technology Sector.

The revised allocation comprised of Kshs.29.8 billion (61.7 per cent) for development activities and Kshs.18.5 billion (38.3 per cent) for recurrent expenditure. The State Department for Agriculture received the highest budgetary allocation of Kshs.19.5 billion (40.4 per cent of the Sector's allocation), while National Land Commission (NLC) had the lowest budgetary allocation of Kshs.1.4 billion (2.8 per cent of the Sector's allocation).

Figure 4.1 below shows the budgetary allocation trend for the AR& UD Sector for the period FY 2012/13 to FY 2016/17.

Figure 4.1: Budgetary Allocation Trend for the AR & UD Sector from FY 2012/13 to FY 2016/17 (Kshs. billion)



Source: National Treasury

In the first nine months of FY 2016/17, the sector received exchequer issues amounting to Kshs.23.1billion, representing 62.0 per cent of the sector's revised annual net estimates. This comprised of Kshs.11.8 billion for development expenditure, (63.0 per cent of the revised annual development net estimates) and Kshs.11.2 billion for recurrent expenditure or 60.9 per cent of the revised annual recurrent net estimates.

Table 4.1 shows AR & UD Sector analysis of exchequer issues and expenditure in the first Nine Months of FY 2016/17.

Table 4.1: AR & UD Sector-Analysis of Exchequer Issues and Expenditure for the period July 2016 to March 2017 (Kshs. Billions)

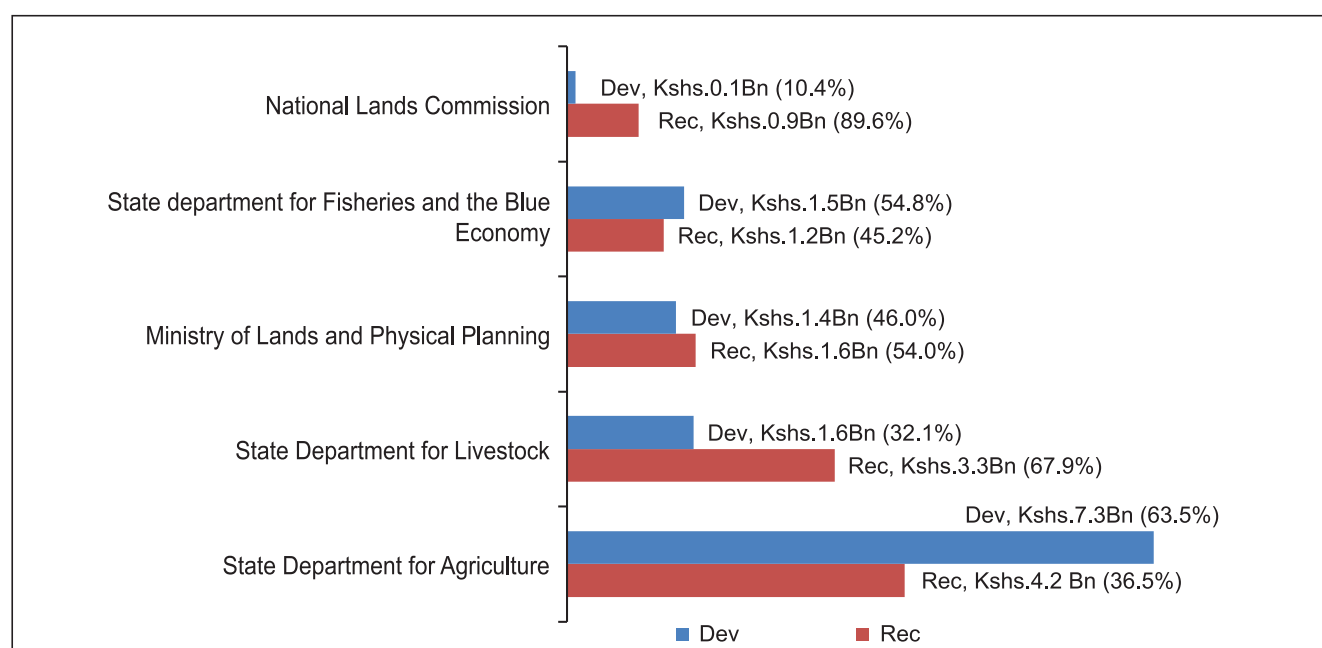
VOTE	Development						Recurrent					
	Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to Rev. Gross Est.	Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Rev. Net Est.	% of Exp. to Rev. Gross Est.
Ministry of Lands and Physical Planning	3.4	3.4	1.4	2.1	40.5	61.6	2.3	2.3	1.6	1.5	69.9	65.5
State Department for Agriculture	11.9	9.2	7.3	7.9	79.9	66.2	7.6	7.5	4.2	5.9	55.7	77.3
State Department for Livestock	11.2	3.5	1.6	1.5	45.2	13.6	5.5	5.5	3.3	3.6	60.7	65.9
State department for Fisheries and Blue Economy	3.2	2.7	1.5	1.7	55.1	55.2	1.8	1.8	1.2	1.2	65.4	64.3
National Land Commission	0.1	0.1	0.1	0.1	100	100.0	1.3	1.3	0.9	1.0	70.1	77.8
Total	29.8	18.8	11.8	13.3	63.0	44.8	18.5	18.5	11.2	13.2	60.9	71.3
Total for the Sector							Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Revised Net Est.	% of Exp. to Rev. Gross Est.
Development							29.8	18.8	11.8	13.3	63.0	44.8
Recurrent							18.5	18.5	11.2	13.2	60.9	71.3
Total							48.3	37.3	23.0	26.5	62.0	54.9

Source: MDAs and National Treasury

In the period under review, the National Land Commission received the highest proportion of exchequer issues to revised net estimates for both development and recurrent expenditure at 100 per cent and 70.1 per cent respectively. Ministry of Lands and Physical Planning received the lowest proportion at 40.5 per cent for development expenditure while the State Department for Agriculture received the lowest at 55.7 per cent for recurrent expenditure.

Figure 4.2 shows the exchequer issues to the AR&UD Sector in the first Nine Months FY 2016/17.

Figure 4.2: Exchequer Issues to the AR & UD Sector for the First Nine Months of FY 2016/17 (Kshs. Billions)



Source: National Treasury

The total expenditure for the sector during the first nine months FY 2016/17 was Kshs.26.5 billion, representing 54.9 per cent of the annual gross estimates, an improvement compared to 45.6 per cent recorded in the same period FY 2015/16. However, this expenditure was lower in absolute terms than the Kshs.36.4 billion spent in a similar period the previous Financial Year. The expenditure consisted of Kshs.13.3 billion spent on development activities and Kshs.13.2 billion in the recurrent activities. The Development expenditure represents an absorption rate of 44.8 per cent, an increase from 42.2 per cent recorded in the same period in FY 2015/16 while the recurrent expenditure represents 71.3 per cent of the recurrent estimates, an increase from 58.7 per cent (Kshs.9.8 billion) recorded in the same period FY 2016/17.

National Land Commission recorded highest absorption of development and recurrent budget at 100 per cent and 77.8 per cent respectively. State Department for Livestock recorded the lowest absorption of development fund at 13.6 per cent while State Department for Fisheries and Blue Economy had the lowest percentage of recurrent expenditure to annual recurrent estimates at 64.3 per cent.

4.3 Education Sector

The Education Sector consists of four MDAs namely: the State Department for Basic Education, State Department for University Education, State Department for Vocational and Technical Training and the Teachers Service Commission (TSC) together with their affiliated agencies and institutions.

The sector envisions a globally competitive education, training, research and innovation for sustainable development. In order to realize this, the sector undertakes to provide, promote and coordinate quality education for sustainable development. The sector's overall goal is to increase access to education and training; improve

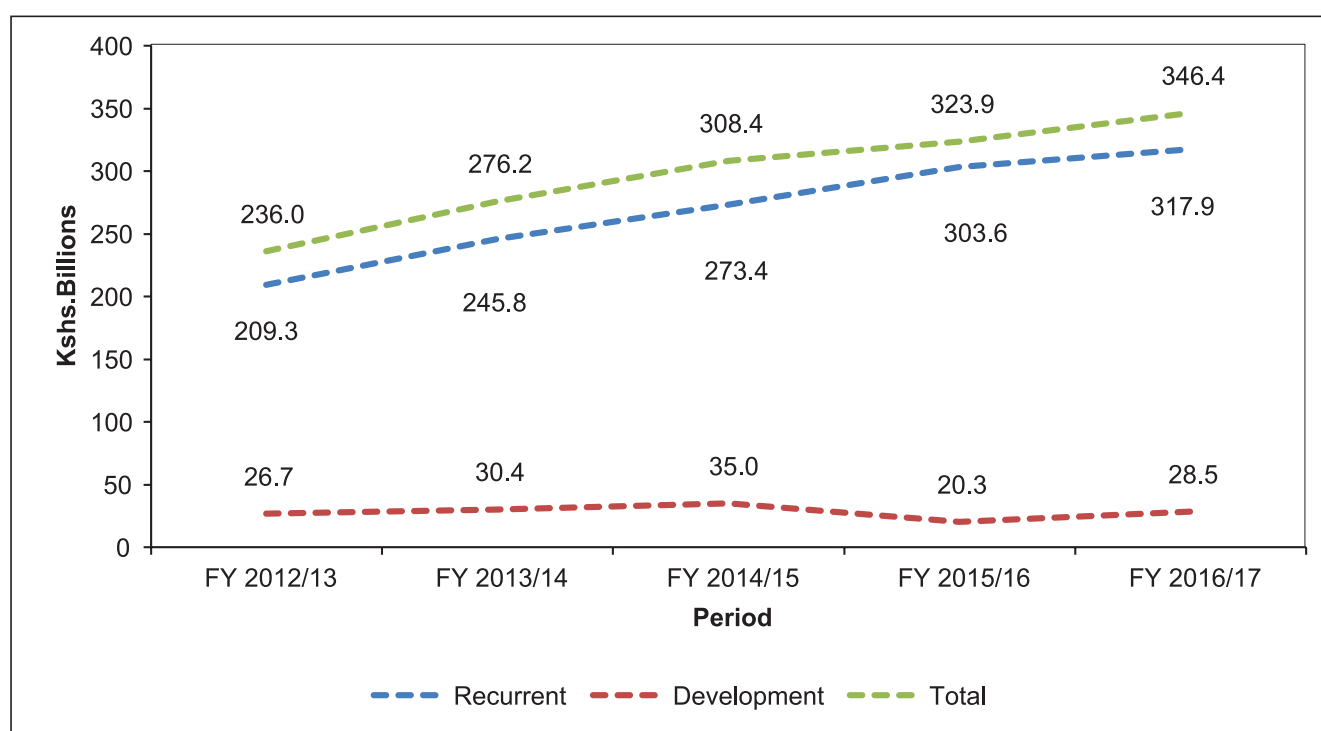
quality and relevance of education; reduce inequality as well as leverage on knowledge and skills in Science, Technology, and Innovation for global competitiveness.

The sector's goals and objectives have been aligned to the Constitution of Kenya and the Vision 2030 as well as to international commitments and policies; legal and regulatory reforms aimed at achieving the objects of the Constitution with regard to education and training. These objectives are; quality education, expanded access and inclusivity in education. The Sector also aims at ensuring that the education system is relevant and promotes innovativeness.

The revised annual budgetary allocation to the sector in the FY 2016/17 was Kshs.346.4 billion representing 13.2 per cent of gross national budget, an increase from Kshs.323.9 billion allocated in FY 2015/16. The allocation comprised of Kshs.28.5 billion (8.2 per cent) for development expenditure and Kshs.317.9 billion (91.8 per cent) for recurrent expenditure. The Teachers Service Commission received the highest budgetary allocation of Kshs.194.0 billion (56 per cent of the sector's allocation), while State Department for Vocational and Technical Training had the lowest budgetary allocation of Kshs.6.6 billion (1.9 per cent of the sector's allocation).

Figure 4.3 below shows budgetary allocation trend of the Education Sector for the period FY 2012/13 to FY 2016/17

Figure 4.3: Budgetary Allocation Trend for the Education Sector from FY 2012/13 to FY 2016/17 (Kshs. Billion)



Source: National Treasury

In the first nine months of FY 2016/17, the sector received exchequer issues of Kshs.225.3 billion representing

70.2 per cent of the sectors' revised annual net estimates. This comprised of Kshs.11.6 billion for development expenditure representing 54.5 per cent of the revised annual development net estimates and Kshs.213.7 billion to recurrent expenditure representing 71.3 per cent of the revised recurrent annual net estimates.

Table 4.2 shows Education sector analysis of exchequer issues and expenditure in the First Nine Months of FY 2016/17.

Table 4.2: Education Sector-Analysis of Exchequer Issues and Expenditure for the period July 2016 to March, 2017. (Kshs. Billions)

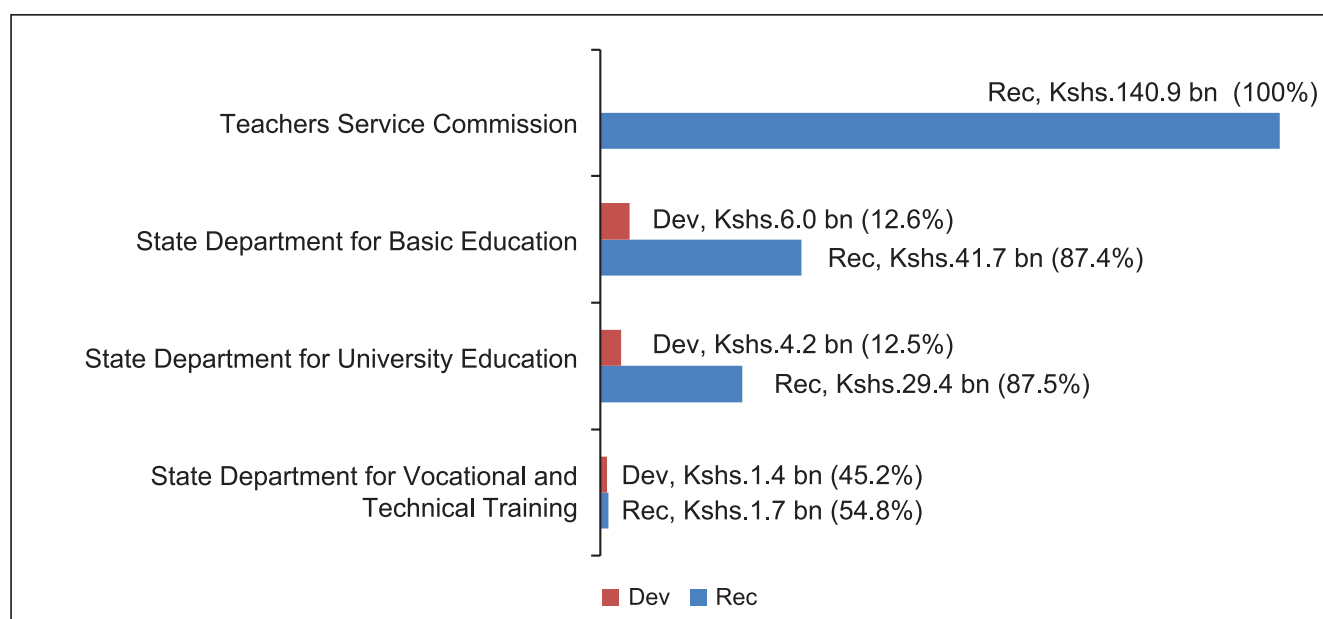
VOTE	Development						Recurrent					
	Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to Rev. Gross Est.	Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Rev. Net Est.	% of Exp. to Rev. Gross Est.
State Department for Basic Education	13.6	11.2	6.0	8.8	54.0	64.4	58.1	56.7	41.7	46.5	73.6	79.9
State Department for Vocational and Technical Training	4.2	2.5	1.4	1.9	55.7	44.1	2.4	2.4	1.7	1.6	72.4	69.6
State Department for University Education	10.5	7.6	4.2	5.1	55.6	48.4	63.6	46.9	29.4	32.2	62.8	50.7
Teachers Service Commission	0.1	0.1	-	-	-	-	193.9	193.6	140.9	143.3	72.7	73.9
Total	28.5	21.3	11.6	15.7	54.5	55.3	317.9	299.6	213.7	223.5	71.3	70.3
Total for the Sector							Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Revised Net Est.	% of Exp. to Rev. Gross Est.
Development							28.5	21.3	11.6	15.7	54.5	55.3
Recurrent							317.9	299.6	213.7	223.5	71.3	70.3
Total							346.4	320.9	225.3	239.2	70.2	69.1

Source: MDAs and National Treasury

State Department for Vocational and Technical Training received the highest proportion of development exchequer issues to the revised development net estimates at 55.7 per cent while State Department for Basic Education had the lowest at 54 per cent. Teachers Service Commission did not receive exchequer issues for development activities. State Department for Basic Education received the highest proportion of recurrent exchequer issues to the revised recurrent net estimates at 73.6 per cent while State Department for University Education received the lowest at 62.8 per cent.

Figure 4.4 shows the exchequer issues to the Education Sector in the first nine months of FY 2016/17.

Figure 4.4: Exchequer Issues to the Education Sector for the First Nine Months of FY 2016/17 (Kshs. Billions)



Source: National Treasury

The total expenditure for the sector during the first nine months of FY 2016/17 amounted to Kshs.239.2 billion, representing 69.1 per cent of the revised annual estimates, an increase compared to 64.1 per cent (Kshs.215.6 billion) recorded in a similar period FY 2015/16. The expenditure comprised of Kshs.15.7 billion for development activities, representing an absorption rate of 55.3 per cent, and Kshs.223.5 billion, representing 70.3 per cent of the revised annual recurrent estimates.

State Department for Basic Education recorded the highest absorption of development budget at 64.4 per cent (Kshs.3.3 billion) while Teachers Service Commission did not spend funds on development activities. State Department for Basic Education again recorded the highest percentage of recurrent expenditure to revised annual recurrent estimates at 79.9 per cent while State Department for University Education had the lowest at 50.7 per cent.

4.4 Energy, Infrastructure and Information Communications Technology (EI & ICT) Sector

This sector consists of 9 MDAS namely State Department for Infrastructure, Transport, Maritime and Shipping Affairs, Housing and Urban Development, Public Works, Information Communications Technology and Innovation, Broadcasting and Telecommunication, Petroleum and Energy.

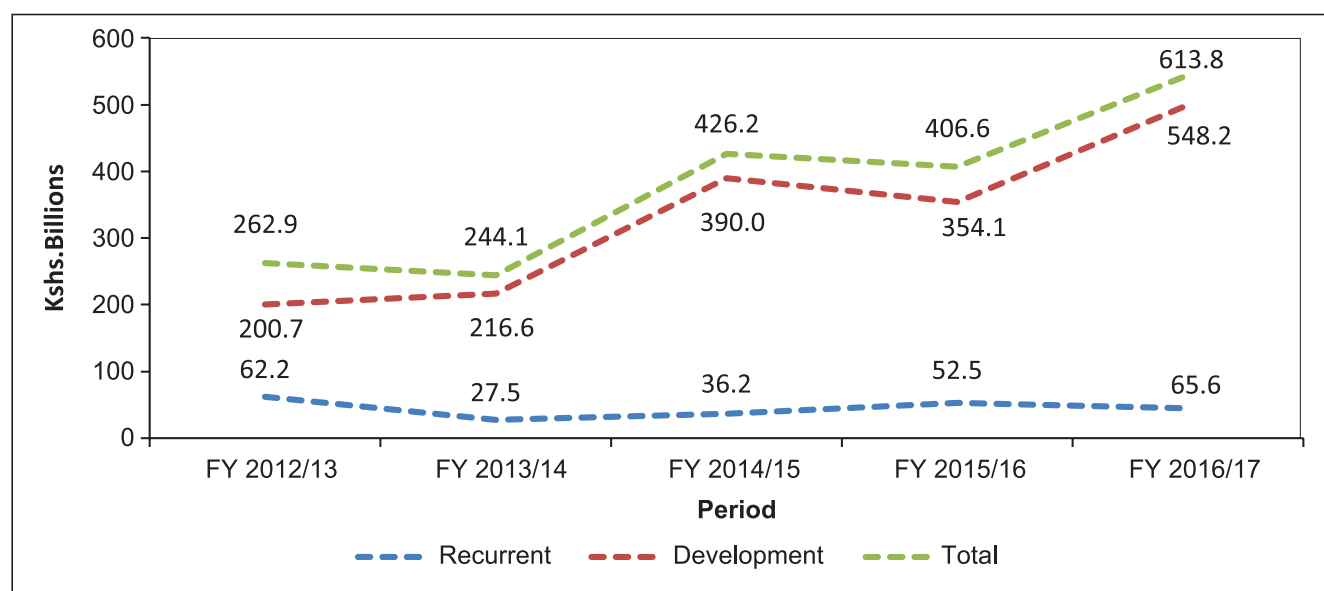
The Energy, Infrastructure and ICT Sector is a key enabler for sustained economic growth, development and poverty reduction. The sector aims at sustaining and expanding physical infrastructure to support a rapidly-growing economy in line with the priorities in the Constitution of Kenya 2010 and Kenya Vision 2030.

The revised annual budgetary allocation to the sector in the FY 2016/17 was Kshs.613.8 billion representing 23.5

per cent of gross national budget, a significant increase from Kshs.404.7 billion allocated in FY 2015/16. This increase is attributed to the government reorganization and newly created state departments which increased from four (4) to nine (9) in the sector. The allocation comprised of Kshs.548.2 billion (89.3 per cent) for development expenditure and Kshs.65.6 billion (10.7 per cent) for recurrent expenditure. State Department for Infrastructure received the highest budgetary allocation of Kshs.210.8 billion (34.3 per cent of the sector's allocation) while State Department for Maritime and Shipping Affairs had the lowest budgetary allocation of Kshs.0.3 billion of the sectors allocation, (recurrent only).

Figure 4.5 below shows the budgetary allocation trend for the EI & ICT Sector for the period FY 2012/13 to FY 2016/17.

Figure 4.5: Budgetary Allocation Trend for the EI & ICT Sector from FY 2012/13 to FY 2016/17 (Kshs. Billion)



Source: National Treasury

In the first nine months of FY 2016/17, the sector received exchequer issues of Kshs. 96.5 billion representing 48.1 per cent of the sectors' revised annual net estimates. This comprised of Kshs.89.7 billion for development expenditure representing 47.7 per cent of the revised development net estimates and Kshs.6.8 billion for recurrent expenditure representing 53.4 per cent of the revised annual recurrent net estimates.

Table 4.3 shows EI&ICT sector analysis of exchequer issues and expenditure in the First Nine Months period of FY 2016/17.

Table 4.3: EI & ICT-Analysis of Exchequer Issues and Expenditure for the period July 2016 to March 2017. (Kshs. Billions)

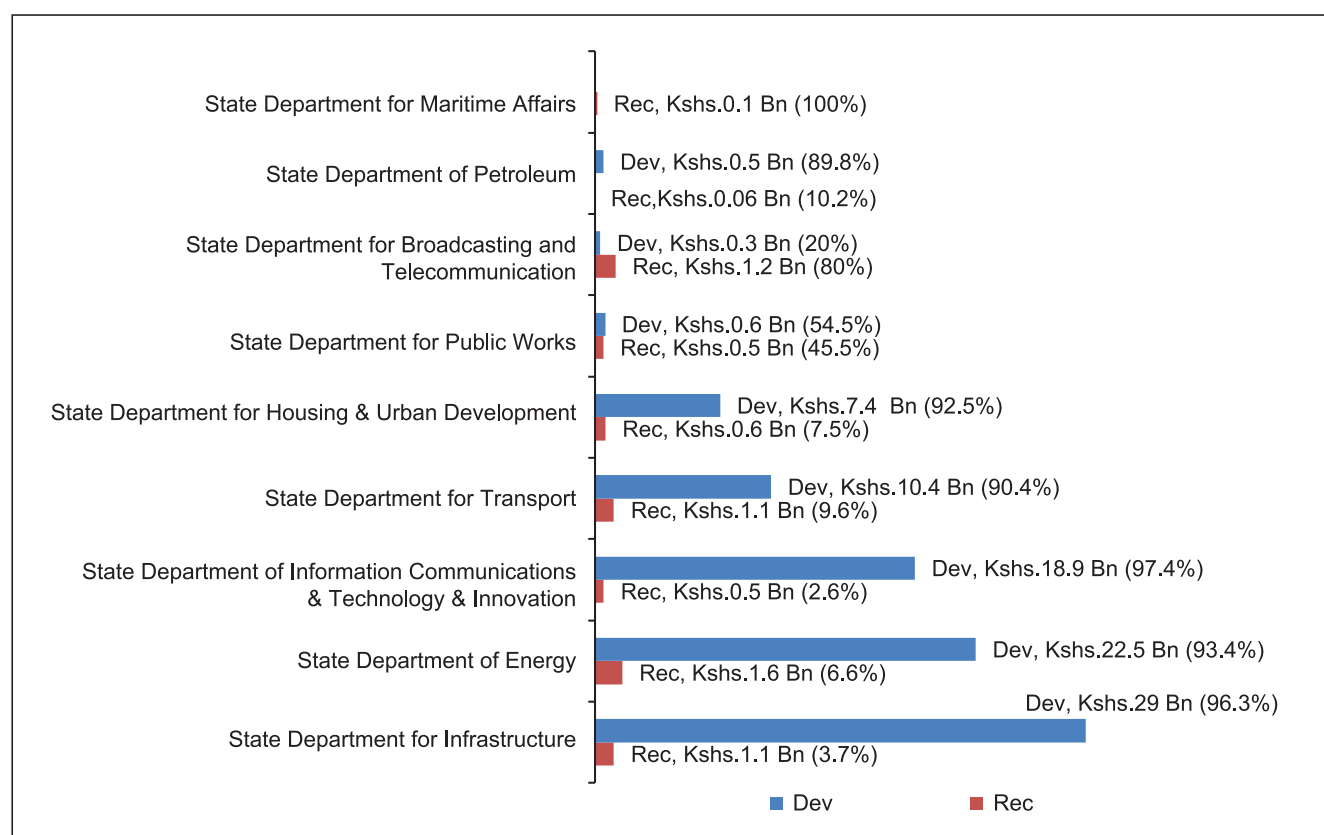
VOTE	Development						Recurrent					
	Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to Rev. Gross Est.	Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Rev. Net Est.	% of Exp. to Rev. Gross Est.
State Department for Infrastructure	160.8	94.9	29.0	61.4	30.6	38.2	50.0	2.0	1.1	32.0	56.0	64.0
State Department for Transport	189.1	15.8	10.4	106.1	65.9	56.1	5.8	1.4	1.1	4.7	73.4	80.4
State Department for Maritime & Shipping Affairs	-	-	-	-	-	-	0.3	0.3	0.1	0.2	46.6	61.8
State Department for Housing & Urban Development	17.7	11.7	7.4	10.7	63.4	60.3	2.3	2.3	0.6	2.1	27.7	90.3
State Department for Public Works	1.2	1.2	0.6	0.7	53.8	57.0	0.8	0.8	0.5	0.5	67.9	69.9
State Department of ICT & Innovation	26.0	21.1	18.9	21.6	89.4	83.3	1.2	1.2	0.5	0.8	43.8	67.9
State Department for Broadcasting & Telecommunications	0.3	0.3	0.3	0.3	92.9	92.9	3.0	2.8	1.2	1.3	43.7	43.2
State Department Energy	150.4	41.4	22.5	34.3	54.4	22.8	2.1	1.9	1.6	1.7	83.9	83.8
State Department of Petroleum	2.9	1.5	0.5	0.6	32.3	19.9	0.2	0.2	0.06	0.05	36.8	22.7
Total	548.2	188.0	89.7	235.7	47.7	43.0	65.6	12.7	6.8	43.3	53.4	66.0
Total for the Sector							Revised Gross Estimates	Revised Net Estimates	Exch. Issues	Exp.	% of Exch. to Revised Net Est.	% of Exp. to Rev. Gross Est.
Development							548.2	188.0	89.7	235.7	47.7	43.0
Recurrent							65.6	12.7	6.8	43.3	53.4	66.0
Total							613.8	200.7	96.5	279.0	48.1	45.5

Source: MDAs and National Treasury

State Department for Broadcasting and Telecommunication received the highest proportion of development exchequer issues to revised development net estimates at 92.9 per cent while State Department for Infrastructure had the lowest at 30.6 per cent. State Department for Energy received the highest proportion of recurrent exchequer issues to revised recurrent net estimates at 83.9 per cent while State Department for Housing and Urban Development had the lowest at 27.7 per cent.

Figure 4.6 shows the exchequer issues to the EI & ICT Sector in the First Nine Months of FY 2016/17.

Figure 4.6: Exchequer Issues to the EI & ICT Sector for the First Nine Months of FY 2016/17 (Kshs. Billions)



Source: National Treasury

The total expenditure for the sector during the first Nine Months FY 2016/17 amounted to Kshs.279 billion, representing 45.5 per cent of the revised annual gross estimates, an increase compared to 32.4 per cent (Kshs.131 billion) recorded in the same period of FY 2015/16. The expenditure comprised of Kshs.235.7 billion in development expenditure, representing an absorption rate of 43 per cent, a decline from 59.4 per cent recorded in the same period of FY 2015/16 and Kshs.43.3 billion in recurrent expenditure, representing 66 per cent of the revised recurrent estimates, recording a slight decline compared to 67.1 per cent reported in the same period of FY 2016/17.

State Department for Broadcasting and Telecommunication recorded the highest absorption of development expenditure at 92.9 per cent while the State Department for Petroleum had the lowest at 19.9 per cent. State Department for Housing and Urban Development recorded the highest percentage of recurrent expenditure to revised annual recurrent estimates at 90.3 per cent while State Department of Petroleum had the lowest at 22.7 per cent.

4.5 Environmental Protection, Water and Natural Resource Sector

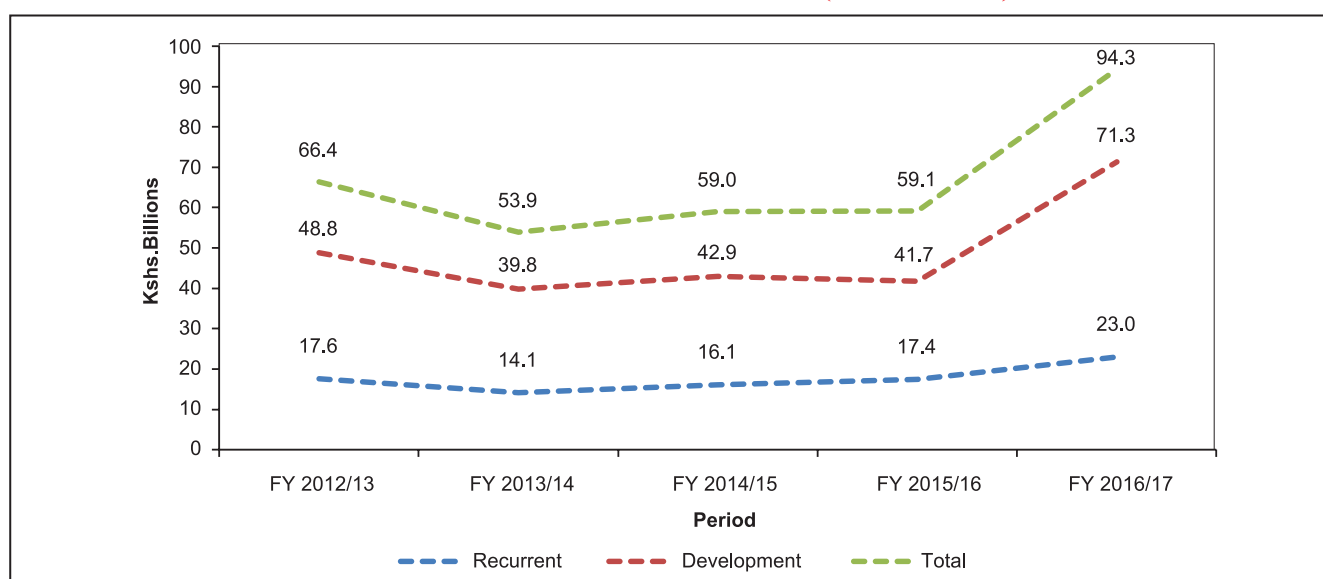
The Environmental Protection, Water and Natural Resources Sector consists of five MDAs namely the State Department for; Environment, Natural Resources, Water Services, Irrigation and Ministry of Mining with a total of 26 semi-autonomous government agencies.

The overall goal of the sector is to ensure sustainable development in a clean and secure environment. The specific objectives are to: enhance sustainable management of environment, water, irrigation and natural resources; ensure access to water and natural resources benefits for socio-economic development; enhance capacity building for environment, water and natural resources management. It also aims at increasing utilization of land through irrigation, drainage and land reclamation; enhance research on environment, water and natural resources for sustainable development and protect and reclaim the environment in order to establish a durable and sustainable system of development and resilience to climate change.

The revised annual budgetary allocation to the sector in FY 2016/17 was Kshs.94.3 billion, representing 3.6 per cent of gross national budget, a significant increase from Kshs.63 billion allocated in FY 2015/16. The allocation comprised of Kshs.71.3 billion (75.6 per cent) for development expenditure and Kshs.23 billion (24.3 per cent) for recurrent expenditure. The State Department for Water Services received the highest budgetary allocation of Kshs.49.6 billion (52.6 per cent of the Sector's allocation), while the Ministry of Mining had the lowest budgetary allocation of Kshs.5.2 billion (5.5 per cent of the Sector's allocation).

Figure 4.7 below shows the budgetary allocation trend for the Environmental Protection, Water and Natural Resources Sector for the period in FY 2012/13 to FY 2016/17.

Figure 4.7: Budgetary Allocation Trend for the Environmental Protection, Water and Natural Resources Sector from FY 2012/13 to FY 2016/17 (Kshs. Billions)



Source: National Treasury

In the first nine months of FY 2016/17, the sector received exchequer issues of Kshs.25.2 billion representing 57.8 per cent of the sectors' revised annual net estimates. This comprised of Kshs.16.9 billion for development expenditure representing 55.7 per cent of the revised development net estimates and Kshs.8.3 billion for recurrent expenditure representing 62.5per cent of the revised annual recurrent net estimates.

Table 4.4 shows Environmental Protection, Water and Natural Resources sector analysis of exchequer issues and expenditure in the first nine months of FY 2016/17.

Table 4.4: Environmental Protection, Water and Natural Resources Sector-Analysis of Exchequer Issues and Expenditure for the period July 2016 to March 2017. (Kshs. Billions)

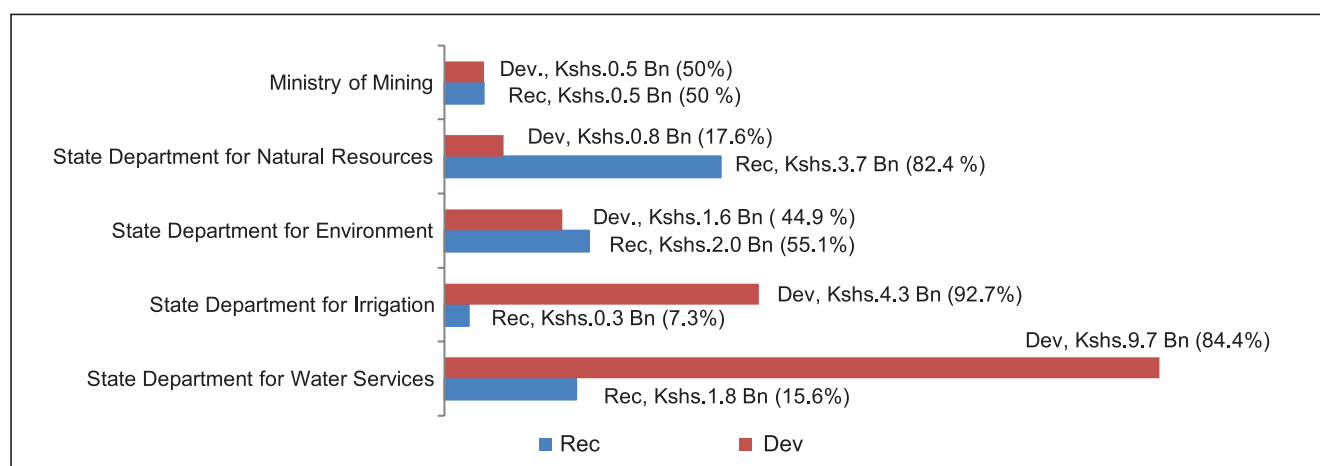
VOTE	Development						Recurrent					
	Revised Gross Est.	Revised Net Estimates	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to Rev. Gross Est.	Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Rev. Net Est.	% of Exp. to Rev. Gross Est.
State Department for Water Services	45.2	16.7	9.7	9.8	57.9	21.6	4.5	2.3	1.8	2.6	76.7	59.0
State Department for Irrigation	17.0	8.7	4.3	7.0	48.7	40.9	0.9	0.5	0.3	0.3	64.9	32.7
State Department for Environment	2.3	2.0	1.6	1.2	81.3	52.3	3.7	2.9	2.0	1.8	68.4	49.5
State Department for Natural Resources	3.0	1.5	0.8	1.3	51.7	43.3	12.6	6.3	3.7	4.3	59.2	33.9
Ministry of Mining	3.9	1.3	0.5	1.1	41.0	29.1	1.3	1.3	0.5	0.5	40.2	34.4
Total	71.4	30.3	16.9	20.4	55.7	28.5	23.0	13.3	8.3	9.5	62.5	41.3
Total for the Sector							Revised Gross Estimates	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Revised Net Est.	% of Exp. to Rev. Gross Est.
Development							71.4	30.3	16.9	20.4	55.7	28.5
Recurrent							23.0	13.3	8.3	9.5	62.5	41.3
Total							94.3	43.6	25.2	29.8	57.8	31.6

Source: MDAs and National Treasury

State Department for Environment received the highest proportion of development exchequer issues to the revised annual development net estimates at 81.3 per cent while Ministry of Mining received the lowest at 41 per cent. State Department for Water Services received the highest proportion of recurrent exchequer issues to the revised recurrent net estimates at 76.7 per cent while Ministry of Mining received the lowest at 40.2 per cent.

Figure 4.8 shows the exchequer issues to the Environmental Protection, Water and Natural Resources sector in the first nine months of FY 2016/17.

Figure 4.8: Exchequer Issues to the Environmental Protection, Water and Natural Resources Sector for the First Nine Months of FY 2016/17 (Kshs. Billions)



Source: National Treasury

The total expenditure for the sector during the first nine months of FY 2016/17 amounted to Kshs.29.8 billion, representing 31.6 per cent of the revised annual estimates, an increase compared to 22.5 per cent (Kshs.14.2 billion) recorded in the same period of FY 2015/16. The expenditure comprised of Kshs.20.4 billion in development expenditure and Kshs.9.5 billion in the recurrent expenditure. The development expenditure represents an absorption rate of 28.5 per cent, an improvement from 17.9 per cent recorded in the same period FY 2015/16 while the recurrent expenditure represents 41.3 per cent of the revised recurrent estimates, recording an increase compared to 34.3 per cent (Kshs.6.1 billion) reported in the same period of FY 2016/17.

State Department for Environment recorded the highest absorption of development expenditure at 52.3 per cent while State Department for Water Services recorded the lowest at 21.6 per cent. State Department for Water Services recorded the highest percentage of expenditure on its recurrent budget at 59 per cent while the State Department for Irrigation recorded the lowest expenditure at 32.7 per cent.

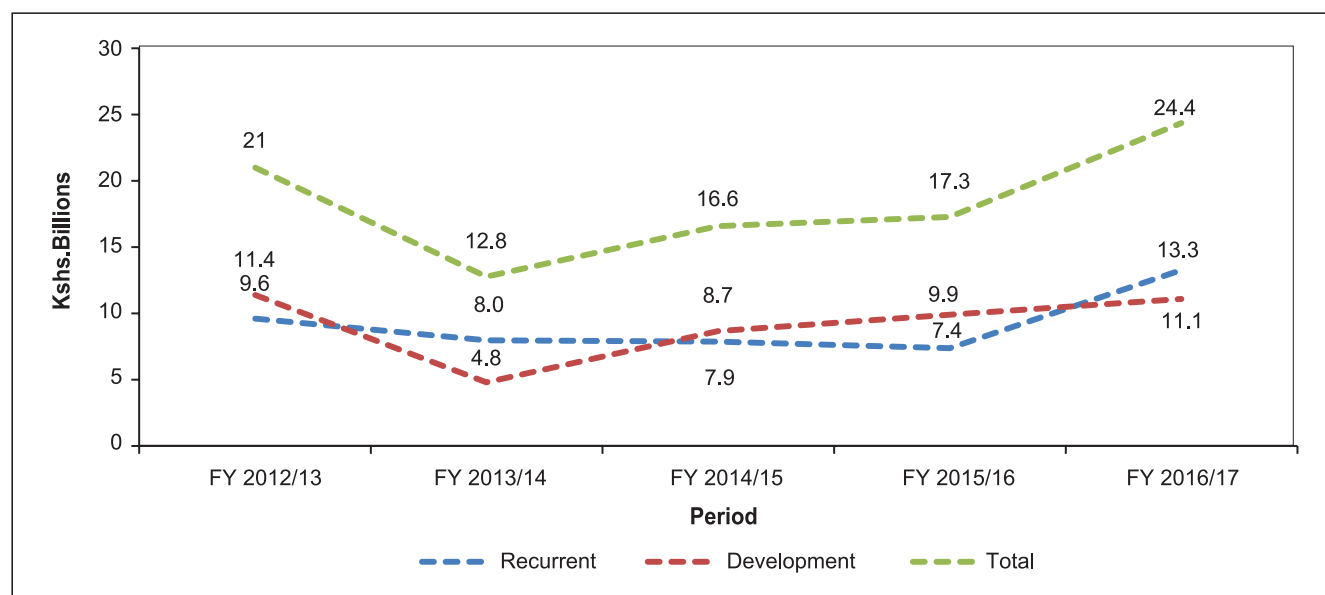
4.6 General Economic and Commercial Affairs (GECA) Sector

The General Economic and Commercial Affairs (GECA) Sector consists of five MDAs namely; State Departments for Investment and Industry, Cooperatives, Trade, East African Integration, and Ministry of Tourism. The Sector aims at promoting investments, increased manufacturing share to the GDP and exports, improvement of the business environment, savings mobilization and good governance in cooperative development, trade development and fair trade practices, promotion of regional integration and sustaining tourism recovery.

The revised annual budgetary allocation to the sector in FY 2016/17 was Kshs.24.4 billion, representing 1 per cent of the gross national budget, an increase from Kshs.17.3 billion allocated in FY 2015/16. The allocation comprised of Kshs.11.1 billion (45.5 per cent) for development expenditure and Kshs.13.3 billion (54.5 per cent) for recurrent expenditure. State Department for Investment and Industry received the highest budgetary allocation of Kshs.8.1 billion (33.3 per cent of the sector's allocation), while State Department for East African Integration had the lowest allocation at Kshs.1.6 billion (6.5 per cent of the sector's allocation).

Figure 4.9 below shows the budgetary allocation trend for the GECA Sector from FY 2012/13 to FY 2016/17.

Figure 4.9: Budgetary Allocation Trend for the GECA Sector from FY 2012/13 to FY (2016/17 (Kshs. Billion)



Source: National Treasury

During the first Nine months of FY 2016/17, the Sector received exchequer issues amounting to Kshs.13.5 billion, representing 68.5 per cent of the sector's revised net estimates. The exchequer issues comprised of Kshs.4.5 billion for development expenditure, representing 60.9 per cent of the revised annual development net estimates, and Kshs. 9 billion for recurrent expenditure, representing 73 per cent of the recurrent annual net estimates.

Table 4.5 presents analysis of exchequer issues to the Sector and expenditure in the First Nine Months of FY 2016/17.

Table 4.5: GECA Sector-Analysis of Exchequer Issues and Expenditure for the period July 2016 to March 2017. (Kshs. Billions)

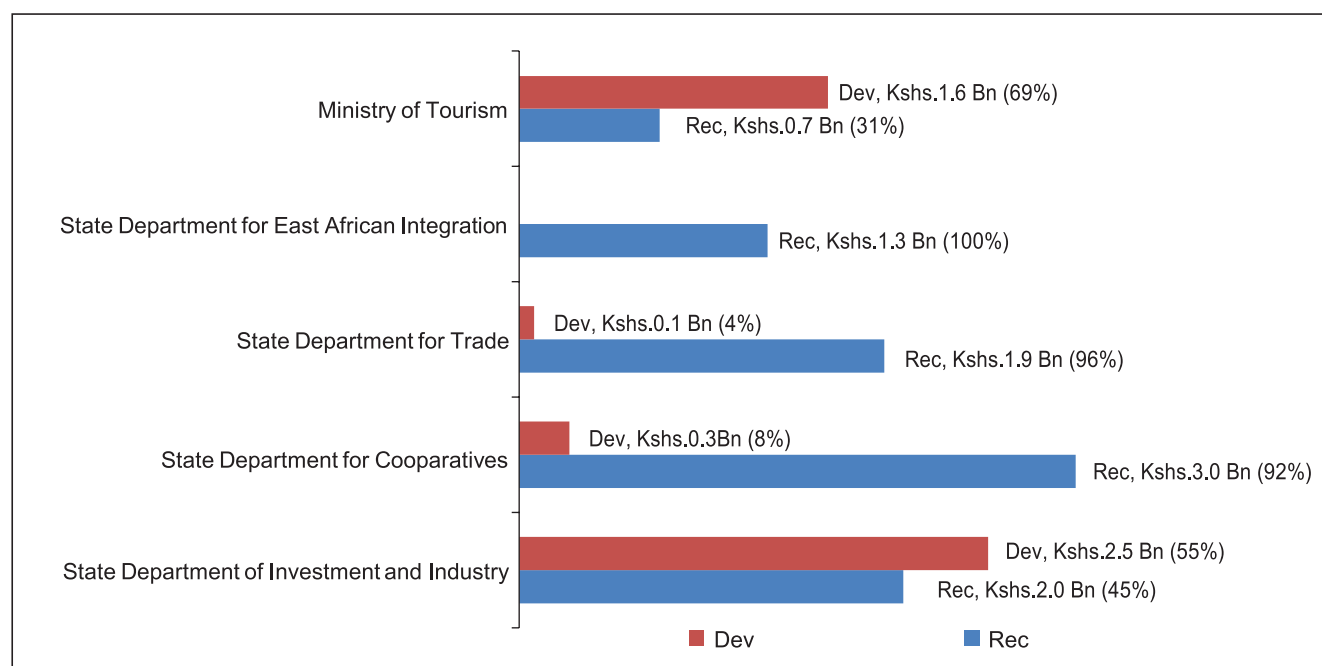
VOTE	Development						Recurrent					
	Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to Rev. Gross Est.	Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Rev. Net Est.	% of Exp. to Rev. Gross Est.
State Department of Investment and Industry	5.4	3.1	2.5	2.5	80.3	46.5	2.7	2.7	2.0	2.5	74.9	90.1
State Department for Cooperatives	0.5	0.5	0.3	0.5	50.0	94.3	3.3	3.3	3.0	2.9	90.7	89.9
State Department for Trade	0.2	0.1	0.1	0.05	64.6	21.8	3.4	3.4	1.9	2.8	56.7	82.6
State Department for East African Integration	0.1	-	-	-	-	0.0	1.5	1.5	1.3	1.3	87.1	85.0
Ministry of Tourism	4.8	3.6	1.6	2.1	45.6	42.5	2.4	1.4	0.7	1.0	52.7	43.1
Total	11.1	7.3	4.5	5.1	60.9	46.2	13.3	12.3	9.0	10.6	73.0	79.2
Total for the Sector							Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Revised Net Est.	% of Exp. to Rev. Gross Est.
Development							11.1	7.3	4.5	5.1	60.9	46.2
Recurrent							13.3	12.3	9.0	10.6	73.0	79.1
Total							24.4	19.7	13.5	15.7	68.5	64.2

Source: MDAs and National Treasury

State Department of Investment and Industry received the highest proportion of development exchequer issues to the revised annual development net estimates at 80.3 per cent while State Department for East African Integration didn't receive any exchequer for development activities. State Department for Cooperatives received the highest proportion of recurrent exchequer issues to the revised recurrent net estimates at 90.7 per cent while Ministry of Tourism received the lowest at 52.7 per cent.

Figure 4.10 shows the exchequer issues to GECA sector in the First Nine Months of FY 2016/17.

Figure 4.10: Exchequer Issues to the GECA Sector for the First Nine Months of FY 2016/17
(Kshs. Billions)



Source: National Treasury

The total expenditure for the sector during the first nine months FY 2016/17 amounted to Kshs.15.7 billion, representing 64.2 per cent of the revised annual estimates, an increase compared to 58.2 per cent (Kshs.12.4 billion) recorded in the same period of FY 2015/16. The expenditure consisted of Kshs.5.1 billion in development expenditure and Kshs.10.6 billion in the recurrent expenditure. The development expenditure represents an absorption rate of 46.2 per cent, a decline from 53.8 per cent recorded in the same period FY 2015/16 while the recurrent expenditure represents 79.2 per cent of the revised recurrent estimates, an improvement compared to 69.0 per cent (Kshs.4.9 billion) reported in the same period FY 2016/17.

State Department for Cooperatives recorded the highest absorption of development budget at 94.3 per cent (Kshs.0.5 billion) while the State Department for East African Integration did not incur any expenditure on development activities. State Department for Investment and Industry recorded the highest percentage of recurrent expenditure to revised annual recurrent estimates at 90.1 per cent while Ministry of Tourism had the lowest at 43.1 per cent.

4.7 Governance, Justice, Law and Order Sector (GJLOS)

The GJLOS Sector consists of fourteen (14) MDAs, twenty (20) Semi-Autonomous Government Agencies (SAGAs) and fifteen (15) Tribunals with specific mandates. The 14 MDAs are: State Department for Interior, State Department for Correctional Services, State Law Office and Department of Justice, The Judiciary, Ethics and Anti-Corruption Commission (EACC), Office of the Director of Public Prosecutions, Office of the Registrar of Political Parties, Witness Protection Agency (WPA), Kenya National Commission on Human Rights (KNCHR), Independent Electoral and Boundaries

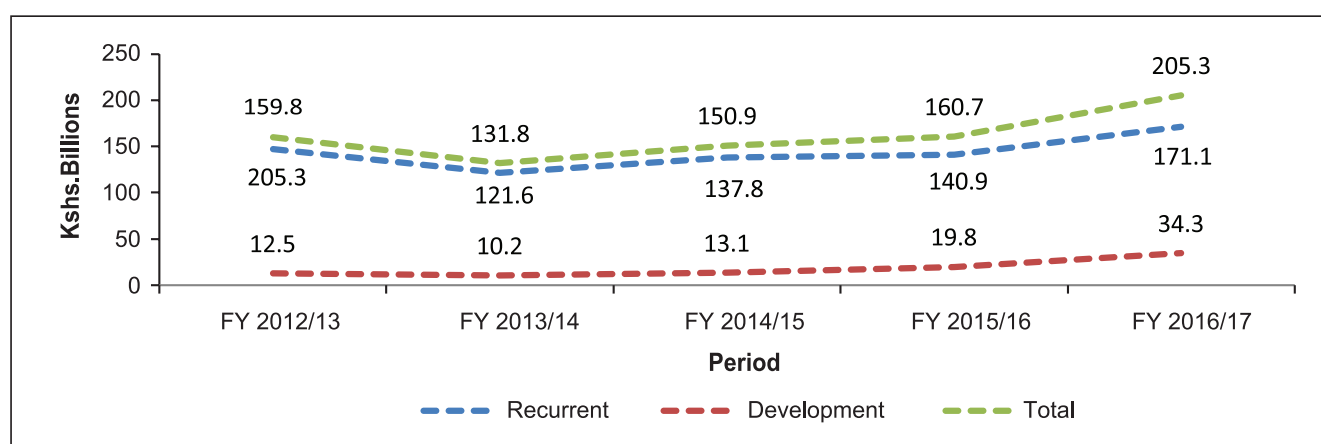
Commission (IEBC), Judicial Service Commission (JSC), National Police Service Commission (NPSC), National Gender and Equality Commission (NGEC), and the Independent Policing Oversight Authority (IPOA).

The role of the sector includes; provision of security, correctional services, legal advisory services to government agencies, and administration of justice. It also plays a major role in promoting integrity and the fight against corruption, provision of prosecution services, spearheading the implementation of the Constitution, regulating political parties, protecting witnesses, and protecting human rights. Further, the Sector plays an instrumental role in the delimitation of electoral boundaries and management of electoral process, promotion of gender equality and inclusion of marginalized groups and communities, and civilian policing oversight.

In addition, the sector plays a role in border management, peace building and conflict management, registration services, regulation of the gaming industry, provision of population management services, eradication of drugs and substance abuse, crime research and government printing services. The sector also plays a key role in ensuring achievement of national values, and promoting national cohesion.

The revised annual budgetary allocation to the sector in FY 2016/17 was Kshs.205.3 billion representing 7.8 per cent of gross national budget, an increase from Kshs.160.7 billion allocated in FY 2015/16. The allocation comprised of Kshs.34.3 billion (16.7 per cent) for development expenditure and Kshs.171.1 billion (83.3 per cent) for recurrent expenditure. State Department for Interior received the highest budgetary allocation of Kshs.131.5 billion (64.1 per cent of the sector's allocation), while Witness Protection Agency had the lowest at Kshs.0.4 billion (0.2 per cent of the sector's allocation). Figure 4.11 below shows the budgetary allocation trend for the GJLOS Sector for the period FY 2012/13 to FY 2016/17.

Figure 4.11: Budgetary Allocation Trend for the GJLOS Sector from FY 2012/13 to FY 2016/17 (Kshs. Billion)



Source: National Treasury

In the first nine months of FY 2016/17, the sector received exchequer issues amounting to Kshs.119.3 billion, representing 58.8 per cent of the Sectors' revised annual net estimates. This amount comprised of Ksh.13.9 billion for development expenditure representing 42.5 of the revised development net estimates. The recurrent exchequer issues amounted to Ksh.105.4 billion and represented 61.9 per cent of the revised recurrent net estimates.

Table 4.6 shows the GJLOS Sector's analysis of exchequer issues and expenditure in the first nine months of FY 2016/17.

Table 4.6 GJLOS Sector-Analysis of Exchequer Issues and Expenditure for the period July 2016 to March 2017. (Kshs. Billions)

VOTE	Development						Recurrent					
	Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to Rev. Gross Est.	Revised Gross Est	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Rev. Net Est.	% of Exp. to Rev. Gross Est.
State Department for Interior	27.5	27.4	12.3	13.3	45.1	48.3	103.9	103.5	70.2	69.4	67.8	66.7
State Department for Correctional Services	0.5	0.5	0.2	0.1	33.8	21.2	20.2	20.2	13.2	12.5	65.4	62.0
State Law Office and Department of Justice	0.4	0.1	0.01	0.003	15.7	0.8	4.8	4.4	2.2	2.0	49.8	41.8
The Judiciary	4.4	4.2	1.4	1.6	34.1	35.7	13.0	13.0	9.1	7.9	70.1	60.5
Ethics & Anti-Corruption Commission	0.5	0.5	-	-	-	-	3.0	3.0	2.4	2.4	81.8	79.7
Office of the Director of Public Prosecutions	0.1	0.1	-	0.02	-	19.2	2.2	2.2	1.1	1.3	51.9	60.9
Office of the Registrar of Political Parties	-	-	-	-	-	-	0.8	0.8	0.4	0.4	51.5	51.2
Witness Protection Agency	-	-	-	-	-	-	0.4	0.4	0.3	0.3	73.2	72.0
Kenya National Commission on Human Rights	-	-	-	-	-	-	0.4	0.4	0.3	0.3	72.2	71.2
Independent Electoral and Boundaries Commission	0.8	0.1	-	-	-	-	20.6	20.6	5.0	5.9	24.4	28.6
Judicial Service Commission	-	-	-	-	-	-	0.5	0.5	0.3	0.2	58.9	54.3
National Police Service Commission	-	-	-	-	-	-	0.4	0.4	0.3	0.3	66.4	75.6
National Gender & Equality Commission	-	-	-	-	-	-	0.4	0.4	0.2	0.3	61.3	75.5
Independent Policing Oversight Authority	-	-	-	-	-	-	0.5	0.5	0.3	0.3	56.4	64.9
Total	34.3	32.8	13.9	15.0	42.5	43.9	171.1	170.3	105.4	103.5	61.9	60.5

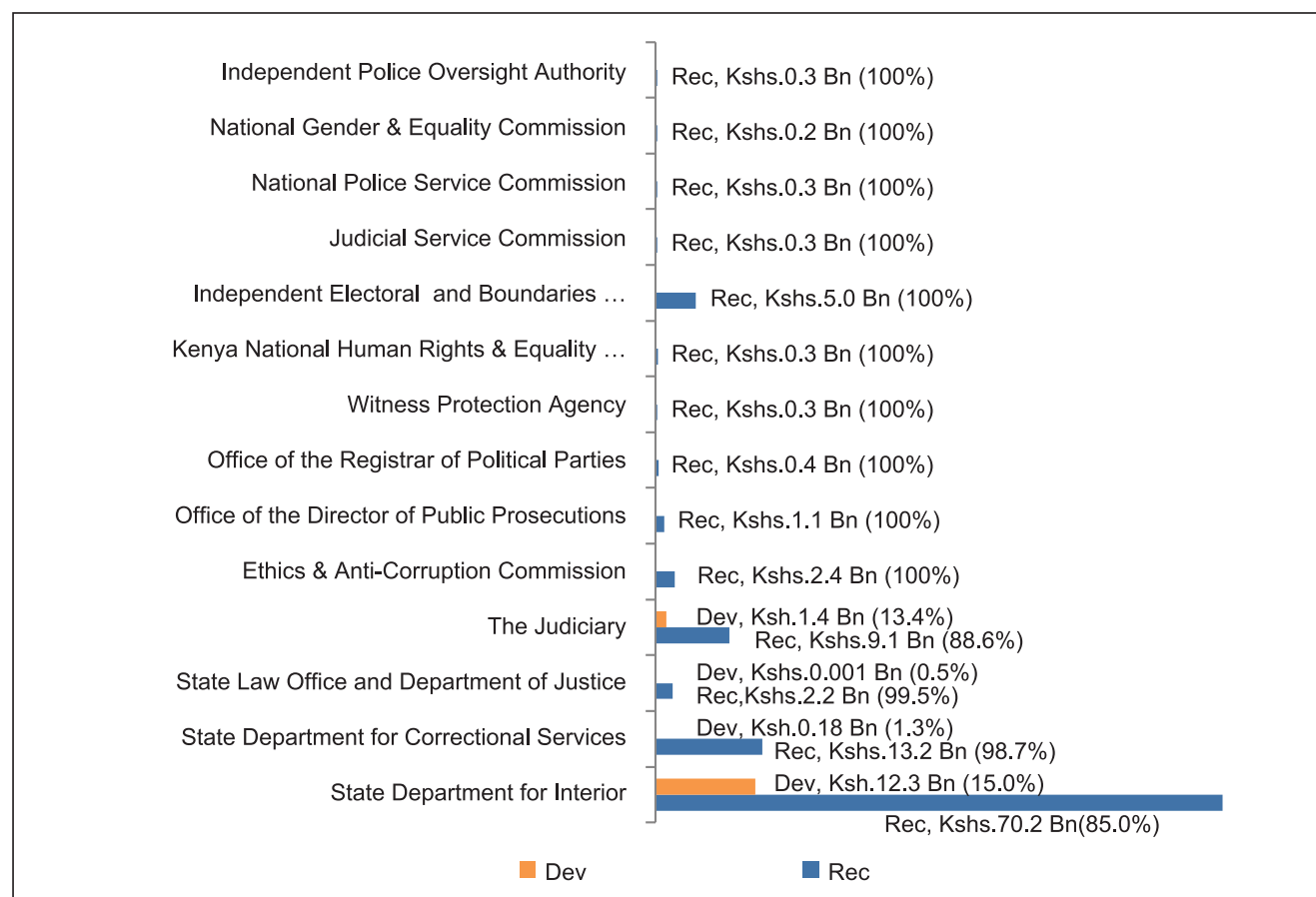
	Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Revised Net Est.	% of Exp. to Rev. Gross Est.
Total for the Sector						
Development	34.3	32.8	13.9	15.0	42.5	43.9
Recurrent	171.1	170.3	105.4	103.5	61.9	60.5
Total	205.3	203.1	119.3	118.6	58.8	57.7

Source: MDAs and National Treasury

The State Department for Interior received the highest proportion of development exchequer issues to revised development net estimates at 45.1 per cent, while State Law Office recorded the lowest at 15.7 per cent. The Ethics & Anti-Corruption Commission received the highest proportion of recurrent exchequer issues to revised recurrent net estimates at 81.8 per cent, while the Independent Electoral and Boundaries Commission received the least at 24.4 per cent.

Figure 4.12 shows the exchequer issues to the GJLOS Sector in the first half of FY 2016/17.

Figure 4.12: Exchequer Issues to the GJLOS Sector for the first nine months of FY 2016/17 (Kshs. Billions)



Source: National Treasury

The total expenditure for the sector during the first nine months of FY 2016/17 amounted to Kshs.118.6 billion, representing 57.7 per cent of the revised annual gross estimates. The development expenditure was Kshs.15 billion, representing an absorption rate of 43.9 per cent while total recurrent expenditure was Kshs.103.5 billion, representing 60.5 per cent of the revised recurrent gross estimates. State Department for Interior recorded the highest absorption rate of development expenditure at 48.3 per cent while State Law Office and Department of Justice was the least with 0.8 per cent. The Ethics and Anti-Corruption Commission recorded the highest proportion of recurrent expenditure to annual estimates at 79.7 per cent while Independent Electoral and Boundaries Commission recorded the lowest at 28.6 per cent.

4.8 Health Sector

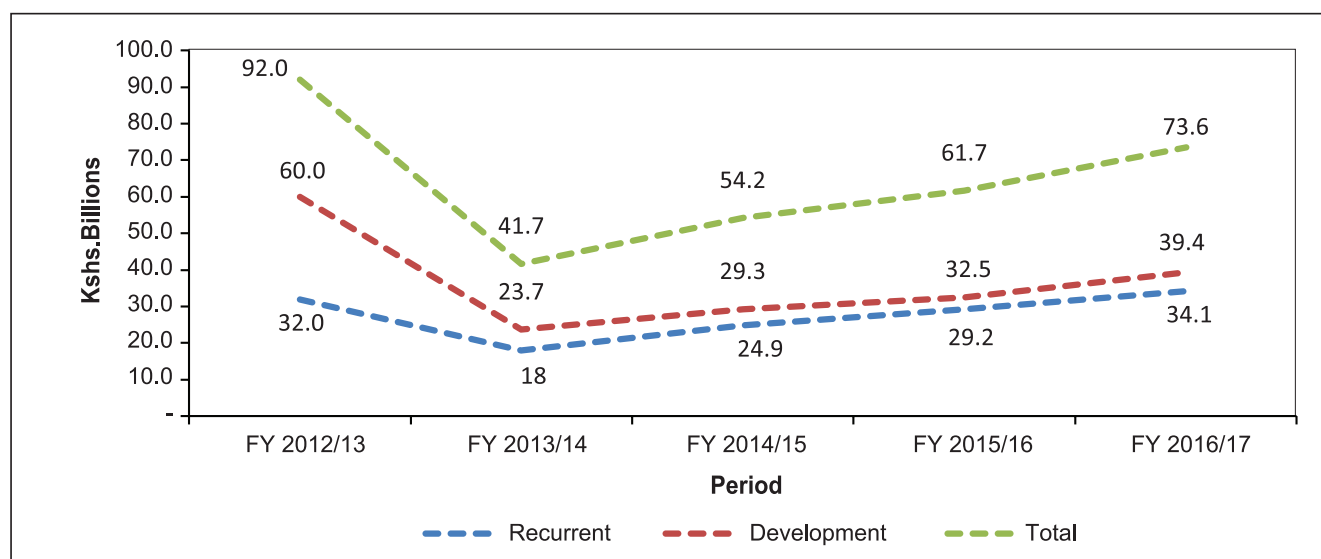
The Health Sector consists of Ministry of Health and seven Semi-Autonomous Government Agencies (SAGAs) namely; Kenyatta National Hospital (KNH), Moi Teaching and Referral Hospital (MTRH), Kenya Medical Research Institute (KEMRI), Kenya Medical Supplies Authority (KEMSA), Kenya Medical Training College (KMTC), National AIDS Control Council (NACC), and the National Health Insurance Fund (NHIF).

The mandates of the national health sector include referral facilities, policy formulation, capacity building, regulation and technical support, while service delivery is assigned to the County Governments. The County Governments are responsible for; County health facilities and pharmacies, ambulance services, promotion of primary health care, licensing and control of undertakings that sell food to the public, veterinary services (excluding regulation of the profession), cemeteries, funeral parlors and crematoria, and, refuse removal, refuse dumps and solid waste disposal.

The revised annual budgetary allocation to the Sector in FY 2016/17 was Kshs.73.6 billion representing 2.8 per cent of gross national budget, an increase from Kshs.61.7 billion allocated in FY 2015/16. The allocation comprised of Kshs.39.4 billion (53.6 per cent) for development expenditure and Kshs.34.1 billion (46.4 per cent) for recurrent expenditure.

Figure 4.13 below shows the budgetary allocation trend for the Health Sector for the period FY 2012/13 to FY 2016/17.

Figure 4.13: Budgetary Allocation Trend for the Health Sector from FY 2012/13 to FY 2016/17 (Kshs. Billion)



Source: National Treasury

In the first nine months of FY 2016/17, the sector received exchequer issues of Kshs.35.1 billion, representing 59.3 per cent of the sectors' revised annual net estimates. This comprised of Kshs.19.6 billion for development expenditure, representing 67.5 per cent of the revised development net estimates and Kshs.15.5 billion for recurrent expenditure, representing 51.5 per cent of the revised annual net recurrent estimates. Table 4.7 shows Health sector analysis of exchequer issues and expenditure in the first nine months of FY 2016/17.

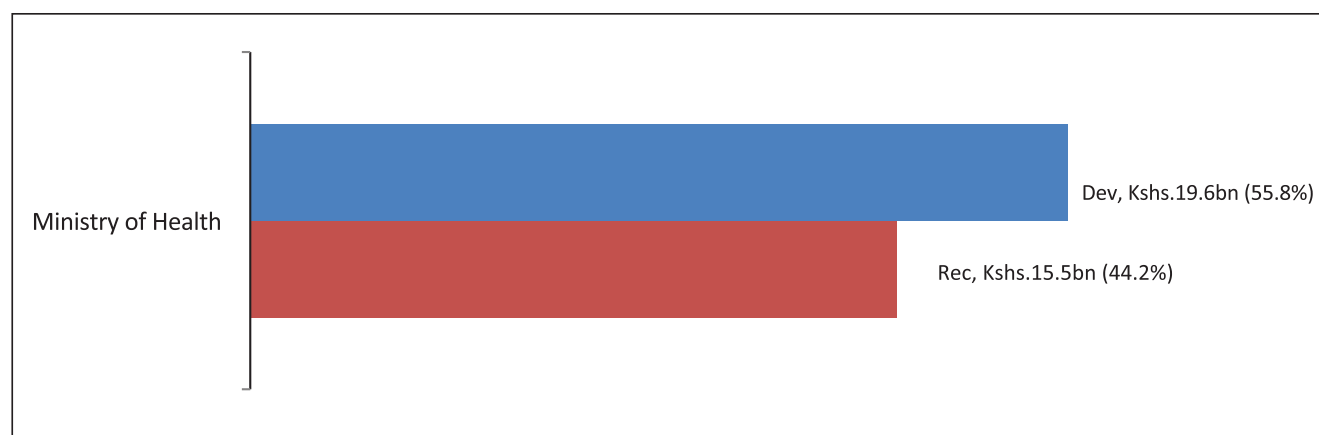
Table 4.7: Health Sector-Analysis of Exchequer Issues and Expenditure for the period July 2016 to March, 2017. (Kshs. Billions)

VOTE	Development						Recurrent					
	Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to Rev. Gross Est.	Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Rev. Net Est.	% of Exp. to Rev. Gross Est.
Ministry of Health	39.4	29.0	19.6	24.8	67.5	62.9	34.1	30.2	15.5	16.6	51.5	48.6
Total	39.4	29.0	19.6	24.8	67.5	62.9	34.1	30.2	15.5	16.6	51.5	48.6
Total for the Sector							Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Revised Net Est.	% of Exp. to Rev. Gross Est.
Development							39.4	29.0	19.6	24.8	67.5	62.9
Recurrent							34.1	30.2	15.5	16.6	51.5	48.6
Total							73.6	59.2	35.1	41.4	59.3	56.3

Source: MDAs and National Treasury

Figure 4.14 shows the exchequer issues to Health Sector in the first nine months of FY 2016/17.

Figure 4.14: Exchequer Issues to the Health Sector for the First Nine Months of FY 2016/17 (Kshs. Billions)



Source: National Treasury

The total expenditure for the sector during the first nine months of FY 2016/17 amounted to Kshs.41.4 billion, representing 56.3 per cent of the revised annual estimates, a decline compared to 69.2 per cent recorded in a similar period of FY 2015/16. The expenditure consists of Kshs.24.8 billion for development activities, representing an absorption rate of 62.9 per cent, an increase from 57.7 per cent (11.3 billion) recorded in a similar period of FY 2015/16 and Kshs.16.6 billion for recurrent expenditure, representing 48.6 per cent of the revised gross recurrent estimates, a decline from 78.7 per cent (Kshs.24.5 billion) reported in a similar period of FY 2015/16.

4.9 Public Administration and International Relations (PAIR) Sector

The Public Administration and International Relations Sector (PAIR) consists of 14 MDAs namely; The Presidency, State Department for Planning and Statistics, State Department for Devolution, Ministry of Foreign Affairs, National Treasury, State Department for Public Service and Youth Affairs, Parliamentary Service Commission, National Assembly, Commission on Revenue Allocation, Public Service Commission, Salaries and Remuneration Commission, Office of Auditor General, Office of the Controller of Budget, and Commission on Administrative Justice.

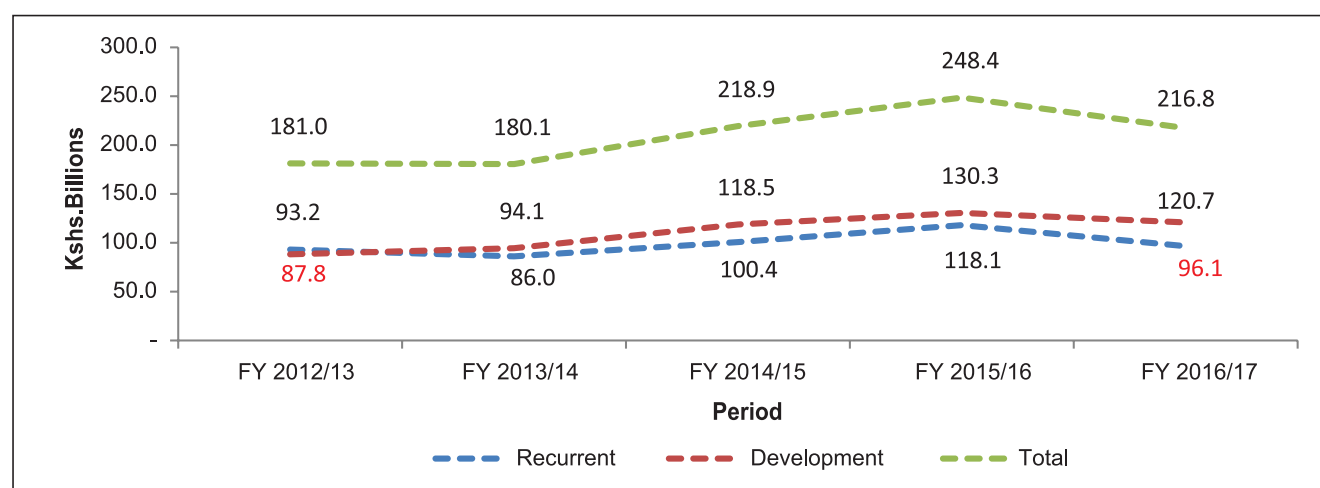
The sector provides overall policy and leadership direction to the country, oversees national legislation as well as the human resource function in the public service. It further coordinates national policy formulation, implementation, and, monitoring and evaluation. Other key mandates undertaken by the sector include resource mobilization and management, implementation of foreign policy, and provision of oversight on the use of public resources, and delivery of other services.

The revised annual budgetary allocation to the sector in FY 2016/17 was Kshs.216.8 billion representing 8.3 per cent of gross national budget, a decrease from Kshs.284.4 billion allocated in FY 2015/16. The

allocation comprised of Kshs.96.1 billion (44 per cent) for development expenditure and Kshs.120.7 billion (56 per cent) for recurrent expenditure. The National Treasury received the highest budgetary allocation of Kshs.79.4 billion (36.6 per cent of the sector's allocation), while Commission on Revenue Allocation (CRA) had the lowest at Kshs.0.4 billion (0.2 per cent of the sector's allocation).

Figure 4.15 shows the budgetary allocation trend for the PAIR Sector for the period FY 2012/13 to FY 2016/17

Figure 4.15: Budgetary Allocation Trend for the PAIR Sector from FY 2012/13 to FY 2016/17 (Kshs. Billion)



Source: National Treasury

In the first nine months of FY 2016/17, the sector received exchequer issues of Kshs.111.7 billion, representing 57.4 per cent of the sector's revised annual net estimates. This comprised of Kshs.39.4 billion for development programmes, representing 52.8 per cent of the revised development net estimates, and Kshs.72.3 billion for recurrent activities representing 60.3 per cent of the revised recurrent net estimates. Table 4.8 shows PAIR Sector analysis of exchequer issues and expenditure in the first nine months of FY 2016/17.

Table 4.8 PAIR Sector-Analysis of Exchequer Issues and Expenditure for the period July 2016 to March 2017. (Kshs. Billions)

VOTE	Development						Recurrent					
	Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to Rev. Gross Est.	Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Rev. Net Est.	% of Exp. to Rev. Gross Est.
The Presidency	0.5	0.5	0.1	0.2	16.1	49.3	9.2	9.2	5.7	5.3	62.1	57.6
State Department for Devolution	1.2	1.0	0.2	0.3	14.7	24.7	0.8	0.8	0.5	0.5	62.4	63.3
State Department for Planning & Statistics	32.1	30.6	27.4	31.8	89.5	99.2	5.3	5.0	3.4	5.4	67.6	101.7
Ministry of Foreign Affairs and International Trade	2.8	2.8	2.2	2.3	81.2	82.0	17.8	17.6	11.8	12.5	67.2	70.6
The National Treasury	40.8	21.9	3.3	8.7	15.0	21.4	38.6	38.6	20.2	24.4	52.3	63.1
State Department for Public Service and Youth Affairs	14.5	14.5	5.0	8.6	34.6	59.5	14.4	14.2	7.9	9.5	55.7	65.7
Parliamentary Service Commission	4.2	3.2	1.1	1.5	36.5	37.2	10.5	10.5	6.6	6.4	62.8	60.8
National Assembly	-	-	-	-	-	-	16.9	16.9	11.3	10.3	66.8	61.1
The Commission on Revenue Allocation	-	-	-	-	-	-	0.4	0.4	0.2	0.2	58.5	59.2
Public Service Commission	0.04	0.04	0.02	0.02	59.0	64.1	1.2	1.2	0.9	0.9	75.8	76.8
Salaries & Remuneration Commission	-	-	-	-	-	-	0.5	0.5	0.3	0.3	55.4	55.8
Auditor General	0.2	0.2	0.1	0.1	30.1	27.9	4.2	4.0	2.9	3.0	72.6	71.9
Controller of Budget	-	-	-	-	-	-	0.5	0.5	0.3	0.3	51.7	54.3
The Commission on Administrative Justice	-	-	-	-	-	-	0.5	0.5	0.3	0.3	69.2	70.6
Total	96.1	74.7	39.4	53.5	52.8	55.7	120.7	119.9	72.3	79.3	60.3	65.7
Total for the Sector							Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Revised Net Est.	% of Exp. to Rev. Gross Est.
Development							96.1	74.7	39.4	53.5	52.8	55.7
Recurrent							120.7	119.9	72.3	79.3	60.3	65.7
Total							216.8	194.6	111.7	132.8	57.4	61.3

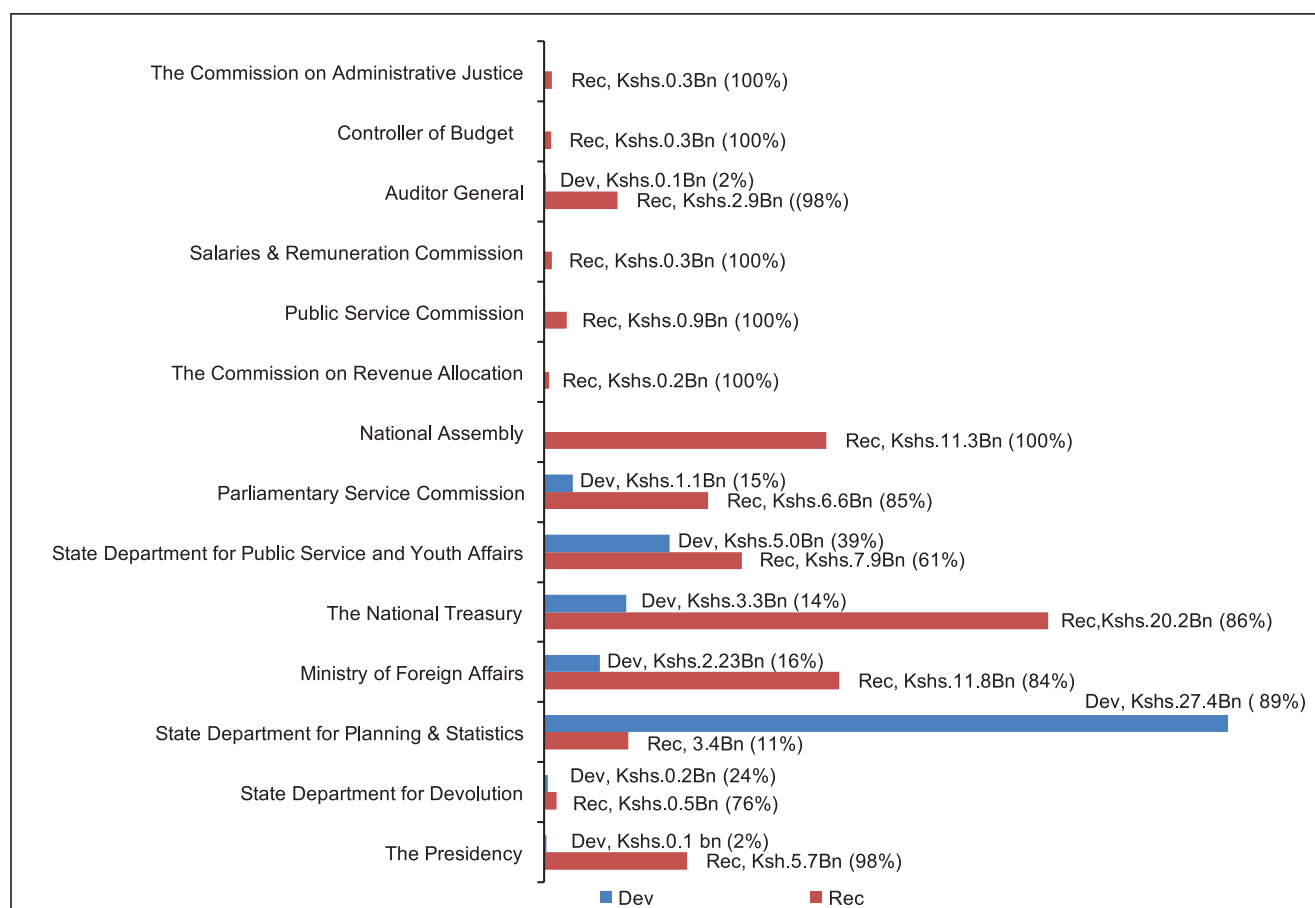
Source: MDAs and National Treasury

The State Department for Planning and Statistics received the highest proportion of development exchequer issues to the revised development net estimates at 89.5 per cent while State Department for Devolution received the lowest at 14.7 per cent. Public Service Commission received the highest proportion of recurrent exchequer issues to the revised annual recurrent net estimates at 75.8 per cent

while the Controller of Budget received the lowest at 51.7 per cent.

Figure 4.16 shows the exchequer issues to the PAIR Sector in the first nine months of FY 2016/17.

Figure 4.16: Exchequer Issues to the PAIR Sector for the First Nine Months of FY 2016/17 (Kshs. billions)



Source: National Treasury

The total expenditure for the sector during the first nine months FY 2016/17 amounted to Kshs.132.8 billion, representing 61.3 per cent of the revised annual gross estimates, an increase compared to 45.5 per cent (Kshs.110.8 billion) recorded in the same period FY 2015/16. The expenditure consisted of Kshs.53.5 billion in development expenditure, representing an absorption rate of 55.7 per cent, an increase from 39.2 cent recorded in the same period of FY 2015/16 and Kshs.79.3 billion for recurrent expenditure, representing an absorption rate of 65.6per cent and an improvement compared to 52.6 per cent (Kshs.60.7 billion) reported in the same period of FY 2016/17.

The State Department for Planning and Statistics recorded the highest absorption of development budget at 99.2 per cent (Kshs.31.8 billion) while the State Department for Devolution had the lowest at 24.7 per cent (0.3billion). State Department for Planning and Statistics recorded the highest percentage of recurrent expenditure to annual recurrent estimates at 100 per cent while the Office of the Controller of

Budget had the lowest at 54.3 per cent.

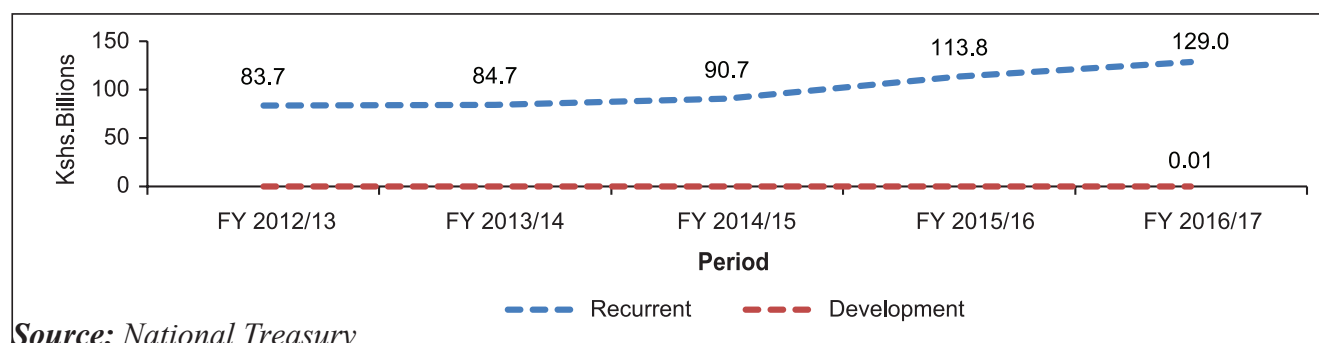
4.10 National Security Sector

The Sector consists of the Ministry of Defence and the National Intelligence Services (NIS). The mandate of the sector is to ensure security of the country against any threats emanating from within or outside the Kenyan borders, defend the country, and provide support to civil power in maintaining peace and order.

The annual budgetary allocation to the sector in the FY 2016/17 was Kshs.129.0 billion translating to 4.9 per cent of gross national budget, an increase from Kshs.113.8 billion allocated in FY 2015/16. The allocation comprised of Kshs.45 million for development expenditure and Kshs.129.0 billion for recurrent expenditure. Ministry of Defence received the highest budgetary allocation of Kshs.101.1 billion (78.4 per cent of the sector's allocation), while National Intelligence Service received Kshs.27.8 billion (21.6 per cent of the sector's allocation).

Figure 4.17 below shows the budgetary allocation trend for the National Security Sector for the period FY 2012/13 to FY 2016/17.

Figure 4.17: Budgetary Allocation Trend for the National Security Sector from FY 2012/13 to FY 2016/17 (Kshs. Billion)



In the first nine months of FY 2016/17, the sector received Kshs.77.7 billion, representing 60.2 per cent of the sector's revised annual net estimates. The Ministry of Defence received recurrent exchequer issues amounting to Kshs.59.7 billion representing 59.0 per cent of its annual recurrent net estimates. The National Intelligence Services (NIS) received exchequer issues amounting to Kshs.18 billion which represented 64.7 per cent of its recurrent net estimates. Table 4.9 shows the National Security sector analysis of exchequer issues and expenditure in the first nine months of FY 2016/17.

Table 4.9: National Security Sector-Analysis of Exchequer Issues and Expenditure for the period July 2016 to March, 2017. (Kshs. Billions)

VOTE	Development						Recurrent					
	Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to Rev. Gross Est.	Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Rev. Net Est.	% of Exp. to Rev. Gross Est.
Ministry of Defence	0.05	-	-	0.04	-	77.8	101.1	101.1	59.7	69.2	59.0	68.4
National Intelligence Service	-	-	-	-	-	-	27.8	27.8	18.0	19.8	64.7	71.0
Total	0.05			0.04		77.8	129.0	129.0	77.7	89.0	60.2	69.0
Total for the Sector							Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Revised Net Est.	% of Exp. to Rev. Gross Est.
Development							0.05	-	-	0.04	-	77.8
Recurrent							129.0	129.0	77.7	89.0	60.2	69.0
Total							129.0	129.0	77.7	89.0	60.2	69.0

Source: MDAs and National Treasury

The total expenditure for the sector during the first nine months of FY 2016/17 amounted to Kshs.89 billion, representing 69 per cent of the revised annual gross estimates, and a decline from 70.4 per cent recorded in a similar period of FY 2015/16. Expenditure for the Ministry of Defence amounted to Kshs.69.2 billion, representing 69 per cent of the recurrent estimates, a decline compared to 69.7 per cent reported in a similar period FY 2015/16. National Intelligence Service incurred expenditure amounting to Kshs.19.8 billion, representing 71.0 per cent of its revised annual recurrent estimates, a decline compared to 73.1 per cent reported in a similar period of FY 2015/16.

4.11 Social Protection, Culture and Recreation Sector

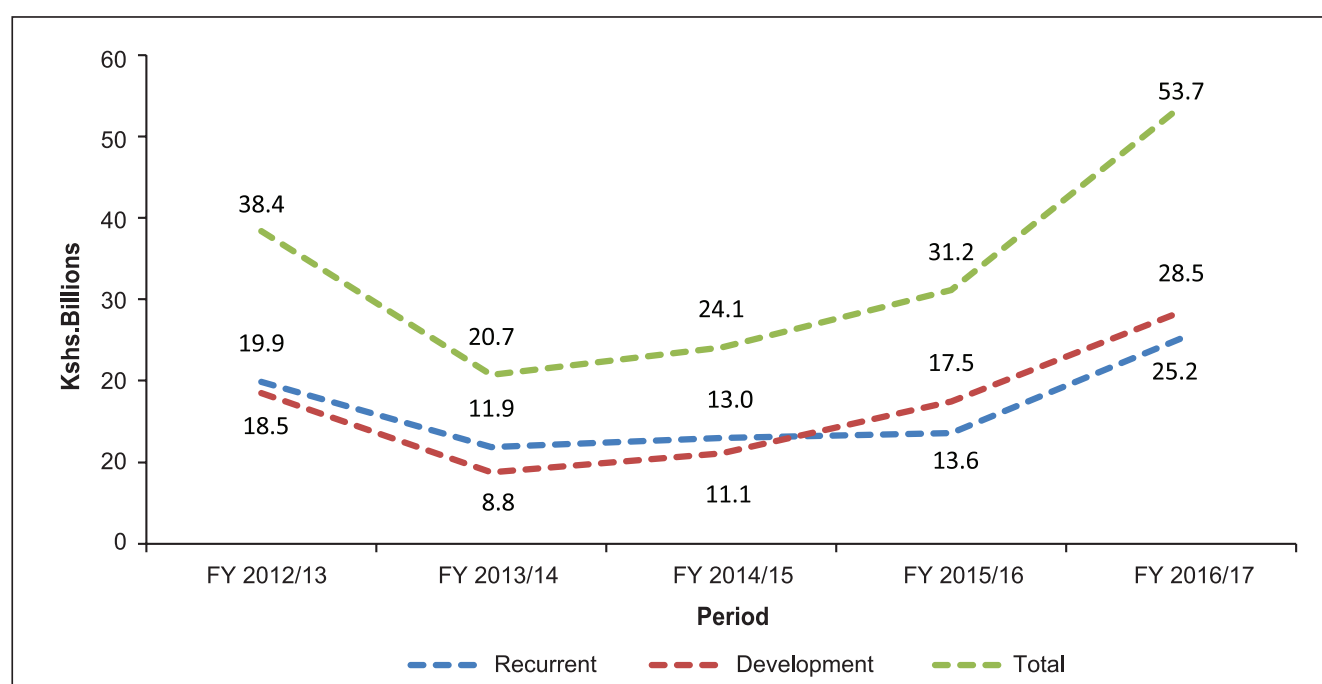
The Social Protection, Culture and Recreation Sector comprise of five MDAs namely; State Departments for Sports Development, Arts and Culture, Labour, Social Protection, Special Programmes, and Gender Affairs. The sector plays a major role in the country's transformation by promoting and exploiting Kenya's diverse cultures and arts; enhancing a reading culture; regulation, development and promotion of sports, the film industry and music; and preservation of the country's heritage. It also promotes harmonious industrial relations, safety and health at workplaces, employment promotion, industrial training, regulation of trade unions, productivity improvement, manpower planning and development, social security, social assistance, children care and protection and vocational training for Persons Living with Disability (PLWDs) and development of community groups.

The revised annual budgetary allocation to the sector in the FY 2016/17 was Kshs.53.7 billion,

representing 2.1 per cent of gross national budget, an increase from Kshs.31.5 billion allocated in FY 2015/16. The allocation comprised of Kshs.25.2 billion (48.7 per cent) for development expenditure and Kshs.28.5 billion (51.3 per cent) for recurrent expenditure. State Department for Social Protection received the highest budgetary allocation of Kshs.22.8 billion (42.5 per cent of the Sector's allocation), while State Department for Labour had the lowest budgetary allocation of Kshs.2.1 billion (3.9 per cent of the Sector's allocation).

Figure 4.18 below shows the budgetary allocation trend for the Social Protection, Culture Recreation Sector for the period FY 2012/13 to FY 2016/17.

Figure 4.18: Budgetary Allocation Trend for the Social Protection, Culture Recreation Sector from FY 2012/13 to FY 2016/17 (Kshs. Billion)



Source: National Treasury

During the first nine months of FY 2016/17, the sector received exchequer issues amounting to Kshs.26.5 billion, representing 93 per cent of the sector's revised annual net estimates. The exchequer issues comprised of Kshs.14.6 billion for development expenditure, representing 57.1 per cent of the revised annual development net estimates, and Kshs.11.9 billion for recurrent expenditure, representing 47.4 per cent of the revised recurrent annual net estimates.

Table 4.10 shows an analysis of exchequer issues and expenditure incurred by the Social Protection, Culture Recreation Sector in the first nine months of FY 2016/17.

Table 4.10: Social Protection, Culture Recreation Sector-Analysis of Exchequer Issues and Expenditure for the period July 2016 to March, 2017. (Kshs. Billions)

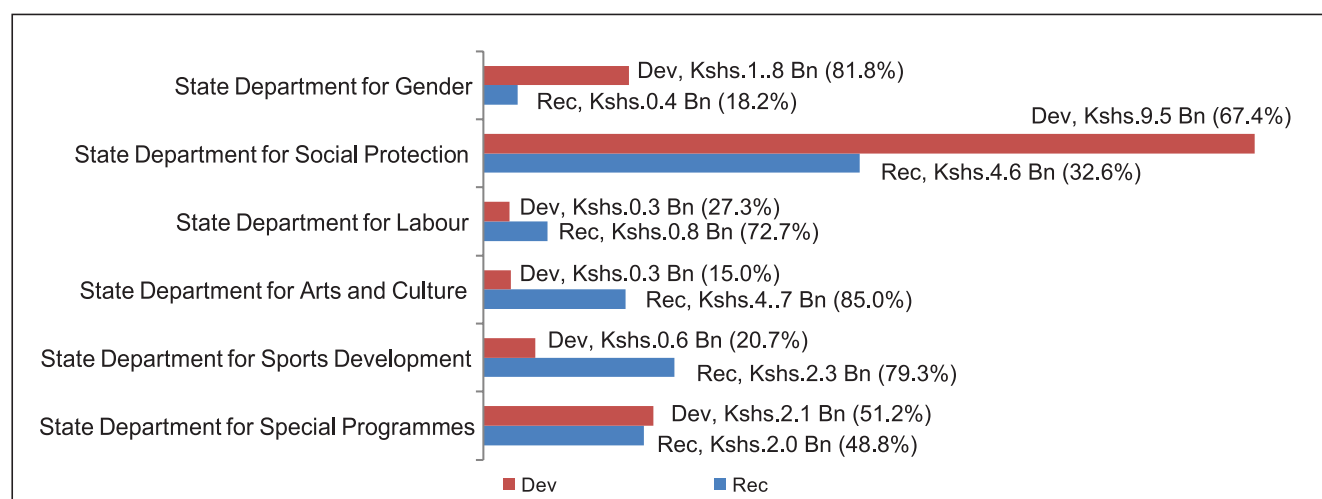
VOTE	Development						Recurrent					
	Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to Rev. Gross Est.	Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Rev. Net Est.	% of Exp. to Rev. Gross Est.
State Department for Special Programmes	7.2	4.8	2.1	2.9	43.6	39.7	8.3	8.3	2.0	3.4	23.7	40.7
State Department for Sports Development	2.0	2.0	0.6	0.9	31.8	45.9	3.5	3.5	2.3	2.8	66.7	80.9
State Department for Arts and Culture	0.5	0.5	0.3	0.4	68.3	88.9	2.9	2.9	1.7	2.3	60.9	79.9
State Department for Labour	0.5	0.4	0.3	0.2	76.5	36.9	1.6	1.6	0.8	0.84	50.0	53.2
State Department for Social Protection	14.8	14.5	9.5	9.4	65.4	63.7	8.0	7.9	4.6	4.1	58.3	51.0
State Department for Gender	3.5	3.4	1.8	2.6	52.0	73.6	0.9	0.9	0.4	0.5	47.9	51.8
Total	28.5	25.6	14.6	16.4	57.1	57.6	25.2	25.1	11.9	14.0	47.4	55.5
Total for the Sector							Revised Gross Est.	Revised Net Est.	Exch. Issues	Exp.	% of Exch. to Revised Net Est.	% of Exp. to Rev. Gross Est.
Development							28.5	25.6	14.6	16.4	57.1	57.6
Recurrent							25.2	25.1	11.9	14.0	47.4	55.5
Total							53.7	50.7	26.5	30.4	52.32	56.6

Source: MDAs and National Treasury

The State Department for Labour received the highest proportion of development exchequer issues to revised development net estimates at 76.5 per cent while State Department for Sports Development received the lowest at 31.8 per cent. State Department for Sports Development received the highest proportion of recurrent exchequer issues to revised annual recurrent net estimates at 66.7 per cent while State Department for Special Programmes received the lowest at 23.7 per cent.

Figure 4.19 shows the exchequer issues to the Social Protection, Culture Recreation Sector in the first nine months of FY 2016/17.

Figure 4.19: Exchequer Issues to the Social Protection, Culture Recreation Sector for the Period July 2016 to March 2017 (Kshs. Billions)



Source: National Treasury

The total expenditure for the sector during the first nine months of FY 2016/17 amounted to Kshs.30.4 billion, representing 56.6 per cent of the revised annual gross estimates, an increase compared to 46.6 per cent recorded in the same period of FY 2015/16.

The State Department for Arts and Culture recorded the highest absorption rate of its revised development budget at 88.9 per cent while State Department for Labour recorded the lowest rate at 36.9 per cent. On recurrent activities, State Department for Sports Development recorded the highest proportion expenditure to its revised gross recurrent budget at 80.9 per cent while the State Department for Special Programmes recorded the least at a rate of 40.7 per cent.

5 BUDGET PERFORMANCE BY PROGRAMMES, FIRST NINE MONTHS OF FY 2016/17

5.1 Introduction

This chapter presents analysis of MDAs budget performance based on programmes to be implemented in FY 2016/17. The chapter also provides detailed information on how funds were allocated to the various programmes within the ministries/departments for both development and recurrent expenditure. It presents the implementation status of programmes under each MDA.

5.2 Agriculture, Rural and Urban Development (AR&UD) Sector

In the FY 2016/17, the AR&UD sector revised allocation was Kshs.48.3 billion comprising of Kshs.29.8 billion (61.7 per cent) for development activities and Kshs.18.5 billion (38.3 per cent) for recurrent expenditure to fund 10 programmes. The analysis of Sector programmes for the period under review is presented in table 5.1.

Table 5.1: AR &UD Sector's Programme Performance in the First Nine Months of FY 2016/17 (Kshs. Billions)

VOTE	Programme	Rev. Dev. Est.	Rev. Rec. Est.	Rev. Gross Est.	Dev. Exp.	Rec. Exp.	Total Exp.	Programme Absorption Rate (%)
Ministry of Lands and Physical Planning	Land Policy and Planning	3.4	2.3	5.7	2.1	1.5	3.6	63.2
State Department for Agriculture	General Administration Planning and Support Services	0.8	2.5	3.3	0.5	1.9	2.3	69.6
	Crop Development and Management	10.3	4.8	15.2	7.4	3.9	11.3	74.5
	Agribusiness and Information Management	0.8	0.2	1.0	0.03	0.1	0.1	11.9
State Department for Livestock	Livestock Resources Management and Development	11.2	5.5	16.8	1.5	3.6	5.1	30.4
State Department for Fisheries and the Blue Economy	Fisheries Development and Management	3.2	1.8	5.0	1.7	1.2	2.9	58.5
National Land Commission	Land Administration and Management	-	0.2	0.2	-	0.2	0.2	72.8
	General Administration Planning and Support Services	-	1.0	1.0	-	0.7	0.7	69.6
	Land Disputes and Conflict Resolutions	-	0.1	0.1	-	0.1	0.1	91.5
	National Land Information Management Systems	0.1	0.0	0.1	0.1	0.01	0.1	85.7
Total		29.8	18.5	48.3	13.3	13.2	26.5	54.9

Source: MDAs and National Treasury

The Livestock Resources Management and Development under the State Department for Livestock received the highest budgetary allocation at Kshs.16.8 billion, which accounted for 34.7 per cent of the total budgetary allocation to the sector while the Agribusiness and Information Management under the State Department for Agriculture received the lowest allocation at Kshs.0.1 billion, less than 1 per cent of the sector total budgetary allocation.

The total expenditure for the programmes in the first nine months of FY 2016/17 amounted to Kshs.26.5 billion representing 54.9 per cent of the revised gross estimates. It comprised of development expenditure of Kshs.13.3 billion, recording an absorption rate of 44.8 per cent and Kshs.13.2 billion for recurrent expenditure representing 71.3 per cent of the revised annual estimates for recurrent programmes.

Analysis of programme performance shows that Land Disputes and Conflict Resolutions programme under the National Lands Commission registered the highest proportion of programme expenditure to its revised annual estimates at 91.5 per cent while the Agribusiness and Information Management programme under State Department for Agriculture recorded the lowest proportion of its programme expenditure to the revised annual estimates at 11.9 per cent.

5.3 Education Sector

The Education Sector revised allocation in the FY 2016/17 was Kshs.346.4 billion comprising of Kshs.28.5 billion (8.2 per cent) for development programmes and Kshs.317.9 billion (91.8 per cent) for recurrent programmes to fund 13 programmes. The analysis of Sector programmes for the period under review is presented in table 5.2.

Table 5.2: Education Sector's Programme Performance in the First Nine Months of FY 2016/17 (Kshs. Billions)

VOTE	Programme	Dev. Est.	Rec. Est.	Total Gross Est.	Dev. Exp	Rec. Exp	Total Exp	Programme Absorption Rate (%)
State Department for Education	Primary Education	7.6	16.9	24.5	1.1	14.4	15.5	63.2
	Secondary Education	8.6	32.3	40.9	7.3	28.3	35.6	87.1
	Quality Assurance and Standards	0.4	4.1	4.5	0.3	1.8	2.1	46.6
	General Administration, Planning and Support Services	0.4	4.0	4.4	-	2.0	2.0	46.1
State Department for Vocational Training and Technical Training	Technical Vocational Education and Training	4.1	2.3	6.4	1.8	1.6	3.4	53.6
	Youth Training and Development	0.1	-	0.1	0.1	-	0.1	63.4
	General Administration, Planning and Support Services	-	0.1	0.1	-	0.03	0.03	31.3

State Department for University Education	University Education	10.5	61.6	72.1	5.1	31.5	36.6	50.8
	Research, Science, Technology and Innovation	0.03	5.8	5.8	0.01	0.3	0.4	6.2
	General Administration, Planning and Support Services	-	0.9	0.9	-	0.3	0.3	37.9
Teachers Service Commission	Teacher Resource Management	-	187.9	187.9	-	140.7	140.7	74.9
	Governance and Standards	-	0.1	0.1	-	0.04	0.04	78.6
	General Administration, Planning and Support Services	0.1	5.9	6.0	-	2.5	2.5	42.0
Total		28.5	317.9	346.4	15.7	223.6	239.3	69.1

Source: MDAs and National Treasury

The Teacher Resource Management programme under Teachers Service Commission received the highest budgetary allocation at Kshs.187.9 billion (54.2 per cent of the total budget allocation for the sector) while its' Governance and Standard Programme received the lowest at Kshs.51.3 million (less than 1 per cent).

The total expenditure for the programmes in the sector during the reporting period amounted to Kshs.239.3billion representing an absorption rate of 69.1 per cent. This comprised of Kshs.15.7 billion as development expenditure, representing 55.3 per cent of the revised annual estimates for development programmes and Kshs.223.6 billion for recurrent expenditure, representing an absorption rate of 70.3 per cent of revised annual estimates for the recurrent programmes.

Analysis of the programmes performance shows that, Secondary Education programme under State Department for Education recorded the highest proportion of programme expenditure to their annual budget estimates at 87.1 per cent while Research, Science, Technology and Innovation under the State Department for University Education recorded the lowest and 6.2 per cent.

5.4 Energy, Infrastructure and Information Communications Technology (EI & ICT) Sector

In FY 2016/17, the EI & ICT Sector revised allocation was Kshs.613.8 billion to implement 24 programmes. The allocation comprised of Kshs.548.2 billion (89.3 per cent) for development expenditure and Kshs.65.6 billion (10.7 per cent) as recurrent expenditure. The analysis of the Energy, Infrastructure and Information Communications Technology Sector's programmes for the period under review is presented in Table 5.3.

Table 5.3: EI & ICT Sector's Programme Performance in the First Nine Months of FY 2016/17 (Kshs. Billions)

VOTE	Programme	Revised Dev. Est.	Revised Rec. Est	Total Gross Est.	Dev. Exp	Rec. Exp.	Total Exp	Programme Absorption Rate (%)
State Department of Transport	General Administration, Planning and Support Services	0.5	0.3	0.8	0.1	0.4	0.5	68.1
	Rail Transport	159.7	0.2	159.9	97.3	-	97.3	60.8
	Marine Transport	19.7	0.4	20.1	7.6	0.5	8.0	39.9
	Air Transport	2.2	4.4	6.6	0.6	3.4	4.1	61.7
	Road Safety	0.6	0.4	1.0	0.6	0.3	0.9	87.4
State Department of Infrastructure	Road Transport	160.8	50.0	210.8	61.4	32.0	93.4	44.3
State Department for Maritime Affairs	Marine Transport	0.0	0.3	0.3	0.0	0.2	0.2	61.8
State Department for Public Works	Government Buildings	1.1	0.4	1.5	0.0	0.1	0.2	10.8
	Coastline Infrastructure and Pedestrian Access	0.1	0.1	0.1	0.03	0.04	0.1	51.6
	General Administration, Planning and Support Services	0.6	0.2	0.8	0.5	0.1	0.7	82.1
State Department for Housing & Urban Development	Housing Development and Human Settlement	6.4	1.9	8.3	3.8	1.3	4.5	53.8
	Urban and Metropolitan Development	11.3	0.3	11.6	6.8	0.8	4.8	41.3
	General Administration, Planning and Support Services	-	0.1	0.1	-	0.1	0.1	74.1
State Department for Information Communications & Technology	General Administration Planning and Support Services	-	0.3	0.3	-	0.1	0.1	42.0
	ICT Infrastructure Development	24.0	0.3	24.3	21.6	0.3	21.9	90.3
	E-Government Services	-	0.6	0.6	-	0.4	0.4	63.8
State Department for Broadcasting & Telecommunication	General Administration Planning and Support Services	-	0.4	0.4	-	0.2	0.2	44.9
	Information and Communication Services	0.2	2.3	2.5	0.2	1.1	1.3	51.7
	Mass Media Skills Development	0.1	0.2	0.3	0.1	0.1	0.3	81.1
State Department for Energy	***	150.4	2.1	152.5	34.3	1.7	35.0	23.0
State Department for Petroleum	Exploration and Distribution of Oil and Gas	2.9	0.2	3.1	0.6	0.04	0.6	20.1
Total		548.2	65.6	613.8	235.7	43.3	279.0	45.5

Source: MDAs and National Treasury

*** Programme Returns not provided by the State Department for Energy

The Road Transport programme under State Department for Infrastructure had the highest allocation of Kshs.210.8 billion (34.3 per cent of the total budget allocation for the sector) while the General Administration, Planning and Support Services programmes under State Department for Housing and Urban Development had the lowest allocation of Kshs.0.1 billion (less than 1 per cent of the total budget allocation for the sector).

The total expenditure for the sector programmes in the first nine months of FY 2016/17 amounted to Kshs.279 billion representing 45.5 per cent of the revised annual estimates. It comprised of Kshs.235.7 billion for development expenditure representing an absorption rate of 43 per cent and Kshs.43.3 billion for recurrent expenditure which represented 66 per cent of the revised annual estimates for recurrent programmes in the sector.

Analysis of the programme performance shows that the ICT Infrastructure Development Programme under the State Department for Information Communication and Technology registered the highest proportion of programme expenditure to its annual budget estimates at 90.3 per cent while the government buildings programme under the State Department for Public Works had the lowest programme expenditure rate of 10.8 per cent.

5.5 Environment Protection, Water and Natural Resources Sector

In the FY 2016/17, the revised budgetary allocation to the sector was Kshs.94.3 billion for implementing 11 programmes. This comprised of Kshs.71.3 billion (75.7 per cent) for development programmes and Kshs.23 billion (24.3 per cent) for recurrent expenditure. The analysis of Environment Protection, Water and Natural Resources Sector programmes for the period under the review is presented in Table 5.4.

Table 5.4: Environment Protection, Water and Natural Resources Sector's Programme in the First Nine Months of FY 2016/17 (Kshs. Billions)

VOTE	Programme	Rev. Dev. Est.	Rev. Rec. Est.	Rev. Gross Est.	Dev. Exp.	Rec. Exp.	Total Exp.	Programme Absorption Rate (%)
State Department for Water Services	General Administration, Planning and Support Services	0.3	0.6	0.9	0.05	0.4	0.4	48.7
	Water Resources Management	44.9	3.9	48.8	9.7	2.3	12.0	24.6
State Department for Irrigation	Irrigation and Land Reclamation	11.2	0.9	12.1	6.1	0.3	6.4	52.3
	Water Storage and Flood Control	5.8	-	5.8	0.9	-	0.9	15.8
State Department for Environment	Meteorological Services	1.1	1.1	2.2	0.5	0.8	1.3	61.4
	Environment Management and Protection	1.4	1.9	3.3	0.59	0.6	1.2	36.2
	General Administration, Planning and Support Services	-	0.7	0.7	0.1	0.4	0.5	68.3
State Department for Natural Resources	Natural Resource Management	3.0	12.6	15.6	1.3	4.3	5.6	35.7
Ministry of Mining	General Administration Planning and Support Services	-	0.3	0.3	-	0.3	0.3	92.5
	Resources Surveys and Remote Sensing	0.3	0.2	0.5	0.4	0.1	0.5	94.3
	Mineral Resources Management	3.6	0.2	3.8	0.76	0.1	0.8	22.3
Total		71.4	23.0	94.3	20.4	9.5	29.8	31.6

Source: MDAs and National Treasury

The Water Resources Management programme under the State Department for Water Services received the highest budgetary allocation at Kshs.48.8 billion (51.7 per cent of the total budget allocation for the sector) while the General Administration, Planning and Support Services programme under the Ministry of Mining received the lowest budgetary allocation at Kshs.0.3 billion (less than 1 per cent of the total budget allocation for the sector).

The total expenditure for the programmes in the period under review amounted to Kshs.29.8 billion representing an absorption rate of 31.6 per cent. This expenditure comprised of Kshs.20.4 billion for development expenditure, representing an absorption rate of 28.5 per cent of revised annual estimates for the development programmes and Kshs.9.5 billion for recurrent expenditure, representing 41.3 per cent of the revised annual estimates for recurrent programmes.

The Resources Surveys and Remote Sensing programme under Ministry of Mining recorded the highest proportion of programme expenditure to its' revised annual estimates at 94.3 per cent while the Water Storage and Flood Control programme under State Department for Irrigation registered the lowest proportion of programme expenditure to its' revised annual estimates at 15.8 per cent.

5.6 General Economic and Commercial Affairs (GECA) Sector

In the FY 2016/17, the sector revised allocation was Kshs.24.4 billion for implementing 7 programmes. This comprised of Kshs.11.1 billion (45.5 per cent) for development programmes and Kshs.13.3 billion (54.5 per cent) for recurrent programmes. The analysis of General Economic and Commercial Affairs Sector programmes for the period under review is presented in Table 5.5.

Table 5.5: GECA Sector's Programme Performance in the First Nine Months of FY 2016/17 (Kshs. Billions)

VOTE	Programme	Rev. Dev. Est.	Rev. Rec. Est.	Rev. Gross Est.	Dev. Exp.	Rec. Exp.	Total Exp.	Programme Absorption Rate (%)
State Department for Industry and Investment	General Administration Planning and Support Services	0.17	0.5	0.7	0.1	0.4	0.6	78.4
	Industrial Development and Investments	2.1	1.2	3.3	1.6	1.0	2.6	69.3
	Standards and Business Incubation	1.2	1.4	2.6	0.7	0.9	1.6	64.8
State Department for Cooperatives	Cooperative Development and Management	0.5	3.3	3.8	0.5	2.9	3.4	90.5
State Department for Trade	Trade Development and Promotion	0.1	3.8	3.9	0.05	2.8	2.9	69.2
State Department for East African Integration	East African Affairs and Regional Integration	0.07	1.6	1.7	-	1.3	1.3	71.5
Ministry of Tourism	Tourism Development and Promotion	3.6	2.4	6.0	2.1	1.2	3.2	53.8
Total		11.1	13.3	24.4	5.1	10.6	15.6	64.2

Source: MDAs and National Treasury

The Tourism Development and Promotion programme under the Ministry of Tourism received the highest budget allocation at Kshs.6 billion (24.6 per cent of the total budget allocation for the sector) while the General Administration, Planning and Support programme under State Department for Industry and Investment received the lowest allocation at Kshs.0.7 billion (2.9 per cent of the total budget allocation for the sector).

The total expenditure for the sector programmes in the first nine months of FY 2016/17 amounted to Kshs.15.6 billion representing to an absorption rate of 64.2 per cent. This comprised of Kshs.5.1 billion for development activities, an absorption rate of 46.2 per cent of the revised annual estimates and Kshs.10.6 billion incurred on recurrent activities representing 79.2 per cent of the revised recurrent estimates.

The Cooperative Development and Management programme under the State Department for Cooperatives recorded the highest proportion of programme expenditure to its revised annual estimates at 90.5 per cent while Tourism Development and Promotion programme under the Ministry of Tourism recorded the lowest at 53.8 per cent.

5.7 Governance, Justice, Law and Order (GJLOS) Sector

The GJLOS sector revised allocation in the FY 2016/17 was Kshs.205.3 billion to implement 21 programmes. The allocation comprised of Kshs.34.3 billion (16.7 per cent) for development expenditure and Kshs.171.1 billion (83.3 per cent) for recurrent activities. Analysis of the Governance, Justice, Law and Order Sector programmes for period under the review is presented in Table 5.6.

Table 5.6: GJLOs Sector's Programme Performance in the First Nine Months of FY 2016/17 (Kshs. Billions)

VOTE	Programme	Rev. Dev. Est.	Rev. Rec. Est.	Rev. Gross Est.	Dev. Exp.	Rec. Exp.	Total Exp.	Programme Absorption Rate (%)
State Department for Interior	Policing services	13.3	80.7	93.9	0.8	56.1	56.9	60.6
	Planning, policy Coordination and Support Services	14.4	22.3	36.7	11.4	9.5	20.9	57.0
	Government Printing Services	0.2	0.8	1.0	0.14	0.3	0.4	38.4
	Population Management Services	1.8	5.6	7.3	1.1	3.3	4.5	61.1
	Betting Control, Licensing and regulation Services	-	0.1	0.1	-	0.01	0.01	9.3
State Department for Correctional Services	Correctional services	0.5	19.9	20.4	0.1	12.3	12.4	60.7
	General Administration, Planning and Support Services	0.0	0.3	0.3	0.01	0.2	0.2	74.8
State Law Office and Department of Justice	Legal Services	0.0	2.2	2.2	-	0.8	0.8	33.6
	Governance, Legal Training And Constitutional Affairs	0.3	1.8	2.1	-	0.7	0.7	33.0
	General Administration, Planning and Support Services	0.1	1.3	1.4	0.003	0.5	0.6	39.8
The Judiciary	Dispensation of Justice	4.2	13.0	17.2	1.6	7.9	9.5	55.1
Ethics and Anti-Corruption Commission	Ethics and Anti-Corruption	0.5	2.7	3.2	-	2.4	2.4	74.7
Office of Director of Public Prosecutions	Public Prosecution Services	0.1	2.2	2.3	0.02	1.3	1.4	59.1
Office of the Registrar of Political Parties	Registration, Regulation and Funding of Political Parties	-	0.8	0.8	-	0.4	0.4	51.2
Witness Protection Authority	Witness Protection	-	0.4	0.4	-	0.3	0.3	72.0
Kenya National Commission on Human Rights	Protection and Promotion of Human Rights	-	0.4	0.4	-	0.3	0.3	71.2
Independent Electoral and Boundaries Commission	Management of Electoral Processes	0.8	20.6	21.3	-	5.9	5.9	27.6
Judicial Service Commission	Dispensation of Justice	-	0.5	0.5	-	0.2	0.2	54.3
National Police Service Commission	National Police Service Human Resource Management	-	0.4	0.4	-	0.3	0.3	75.6
National Gender and Equality Commission	Promotion of Gender Equality and Freedom from Discrimination	-	0.4	0.4	-	0.3	0.3	75.5
Independent Police Oversight Authority	Policing Oversight Services	-	0.5	0.5	-	0.3	0.3	64.9
Total		34.3	171.1	205.3	15.0	103.6	118.6	57.8

Source: MDAs and National Treasury

The Policing Services programme under State Department for Interior received the highest allocation at Kshs.93.9 billion (45.7 per cent of the revised annual estimates for the sector) while Betting Licensing

and Regulations Services received the lowest allocation at Kshs.0.1 billion, translating to less than 1 per cent.

The total expenditure for the sector programmes in the reporting period amounted to Kshs.118.6 billion representing 57.8 per cent of the sector revised annual estimates. This comprised of Kshs.15 billion for development expenditure, an absorption rate of 43.9 per cent and Kshs.103.5 billion for recurrent expenditure representing 60.5 per cent of the revised annual estimates for recurrent programmes.

Analysis of the programme performance shows that the National Police Service Human Resource programme under the National Police Service Commission recorded the highest proportion of programme expenditure to its revised annual estimates at 75.6 per cent while the Betting Control, Licencing and Regulation Services programme under State Department for Interior had the lowest proportion of programme expenditure to its annual budget estimates at 9.3 per cent.

5.8 Health Sector

The Health sector revised allocation in the FY 2016/17 was Kshs.73.6 billion to fund 5 programmes. The allocation comprised of Kshs.39.4 billion (53.5 per cent) for development programmes and Kshs.34.1 billion (46.5 per cent) for recurrent programmes. Table 5.7 presents an analysis of the Health sector programmes for the period July 2016 to March 2017.

Table 5.7: Health Sector's Programme Performance in the First Nine Months of FY 2016/17 (Kshs. Billions)

VOTE	Programme	Rev. Dev. Est.	Rev. Rec. Est.	Rev. Gross Est.	Dev. Exp.	Rec. Exp.	Total Exp.	Programme Absorption Rate (%)
Ministry of Health	Preventive & Promotive Health Services	6.3	2.1	8.5	2.1	1.1	3.2	38.0
	National Referral & Specialized Services	13.6	17.3	30.9	12.2	9.4	21.6	69.8
	Health Research and Development	0.3	5.6	5.9	0.3	3.4	3.7	63.3
	General Administration, Planning & Support Services	10.2	9.0	19.3	5.1	2.7	7.8	40.4
	Health Policy, Standards and Regulations	9.6	0.1	9.6	5.1	0.02	5.1	53.3
Total		39.4	34.1	73.6	24.8	16.6	41.4	56.3

Source: MDAs and National Treasury

The National Referral & Specialized Services programme received the highest allocation at Kshs.30.9 billion (42 per cent of the revised annual allocation for the sector) while the Health Research and Development programme had the lowest allocation at Kshs.5.9 billion (8 per cent of the sector's revised annual allocation).

The total expenditure for the sector programmes in the period under review amounted to Kshs.41.4 billion, representing an absorption rate of 56.3 per cent. This expenditure comprised of Kshs.24.8 billion for development programmes, representing an absorption rate of 62.9 per cent, and Kshs.16.6 billion for recurrent programmes representing an absorption rate of 48.6 per cent.

Analysis of the programme performance shows that the National Referral & Specialized Services programme registered the highest proportion of programme expenditure to its annual budget estimates at 69.8 per cent while the Preventive and Promotive Health Services programme recorded the lowest proportion at 38.0 per cent.

5.9 Public Administration and International Relations (PAIR) Sector

The Public Administration and International Relations (PAIR) sector revised allocation in the FY 2016/17 to implement 33 programmes Kshs.216.8 billion. It comprised of Kshs.96.1 billion (44.3 per cent) for development programmes and Kshs.120.7 billion (55.7 per cent) for recurrent programmes. The analysis of Public Administration and International Relations Sector programmes for the period under review is presented in Table 5.8.

Table 5.8: PAIR Sector's Programme Performance in the First Nine Months of FY 2016/17 (Kshs. Billions)

VOTE	Programme	Rev. Dev. Est.	Rev. Rec. Est.	Rev. Gross Est.	Dev. Exp.	Rec. Exp.	Total Exp.	Programme Absorption Rate (%)
The Presidency	Cabinet Affairs	0.1	1.9	2.0	0.05	0.7	0.8	38.1
	Government Advisory Services	-	1.0	1.0	-	0.6	0.6	60.4
	State House Affairs	0.3	4.0	4.4	0.14	2.7	2.9	65.5
	Deputy President Services	0.1	2.3	2.3	0.04	1.2	1.3	55.2
State Department for Planning and Statistics	Economic Policy and National Planning	26.6	1.1	27.7	18.40	1.1	19.5	70.3
	National Statistical Information Services	1.4	1.8	3.3	0.85	1.1	2.0	61.3
	Monitoring and Evaluation Services	0.1	0.1	0.1	0.05	0.04	0.1	62.7
	General Administration Planning and Support Services	-	0.7	0.7	-	0.4	0.4	62.3
	NGO Regulatory Services	-	0.1	0.1	-	0.1	0.1	62.0
	Integrated Regional Development	1.7	1.7	3.4	1.21	1.1	2.3	67.3
State Department for Devolution	Devolution Services	1.0	0.6	1.6	0.29	0.4	0.7	43.0
	Accelerated ASAL Development	0.1	0.2	0.4	0.001	0.2	0.2	48.3
Ministry of Foreign Affairs	General Administration Planning and Support Services	0.1	5.6	5.7	-	2.7	2.7	46.5
	Foreign Relation and Diplomacy	2.6	12.7	15.3	2.2	11.1	13.3	86.6

The National Treasury	General Administration, Planning and Support Services	4.7	30.6	35.3	1.46	20.2	21.6	61.1
	Public Financial Management	39.5	4.6	44.1	11.82	3.4	15.2	34.4
	Economic and Financial Policy Formulation and Management	1.4	1.1	2.4	0.60	0.7	1.3	54.2
	Market Competition	-	0.3	0.3	-	0.2	0.2	73.0
	Government Clearing Services	-	0.05	0.05	-	0.03	0.03	67.1
State Department for Public Service and Youth Affairs	Public Service Transformation	1.8	5.7	7.4	2.10	1.6	3.7	50.3
	General Administration, Planning and Support Services	-	0.01	0.01	0.01	-	0.01	57.6
	Youth Empowerment	12.7	8.7	21.4	5.93	7.5	13.4	62.7
Parliamentary Service Commission	Senate Affairs	-	5.4	5.4	-	2.9	2.9	53.7
	General Administration, Planning and Support Services	3.2	5.1	8.2	1.5	3.5	5.0	61.0
National Assembly	National Legislation, Representation and Oversight	-	16.9	16.9	-	10.3	10.3	61.1
Commission on Revenue Allocation	Inter-Governmental Revenue and Financial Matters	-	0.4	0.4	-	0.2	0.2	59.2
Public Service Commission	General Administration, Planning and Support Services	0.04	0.9	1.0	0.02	0.7	0.7	68.4
	Human Resource management and Development	-	0.2	0.2	-	0.2	0.2	94.4
	Governance and National Values	-	0.1	0.1	-	0.1	0.1	92.5
Salaries and Remuneration Commission	Salaries and Remuneration Management	-	0.5	0.5	-	0.3	0.3	55.8
Auditor General	Audit Services	0.2	4.2	4.4	0.06	3.0	3.1	69.6
Controller of Budget	Control and Management of Public finances	-	0.5	0.5	-	0.3	0.3	54.3
Commission on Administrative Justice	Promotion of Administrative Justice	-	0.5	0.5	-	0.3	0.3	70.6
Total		96.1	120.7	216.8	53.5	79.3	132.8	61.3

Source: MDAs and National Treasury

Analysis of programme budget allocations indicates that the Public Financial Management programme under the National Treasury received the highest budgetary allocation at Kshs.44.1 billion which was 20.3 per cent of the sector's revised annual allocation while the General Administration, Planning and Support Services under State Department for Public Service and Youth Affairs received the lowest allocation at Kshs.10.6 million, translating to less than 1 per cent.

The total expenditure for the sector in the period under review amounted to Kshs.132.8 billion, representing 61.3 of the revised annual estimates. It comprised of Kshs.53.5 billion as development expenditure, representing an absorption rate of 55.7 per cent and Kshs.79.3 billion as recurrent expenditure, which represented 65.7 per cent for recurrent programmes.

Analysis of the programme performance indicated that the Human Resource Management and Development programme under the Public Service Commission recorded the highest proportion of

programme expenditure to its revised annual estimates at 94.4 per cent while the Public Financial Management programme under the National Treasury had the lowest at 34.4 per cent.

5.10 National Security Sector

The National Security sector revised allocation to fund 2 programmes in FY 2016/17 was Kshs.129.0 billion. This comprised of Kshs.45 million (less than 1 per cent) for development expenditure and Kshs.129 billion (99.9 per cent) for recurrent expenditure. The analysis of National Security Sector programmes for the period July 2016 to March 2017 is presented in Table 5.9.

Table 5.9: National Security Sector's Programme Performance in the First Nine Months of FY 2016/17 (Kshs. Billions)

VOTE	Programme	Rev. Dev. Est.	Rev. Rec. Est.	Rev. Gross Est.	Dev. Exp.	Rec. Exp.	Total Exp.	Programme Absorption Rate (%)
Ministry of Defence	Defence	0.05	101.1	101.1	0.04	69.2	69.2	68.4
National Intelligence Service	National Security Intelligence	-	27.8	27.8	0	19.8	19.8	71.0
Total		0.05	129.0	129.0	0.04	88.7	89.0	69.0

Source: MDAs and National Treasury

The Sector has two programs namely the Defence and the National Security Intelligence programme. Defence programme under Ministry of Defence received the highest and lowest allocation at Kshs. 101.1 billion (78.4 per cent of the total allocation for the sector) and National Intelligence Service under National Intelligence Service received Kshs.27.8 billion (21.6 per cent of the total allocation for the sector) respectively.

The total recurrent expenditure for the sector programmes in the reporting period amounted to Kshs.89 billion, which represented 69 per cent of the revised annual estimates. Analysis of programme performance indicated that National Intelligence Service recorded the highest proportion of programme expenditure to the revised annual estimates for the programme at 71.1 per cent while the Defence programme under the Ministry for Defence recorded 68.4 per cent.

5.11 Social Protection, Culture and Recreation Sector

The Social Protection, Culture and Recreation Sector revised allocation to fund 16 programmes in FY 2016/17 was Kshs.53.6 billion. Table 5.10 presents an analysis of the Social Protection, Culture and Recreation Sector's programme for the period July 2016 to March 2017.

Table 5.10: Social Protection, Culture and Recreation Sector's Programme Performance in the First Nine Months of FY 2016/17 (Kshs. Billions)

VOTE	Programme	Rev. Dev. Est.	Rev. Rec. Est	Rev. Gross Est.	Dev. Exp.	Rec. Exp.	Total Exp	Programme Absorption Rate (%)
State Department for Special Programmes	Special Initiatives	-	7.6	7.6	2.9	0.5	3.4	44.5
	Accelerated ASAL Development	7.2	0.7	8.0	-	4.1	2.9	51.3
State Department for Sports Development	Sports	1.6	2.9	4.4	0.9	2.6	3.5	79.5
	General Administration, Planning and Support Services	-	0.5	0.5	-	0.3	0.3	49.1
State Department for Arts and Culture	Culture	0.2	1.4	1.6	0.2	1.1	1.3	73.0
	The Arts	0.1	0.6	0.7	0.1	0.5	0.6	78.8
	Library Services	0.1	0.6	0.8	0.1	0.6	0.7	78.0
	General Administration, Planning and Support Services	-	0.3	0.3	-	0.1	0.2	70.5
State Department for Labour	Promotion of the Best Labour Practice	-	0.5	0.5	-	0.3	0.3	55.9
	Manpower Development, Employment and Productivity Management	0.4	0.5	0.9	0.2	0.3	0.5	51.1
	General Administration, Planning and Support Services	-	0.6	0.6	-	0.4	0.4	58.0
State Department for Social Protection	Social Development and Children Services	0.8	2.9	3.8	0.5	1.6	2.1	55.1
	National Social Safety Net	13.6	4.9	18.5	9.0	2.6	11.6	62.6
	General Administration, Planning and Support Services	-	0.1	0.1	-	0.03	0.03	54.1
State Department for Gender	Community Development	2.1	-	2.1	1.6	-	1.6	75.0
	Gender Empowerment	1.3	0.9	2.2	1.0	0.5	1.4	64.6
Total		28.5	25.2	53.6	16.4	14.0	30.4	56.6

Source: MDAs and National Treasury

The allocation comprised of Kshs.28.5 billion (53.2 per cent) for development programmes and Kshs.25.2 billion (46.8 per cent) for recurrent programmes.

The National Social Safety Net programme under the State Department for Social Protection received the highest budgetary allocation at Kshs.18.5 billion (34.5 per cent of the revised annual allocation to the sector) while the General Administration, Planning and Support Services programme under the State Department for Arts and Culture received the lowest allocation at Kshs.30 million (less than 1 per cent of the revised annual allocation to the sector).

The total expenditure for the sector programmes in the reporting period amounted to Kshs.30.4 billion representing 56.6 per cent of the revised annual estimates. This comprised of Kshs.16.4 billion for

development expenditure representing an absorption rate of 57.6 per cent while Kshs.14 billion was spent as recurrent expenditure which accounted for 55.5 per cent.

Analysis of the programme performance showed that the Sports programme under the State Department for Sports Development recorded the highest proportion of programme expenditure to its total annual budget estimates at 79.5 per cent while the Special Initiatives programme under the State Department for Special Programmes recorded the least absorption at 44.5 per cent.

6.1 Introduction

This chapter presents the key challenges that affected budget implementation in the first nine months of FY 2016/17 and makes appropriate recommendations aimed at addressing the challenges in order to enhance smooth budget implementation.

6.2 Key Issues and Recommendation

In the period under review, the Office of the Controller of Budget identified some key issues which affected budget implementation by MDAs as follows:

6.2.1 Delay in Uploading Budgets and Annual Procurement Plans into IFMIS

Section 12(1) (e) of the PFM Act, 2012 requires the National Treasury to design and prescribe an efficient financial management system for the national and county governments to ensure transparent financial management and standard financial reporting. IFMIS is the prescribed financial management system by the National Treasury for use by the MDAs to undertake financial transactions including procurement and payment.

In the period under review, MDAs experienced delays in uploading of procurement plans and budgets onto IFMIS, which interrupted implementation of the planned activities.

The Office recommends timely uploading of procurement plans and budgets onto IFMIS to ensure timely implementation of MDAs' planned activities.

6.2.2 Accounting for expenditure on Capital and Current Transfers

There are several SAGAs that are financed by capital and current transfers from parent Ministries. The transfers are treated as expenditure by the line Ministries once transferred. This accounting treatment is likely to result in overstatement of expenditure by the Ministries since amounts transferred are programmed to be spent by the SAGAs during the year.

It is recommended that the Public Sector Accounting Standards Board (PSASB) should review this matter and develop guidelines in line with international best practice.

6.2.3 Delay in submission Quarterly Reports on Financial and Non-Financial Performance

Section 83 of the PFM Act, 2012 requires an accounting officer for a national government entity to prepare a report on the financial and non-financial performance of the entity for each quarter of the finance year. A copy of the same should be forwarded to the Controller of Budget not later than fifteen days after the end of each quarter.

Despite the above requirement, the Office has noted continued delays in submission of quarterly reports by some MDAs, which has affected timely reporting on budget implementation.

It's recommended that all MDAs should ensure that quarterly financial and non-financial reports are submitted to the Controller of Budget in compliance with Section 83 of the PFM Act, 2012.

This Budget Implementation Review Report for the first nine months of FY 2016/17 sought to provide information on budget implementation by the National Government, in fulfilment of Article 228 (6) of the Constitution of Kenya, 2010 and Section 9 of the Controller of Budget Act, 2016. The report compares performance against a similar period in the previous financial year and identifies the challenges that faced MDAs and negatively affected budget execution.

In the first nine months of FY 2016/17, total exchequer issues by the National Treasury to the MDAs, County Governments and for CFS amounted to Kshs.1.25 trillion, representing 61.1 per cent of the revised net estimates, an improvement of 5.5 percentage points compared to Kshs.1.19 trillion released in a similar period of FY 2015/16. County Governments received the highest proportion of exchequer issues to net estimates at 65.1 per cent (Kshs.185.2 billion). The MDAs received 64 per cent (Kshs.532 billion) and 51.9 per cent (Kshs.222 billion) for recurrent and development expenditure respectively, while CFS received 61.8 per cent (Kshs.315.6 billion).

The total expenditure by the National Government was Kshs.1.32 trillion, representing 56.9 per cent of the revised annual gross estimates. This was an improvement from Kshs.1.07 trillion (55.4 per cent) spent in the first nine months of FY 2015/16. Development expenditure amounted to Kshs.400.1 billion, or 45.1 per cent of the annual gross estimates, and an improvement from Kshs.247.4 billion incurred in a similar period of FY 2015/16 (34.3 per cent of the gross estimates). Recurrent expenditure by the MDAs stood at Kshs.602.4 billion, representing 65.5 per cent, compared to Kshs.479.8 billion (61.2 per cent of gross estimate). The Consolidated Fund Services expenditure was Kshs.316.3 billion (61.9 per cent of gross estimates), a decline in absolute terms compared to Kshs.351.2 billion (72.7 per cent of the gross estimates) recorded in a similar period of FY 2015/16.

The report observed improvement in the overall expenditure but also identified a number of challenges that curtailed budget implementation such as; delays in uploading of budgets and annual procurement plans in IFMIS, which should be addressed in order to ensure efficiency and effectiveness in budget implementation. Another challenge was the delay in submission of financial reports by some MDAs, which affected timely reporting on budget implementation.

ANNEX I: MDAs Development Expenditure – First Nine Months of the FY 2016/17 (Kshs.)

MINISTRY/STATE DEPARTMENT	Gross Estimates	Revised Gross Estimates I	Net Estimates	Revised Net Estimates I	Exchequer Issues	Expenditure	% of Exch. To Net Est.	% of Exp. To Revised G. Est.
The Presidency	481,340,000	470,640,000	481,340,000	470,640,000	75,800,000	232,022,251	16.1%	49.3%
State Department for Interior	22,854,796,889	27,534,566,889	22,722,800,000	27,402,570,000	12,345,800,000	13,311,356,958	45.1%	48.3%
State Department for Correctional Services	1,050,000,000	525,000,000	1,050,000,000	525,000,000	177,600,000	111,289,229	33.8%	21.2%
State Department for Devolution	2,424,000,000	1,164,809,000	2,304,000,000	1,044,809,000	153,759,883	287,712,965	14.7%	24.7%
State Department for Special Programmes	5,111,345,330	7,221,345,330	2,678,000,000	4,788,000,000	2,086,755,901	2,866,846,105	43.6%	39.7%
State Department for Planning & Statistics	41,506,246,464	32,063,978,364	40,089,318,664	30,647,050,564	27,433,309,191	31,798,666,938	89.5%	99.2%
Ministry of Defence	45,000,000	45,000,000	-	-	-	35,000,000		77.8%
Ministry of Foreign Affairs	3,000,000,000	2,750,000,000	3,000,000,000	2,750,000,000	2,232,800,000	2,254,153,244	81.2%	82.0%
State Department for Basic Education	8,395,219,512	13,637,034,486	5,942,420,568	11,184,235,542	6,038,638,251	8,783,569,914	54.0%	64.4%
State Department for Vocational and Technical Training	4,200,999,358	4,203,049,358	2,450,999,370	2,453,049,370	1,367,000,000	1,852,773,185	55.7%	44.1%
State Department for University Education	11,479,095,026	10,541,345,026	8,503,750,630	7,566,000,630	4,206,624,000	5,101,149,278	55.6%	48.4%
The National Treasury	45,530,120,315	40,754,528,315	26,657,892,403	21,882,300,403	3,278,096,017	8,702,955,084	15.0%	21.4%
Ministry of Health	31,279,819,184	39,441,680,757	20,826,356,164	28,988,217,737	19,570,084,563	24,808,048,094	67.5%	62.9%
State Department for Infrastructure	147,711,782,851	160,789,917,596	84,782,200,000	94,880,480,370	28,994,760,824	61,431,534,086	30.6%	38.2%
State Department for Transport	175,806,596,000	189,058,396,000	15,345,000,000	15,774,800,000	10,394,576,343	106,142,219,740	65.9%	56.1%
State Department Housing and Urban Development	19,289,020,000	17,661,835,000	13,364,020,000	11,736,835,000	7,442,550,021	10,658,036,177	63.4%	60.3%
State Department of Public Works	2,047,000,000	1,168,500,000	2,047,000,000	1,168,500,000	628,600,000	666,607,419	53.8%	57.0%

MINISTRY/STATE DEPARTMENT	Gross Estimates	Revised Gross Estimates I	Net Estimates	Revised Net Estimates I	Exchequer Issues	Expenditure	% of Exch. To Net Est.	% of Exp. To Revised G. Est.
State Department for Water Services	39,606,072,000	45,168,531,281	11,139,000,000	16,701,459,281	9,669,363,654	9,763,500,000	57.9%	21.6%
State Department for Irrigation	18,107,929,750	17,007,547,250	9,840,000,000	8,739,617,500	4,256,294,345	6,963,311,556	48.7%	40.9%
State Department for Environment	4,246,619,731	2,306,337,800	3,900,544,731	1,960,262,800	1,594,494,932	1,206,027,501	81.3%	52.3%
State Department for Natural Resources	3,592,000,000	2,991,500,000	2,146,000,000	1,545,500,000	799,000,000	1,296,458,484	51.7%	43.3%
Ministry of Lands and Physical Planning	3,841,480,000	3,375,480,000	3,832,080,000	3,366,080,000	1,362,400,000	2,078,936,615	40.5%	61.6%
State Department of Information Communications & Technology & Innovation	22,313,000,000	25,999,316,269	19,501,000,000	21,147,895,788	18,900,356,336	21,648,935,693	89.4%	83.3%
State Department of Broadcasting and Telecommunications	658,000,000	329,000,000	658,000,000	329,000,000	305,500,000	305,500,000	92.9%	92.9%
State Department for Sports Development	1,555,000,000	2,010,500,000	1,555,000,000	2,010,500,000	639,900,000	923,208,816	31.8%	45.9%
State Department for Arts and Culture	986,000,000	495,820,660	986,000,000	495,820,660	338,500,000	440,824,450	68.3%	88.9%
State Department for Energy	115,183,331,715	150,355,905,685	36,530,936,986	41,381,497,490	22,508,069,558	34,254,200,000	54.4%	22.8%
State Department of Petroleum	4,208,400,000	2,870,250,000	2,870,900,000	1,532,750,000	495,594,695	570,687,075	32.3%	19.9%
State Department for Agriculture	12,678,265,821	11,917,209,404	9,918,136,783	9,157,080,366	7,315,992,993	7,884,009,720	79.9%	66.2%
State Department for Livestock	11,742,135,480	11,231,635,480	4,003,031,164	3,492,531,164	1,580,012,965	1,522,397,879	45.2%	13.6%
State Department for Fisheries and Blue Economy	2,530,000,000	3,155,946,460	2,030,000,000	2,655,946,460	1,463,754,590	1,741,600,135	55.1%	55.2%
State Department for Investment and Industry	5,379,787,000	5,379,787,000	5,053,600,000	3,100,000,000	2,490,038,889	2,500,191,444	80.3%	46.5%
State Department for Cooperatives	530,000,000	530,000,000	530,000,000	530,000,000	265,000,000	500,000,000	50.0%	94.3%
State Department for Trade	245,000,000	245,000,000	245,000,000	122,500,000	79,100,000	53,490,940	64.6%	21.8%
State Department for East African Integration	65,000,000	65,000,000	-	-	-	-	-	0.0%

MINISTRY/STATE DEPARTMENT	Gross Estimates	Revised Gross Estimates I	Net Estimates	Revised Net Estimates I	Exchequer Issues	Expenditure	% of Exch. To Net Est.	% of Exp. To Revised G. Est.
State Department for Labour	477,200,000	477,200,000	477,200,000	418,610,000	320,322,824	194,384,933	76.5%	40.7%
State Department for Social Protection	14,821,800,000	14,821,800,000	14,820,400,000	14,457,898,000	9,460,700,340	9,445,138,454	65.4%	63.7%
Ministry of Mining	3,890,321,429	3,890,321,429	3,868,000,000	1,321,134,978	541,100,000	1,132,602,238	41.0%	29.1%
Ministry of Tourism	4,842,000,000	4,842,000,000	4,842,000,000	3,592,000,000	1,639,600,000	2,057,495,176	45.6%	42.5%
State Department for Public Service and Youth Affairs	12,648,065,996	14,483,065,996	12,648,065,996	14,483,065,996	5,016,610,600	8,620,000,000	34.6%	59.5%
State Department for Gender	3,496,900,000	3,496,900,000	3,472,400,000	3,442,200,000	1,788,900,000	2,572,500,000	52.0%	73.6%
State Law Office and Department of Justice	379,000,000	379,000,000	70,000,000	70,000,000	11,000,000	2,851,306	15.7%	0.8%
The Judiciary	4,449,000,000	4,449,000,000	4,449,000,000	4,153,000,000	1,414,200,392	1,586,763,614	34.1%	35.7%
Ethics & Anti-Corruption Commission	100,000,000	500,000,000	100,000,000	500,000,000	-	-	0.0%	0.0%
Office of the Directorate of Public Prosecution	98,550,000	98,550,000	98,550,000	98,550,000	-	18,885,000	0.0%	19.2%
National Land Commission	-	103,326,135	-	103,326,135	103,300,000	103,326,135	100.0%	100.0%
Independent Electoral and Boundaries Commission	765,209,700	765,209,700	53,000,000	53,000,000	-	-	0.0%	0.0%
Parliamentary Service Commission	4,150,000,000	4,150,000,000	4,150,000,000	3,150,000,000	1,149,600,000	1,542,185,683	36.5%	37.2%
Public Service Commission	39,000,000	39,000,000	39,000,000	39,000,000	23,000,000	24,980,492	59.0%	64.1%
Teachers Service Commission	100,000,000	100,000,000	100,000,000	100,000,000	-	-	0.0%	0.0%
Auditor General	224,000,000	224,000,000	224,000,000	224,000,000	67,500,000	62,580,191	30.1%	27.9%
TOTAL	820,161,449,551	887,285,766,670	416,395,943,459	427,736,715,234	222,025,962,107	400,060,914,197	51.9%	45.1%

ANNEX II: MDAs Recurrent Expenditure – First Nine Months of FY 2016/17 (Kshs)

MINISTRY/STATE DEPARTMENT	Gross Estimates	Revised Gross Estimates I	Net Estimates	Revised Net Estimates I	Exchequer Issues	Expenditure	% of Exch. To Net Est.	% of Exp. To Revised G. Est.
The Presidency	7,943,324,669	9,221,755,462	7,934,692,595	9,213,123,388	5,717,063,000	5,255,963,491	62.1%	57.0%
State Department for Interior	102,907,039,319	103,923,034,741	102,533,302,319	103,549,297,741	70,172,250,000	69,356,172,217	67.8%	66.7%
State Department for Correctional Services	19,209,032,569	20,220,920,720	19,209,032,569	20,220,920,720	13,220,100,000	12,528,345,484	65.4%	62.0%
State Department for Devolution	649,451,492	789,465,766	649,451,492	789,465,766	492,650,000	499,499,203	62.4%	63.3%
State Department for Special Programmes	1,405,811,247	8,341,211,404	1,405,811,247	8,341,211,404	1,974,800,000	3,392,169,632	23.7%	40.7%
State Department for Planning & Statistics	4,717,330,425	5,290,829,891	4,391,330,425	4,964,829,891	3,356,900,000	5,380,530,640	67.6%	101.7%
Ministry of Defence	98,654,161,519	101,149,926,564	98,654,161,519	101,149,926,564	59,685,900,000	69,204,442,963	59.0%	68.4%
Ministry of Foreign Affairs	17,206,235,947	17,759,129,758	17,036,640,947	17,589,534,758	11,821,700,000	12,542,776,011	67.2%	70.6%
State Department for Basic Education	58,779,803,088	58,135,511,960	57,347,203,088	56,702,911,960	41,731,760,000	46,450,062,882	73.6%	79.9%
State Department for Vocational and Technical Training	2,324,529,852	2,369,661,570	2,324,529,852	2,369,661,570	1,715,900,000	1,649,460,772	72.4%	69.6%
State Department for University Education	60,652,433,681	63,554,179,787	43,969,833,681	46,871,579,787	29,418,588,000	32,209,395,548	62.8%	50.7%
The National Treasury	36,740,857,285	38,621,862,525	36,740,857,285	38,621,862,525	20,195,300,000	24,380,481,790	52.3%	63.1%
Ministry of Health	28,990,110,838	34,144,020,339	25,012,234,361	30,166,143,862	15,536,500,000	16,589,308,904	51.5%	48.6%
State Department for Infrastructure	29,039,085,190	49,965,690,901	1,839,085,190	1,961,318,901	1,097,850,000	31,953,920,500	56.0%	64.0%
State Department for Transport	5,780,740,412	5,825,225,133	1,403,740,412	1,448,225,133	1,063,108,000	4,686,265,542	73.4%	80.4%
State Department for Maritime Affairs	237,159,288	254,159,288	237,159,288	254,159,288	118,400,000	156,995,418	46.6%	61.8%
State Department for Housing & Urban Development	862,299,444	2,317,662,844	862,299,444	2,317,662,844	642,800,000	2,093,406,511	27.7%	90.3%

MINISTRY/STATE DEPARTMENT	Gross Estimates	Revised Gross Estimates I	Net Estimates	Revised Net Estimates I	Exchequer Issues	Expenditure	% of Exch. To Net Est.	% of Exp. To Revised G. Est.
State Department for Public Works	897,187,546	775,867,268	893,187,546	771,867,268	524,400,000	542,318,661	67.9%	69.9%
State Department for Water Services	3,624,591,649	4,461,292,556	1,486,833,410	2,323,534,317	1,782,100,000	2,632,177,749	76.7%	59.0%
State Department for Irrigation	933,008,351	916,429,978	533,008,351	516,429,978	335,000,000	299,811,814	64.9%	32.7%
State Department for Environment	2,979,114,030	3,679,367,951	2,160,214,030	2,860,467,951	1,956,000,000	1,819,509,641	68.4%	49.5%
State Department for Natural Resources	11,322,343,046	12,563,069,746	5,082,322,046	6,323,048,746	3,742,300,000	4,258,555,645	59.2%	33.9%
Ministry of Lands and Physical Planning	2,188,601,179	2,301,636,094	2,179,186,429	2,292,221,344	1,602,200,000	1,529,321,310	69.9%	66.4%
State Department of Information Communications & Technology & Innovation	909,425,207	1,150,923,022	909,425,207	1,150,923,022	503,723,000	782,051,117	43.8%	67.9%
State Department for Broadcasting & Telecommunications	2,050,126,830	2,982,431,277	1,870,126,830	2,762,431,277	1,207,500,000	1,288,546,463	43.7%	43.2%
State Department for Sports Development	3,606,950,551	3,517,631,688	3,606,550,551	3,517,231,688	2,347,264,000	2,844,198,009	66.7%	80.9%
State Department for Arts and Culture	2,651,046,449	2,867,352,359	2,640,446,449	2,867,352,359	1,747,500,000	2,292,376,729	60.9%	79.9%
State Department Energy	2,078,552,046	2,078,552,046	1,871,436,740	1,871,436,740	1,569,585,000	1,741,500,000	83.9%	83.8%
State Department of Petroleum	91,151,598	202,851,598	43,786,904	155,486,904	57,200,000	46,066,207	36.8%	22.7%
State Department for Agriculture	8,586,076,695	7,573,855,989	8,557,076,695	7,544,855,989	4,205,460,000	5,856,193,867	55.7%	77.3%
State Department for Livestock	1,889,938,320	5,524,845,571	1,865,938,320	5,500,845,571	3,338,600,000	3,642,225,176	60.7%	65.9%
State Department for Fisheries and the Blue Economy	1,653,196,791	1,846,575,736	1,653,196,791	1,846,575,736	1,207,000,000	1,187,082,949	65.4%	64.3%
State Department of Investment and Industry	2,668,815,153	2,745,244,807	2,646,315,153	2,722,744,807	2,038,400,000	2,472,145,709	74.9%	90.1%
State Department for Cooperatives	3,120,950,523	3,265,899,320	3,114,450,523	3,259,399,320	2,955,500,000	2,935,596,437	90.7%	89.9%
State Department for Trade	2,919,282,136	3,441,383,402	2,899,522,136	3,421,623,402	1,939,560,000	2,841,748,359	56.7%	82.6%

MINISTRY/STATE DEPARTMENT	Gross Estimates	Revised Gross Estimates I	Net Estimates	Revised Net Estimates I	Exchequer Issues	Expenditure	% of Exch. To Net Est.	% of Exp. To Revised G. Est.
State Department for East African Integration	1,541,165,024	1,513,815,010	1,539,165,024	1,511,815,010	1,317,360,000	1,286,736,093	87.1%	85.0%
State Department for Labour	1,301,843,257	1,583,088,629	1,292,843,257	1,583,088,629	792,200,000	901,988,058	50.0%	57.0%
State Department for Social Protection	8,108,136,032	7,967,457,605	8,064,371,032	7,923,692,605	4,621,320,000	4,065,702,904	58.3%	51.0%
Ministry of Mining	697,364,217	1,338,352,146	683,364,217	1,324,352,146	531,815,000	461,014,019	40.2%	34.4%
Ministry of Tourism	2,354,228,209	2,354,228,209	1,375,553,209	1,414,598,534	745,550,000	1,015,653,836	52.7%	43.1%
State Department for Public Service and Youth Affairs	13,038,823,969	14,388,085,124	12,862,973,969	14,212,235,124	7,921,100,000	9,452,600,000	55.7%	65.7%
State Department for Gender	1,125,441,006	876,137,207	1,125,441,006	876,137,207	419,250,000	454,005,620	47.9%	51.8%
State Law Office and Department of Justice	4,035,232,362	4,767,232,362	3,640,732,362	4,372,732,362	2,176,200,000	1,991,125,873	49.8%	41.8%
The Judiciary	12,859,460,378	13,006,160,378	12,859,460,378	13,006,160,378	9,123,440,000	7,869,752,190	70.1%	60.5%
Ethics & Anti-Corruption Commission	2,691,080,000	2,991,080,000	2,691,080,000	2,991,080,000	2,446,179,000	2,383,704,643	81.8%	79.7%
National Intelligence Service	25,346,000,000	27,846,000,000	25,346,000,000	27,846,000,000	18,020,930,000	19,771,119,916	64.7%	71.0%
Office of the Director of Public Prosecutions	2,125,584,100	2,187,393,129	2,125,584,100	2,187,393,129	1,136,149,000	1,322,515,482	51.9%	60.5%
Office of the Registrar of Political Parties	826,916,880	826,916,880	826,916,880	826,916,880	425,992,000	423,012,782	51.5%	51.2%
Witness Protection Agency	379,542,900	394,440,000	379,542,900	394,440,000	288,747,350	283,932,129	73.2%	72.0%
Kenya National Human Rights & Equality Commission	428,785,600	428,785,600	428,785,600	428,785,600	309,400,000	325,573,674	72.2%	75.9%
National Lands Commission	1,434,548,504	1,273,476,968	1,434,548,504	1,273,476,968	892,600,000	990,772,627	70.1%	77.8%
Independent Electoral and Boundaries Commission	18,565,800,000	20,565,800,000	18,560,800,000	20,560,800,000	5,025,000,000	5,883,837,552	24.4%	28.6%
Parliamentary Service Commission	10,382,000,000	10,451,736,000	10,382,000,000	10,451,736,000	6,563,300,000	6,353,158,464	62.8%	60.8%

MINISTRY/STATE DEPARTMENT	Gross Estimates	Revised Gross Estimates I	Net Estimates	Revised Net Estimates I	Exchequer Issues	Expenditure	% of Exch. To Net Est.	% of Exp. To Revised G. Est.
National Assembly	16,948,000,000	16,948,000,000	16,948,000,000	16,948,000,000	11,315,200,000	10,347,530,729	66.8%	61.1%
Judicial Service Commission	450,000,000	450,000,000	450,000,000	450,000,000	265,200,000	244,126,527	58.9%	54.3%
The Commission on Revenue Allocation	355,781,774	355,781,774	355,781,774	355,781,774	208,157,000	210,478,848	58.5%	59.2%
Public Service Commission	1,179,370,000	1,199,370,000	1,178,870,000	1,198,870,000	909,000,000	921,463,479	75.8%	76.8%
Salaries & Remuneration Commission	533,040,000	533,040,000	532,940,000	532,940,000	295,050,000	297,497,094	55.4%	55.8%
Teachers Service Commission	193,992,348,650	193,865,010,342	193,772,348,650	193,645,010,342	140,865,900,000	143,277,526,020	72.7%	73.9%
National Police Service Commission	435,340,000	434,998,700	435,340,000	434,998,700	288,700,000	328,774,320	66.4%	75.6%
Auditor General	4,182,880,000	4,182,880,000	4,032,880,000	4,032,880,000	2,927,400,000	3,006,565,620	72.6%	71.9%
Controller of Budget	561,269,850	542,061,656	561,269,850	542,061,656	280,000,000	294,183,012	51.7%	54.3%
The Commission on Administrative Justice	468,632,000	451,989,051	468,632,000	451,989,051	312,700,000	318,991,171	69.2%	70.6%
National Gender & Equality Commission	416,270,878	386,970,435	416,270,878	386,970,435	237,200,000	292,159,578	61.3%	75.5%
Independent Police Oversight Authority	491,338,899	491,338,899	491,338,899	491,338,899	277,010,000	318,781,092	56.4%	64.9%
TOTAL	857,525,988,854	918,381,085,165	790,827,224,314	830,896,593,950	531,958,910,350	602,434,906,702	64.0%	65.6%

ANNEX III: Sectoral Development Expenditure – First Nine Months of FY 2016/17 (Kshs)

Sector	Revised Gross Estimates I	Revised Net Estimates I	Exchequer Issues	Expenditure	% of Exch. To Rev N. Est.	% Exp to Rev G. Est.
Agriculture, Rural and Urban Development	29,783,597,479	18,774,964,125	11,825,460,548	13,330,270,484	63.0%	44.8%
Energy, Infrastructure and ICT	548,233,120,550	187,951,758,648	89,670,007,777	235,677,720,190	47.7%	43.0%
General Economics and Commercial Affairs (GECA)	11,061,787,000	7,344,500,000	4,473,738,889	5,111,177,560	60.9%	46.2%
Health	39,441,680,757	28,988,217,737	19,570,084,563	24,808,048,094	67.5%	62.9%
Education	28,481,428,870	21,303,285,542	11,612,262,251	15,737,492,377	54.5%	55.3%
Governance, Justice, Law and Order (GJLOS)	34,251,326,589	32,802,120,000	13,948,600,392	15,031,146,107	42.5%	43.9%
Public Administration and International Relations	96,100,021,675	74,690,865,963	39,430,475,691	53,525,256,848	52.8%	55.7%
National Security	45,000,000	-	-	35,000,000	-	77.8%
Social Protection, Culture and Recreation	28,523,565,990	25,613,028,660	14,635,079,065	16,442,902,758	57.1%	57.6%
Environment Protection, Water and Natural Resources	71,364,237,760	30,267,974,559	16,860,252,931	20,361,899,779	55.7%	28.5%
Total	887,285,766,670	427,736,715,234	222,025,962,107	400,060,914,197	51.9%	45.1%

ANNEX IV: Sectoral Recurrent Expenditure – First Nine Months of FY 2016/17 (Kshs)

Sector	Revised Gross Estimates I	Revised Net Estimates I	Exchequer Issues	Expenditure	% of Exch. to N. Est.	% Exp to G. Est.
Agriculture, Rural and Urban Development	18,520,390,358	18,457,975,608	11,245,860,000	13,205,595,929	60.9%	71.3%
Energy, Infrastructure and ICT	65,553,363,377	12,693,511,377	6,784,566,000	43,291,070,419	53.4%	66.0%
General Economics and Commercial Affairs (GECA)	13,320,570,748	12,330,181,073	8,996,370,000	10,551,880,434	73.0%	79.2%
Health	34,144,020,339	30,166,143,862	15,536,500,000	16,589,308,904	51.5%	48.6%
Education	317,924,363,659	299,589,163,659	213,732,148,000	223,586,445,222	71.3%	70.3%
Governance, Justice, Law and Order (GJLOS)	171,075,071,844	170,301,834,844	105,391,567,350	103,551,813,543	61.9%	60.5%
Public Administration and International Relations	120,735,987,007	119,905,309,933	72,315,520,000	79,261,719,552	60.3%	65.6%
National Security	128,995,976,564	128,995,926,564	77,706,830,000	88,975,562,879	60.2%	69.0%
Social Protection, Culture and Recreation	25,152,878,892	25,108,713,892	11,902,334,000	13,950,440,952	47.4%	55.5%
Environment Protection, Water and Natural Resources	22,958,512,377	13,347,833,138	8,347,215,000	9,471,068,868	62.5%	41.3%
Total	918,381,085,165	830,896,593,950	531,958,910,350	602,434,906,702	64.0%	65.6%

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